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Rules and Regulations

Title 7—AGRICULTURE

Chapter I—Agricultural Marketing Service (Standards, Inspections, Marketing Practices), Department of Agriculture

SUBCHAPTER A—COMMODITY STANDARDS AND STANDARD CONTAINER REGULATIONS

PART 26—GRAIN STANDARDS

Subpart A—Regulations

MISCELLANEOUS AMENDMENTS

Statement of considerations. The official grain standards of the United States for wheat (7 CFR Part 26) were revised effective in part on June 1, 1964, and in part on June 1, 1965 (29 F.R. 1309; 29 F.R. 2593; 29 F.R. 5378), under the U.S. Grain Standards Act, as amended (7 U.S.C. 71 et seq.). The revision of the standards among other things provides maximum limits for total defects in the numerical grades of all classes of wheat and specifies limits for contrasting classes in all classes of wheat except Red Durum and Mixed Wheat. These provisions of the standards will become effective June 1, 1964. Corresponding provisions should be included in the regulation (7 CFR 26.29) governing the form of certificates of grade issued under the Act for export shipments of wheat and such provisions should be made effective at the same time as the related provisions of the standards in order to effectuate the standards. The following amendments of the regulation will accomplish this and will make other changes in the regulation to accord with other provisions of the standards effective on said date. Accordingly, under section 4 of the Administrative Procedure Act (5 U.S.C. 1003) it is found upon good cause that notice and other public rule making procedure on the amendment are impracticable and good cause is found for making the amendment effective less than 30 days after its publication in the FEDERAL REGISTER.

Therefore, pursuant to the authority contained in section 8 of the U.S. Grain Standards Act, as amended (7 U.S.C. 84), § 26.29(m)(3) of the regulations under the Act (7 CFR 26.29(m)(3)) is amended as follows:

§ 26.29 [Amended]

1. The following wording is deleted:

WHEAT (HARD RED SPRING, HARD RED WINTER, SOFT RED WINTER, WHITE)

Damaged kernels
Heat-damaged kernels
Foreign material
Wheats of other classes
Durum and/or Red Durum
Shrunken and broken kernels

WHEAT (DURUM AND RED DURUM)

Damaged kernels
Heat-damaged kernels
Foreign material
Wheats of other classes
Soft Red Winter, White, and/or Red Durum
Shrunken and broken kernels

WHEAT (MIXED)

Damaged kernels
Heat-damaged kernels
Foreign material
Shrunken and broken kernels

2. The following wording is inserted in lieu of the deleted wording:

WHEAT (HARD RED SPRING, HARD RED WINTER, SOFT RED WINTER, WHITE, AND DURUM)

Heat-damaged kernels
Damaged kernels (total)
Foreign material
Shrunken and broken kernels
Defects (total)
Contrasting classes
Wheat of other classes (total)

WHEAT (RED DURUM)

Heat-damaged kernels
Damaged kernels (total)
Foreign material
Shrunken and broken kernels
Defects (total)
Wheat of other classes (total)

WHEAT (MIXED)

Heat-damaged kernels
Damaged kernels (total)
Foreign material
Shrunken and broken kernels
Defects (total)

The other wording in the section remains unchanged.

(Sec. 8, 39 Stat. 485; 74 U.S.C. 84; 19 F.R. 74, as amended)

This amendment shall become effective June 1, 1964.

Done at Washington, D.C., on this 26th day of May 1964.

G. R. GRANGE,
Deputy Administrator,
Agricultural Marketing Service.

[F.R. Doc. 64-5421; Filed, May 28, 1964; 8:50 a.m.]

Chapter IX—Agricultural Marketing Service (Marketing Agreements and Orders; Fruits, Vegetables, Tree Nuts), Department of Agriculture

[Valencia Orange Reg. 86]

PART 908—VALENCIA ORANGES GROWN IN ARIZONA AND DESIGNATED PART OF CALIFORNIA

Limitation of Handling

§ 908.386 Valencia Orange Regulation 86.

(a) *Findings.* (1) Pursuant to the marketing agreement, as amended, and Order No. 908, as amended (7 CFR Part 908; 27 F.R. 10089), regulating the handling of Valencia oranges grown in Arizona and designated part of California, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), and upon the basis of the recommendations and information submitted by the Valencia Orange Administrative Committee, established under the said amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of handling of such Valencia oranges, as hereinafter provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule making procedure, and postpone the effective date of this section until 30 days after publication hereof in the FEDERAL REGISTER (5 U.S.C. 1001–1011) because the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient, and a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions hereof effective as hereinafter set forth. The committee held an open meeting during the current week, after giving due notice thereof, to consider supply and market conditions for Valencia oranges and the need for regulation; interested persons were afforded an opportunity to submit information and views at this meeting; the recommendation and supporting information for regulation during the period specified herein were promptly submitted to the Department after such meeting was held; the provisions of this section, including its effective time, are identical with the aforesaid recommendation of the committee, and information concerning such provisions and effective time has been disseminated among handlers of such Valencia oranges; it is necessary, in order to effectuate the declared policy of the act, to make this section effective during the period herein specified; and compliance with this section will not require any special preparation on the part of persons subject hereto which cannot be completed on or before the effective date hereof. Such committee meeting was held on May 27, 1964.

(b) *Order.* (1) The respective quantities of Valencia oranges grown in Arizona and designated part of California which may be handled during the period beginning at 12:01 a.m., P.s.t., May 31, 1964, and ending at 12:01 a.m., P.s.t., June 7, 1964, are hereby fixed as follows:

(i) District 1: 300,000 cartons;

(ii) District 2: 352,080 cartons;

(iii) District 3: Unlimited movement.

(2) As used in this section, "handled," "handler," "District 1," "District 2," and

"District 3," and "carton" have the same meaning as when used in said amended marketing agreement and order.

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: May 28, 1964.

PAUL A. NICHOLSON,
Deputy Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F.R. Doc. 64–5460; Filed, May 28, 1964; 11:13 a.m.]

[Lemon Reg. 113]

PART 910—LEMONS GROWN IN CALIFORNIA AND ARIZONA

Limitation of Handling

§ 910.413 Lemon Regulation 113.

(a) *Findings.* (1) Pursuant to the marketing agreement, as amended, and Order No. 910, as amended (7 CFR Part 910; 27 F.R. 8346), regulating the handling of lemons grown in California and Arizona, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), and upon the basis of the recommendation and information submitted by the Lemon Administrative Committee, established under the said amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of handling of such lemons as hereinafter provided will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule making procedure, and postpone the effective date of this section until 30 days after publication hereof in the FEDERAL REGISTER (5 U.S.C. 1001–1011) because the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient, and a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions hereof effective as hereinafter set forth. The committee held an open meeting during the current week, after giving due notice thereof, to consider supply and market conditions for lemons and the need for regulation; interested persons were afforded an opportunity to submit information and views at this meeting; the recommendation and supporting information for regulation during the period specified herein were promptly submitted to the Department after such meeting was held; the provisions of this section, including its effective time, are identical with the aforesaid recommendation of the committee, and information concerning such provisions and effective time has been disseminated among handlers of such lemons; it is necessary, in order to effectuate the declared policy of the act, to make this section effective during the period herein specified; and compliance with this section will not require any special preparation on the part of persons subject hereto which cannot be completed on or before the effective date hereof. Such committee meeting was held on May 26, 1964.

(b) *Order.* (1) The respective quantities of lemons grown in California and Arizona which may be handled during the period beginning at 12:01 a.m., P.s.t., May 31, 1964, and ending at 12:01 a.m., P.s.t., June 7, 1964, are hereby fixed as follows:

(i) District 1: Unlimited movement;
(ii) District 2: 372,000 cartons;
(iii) District 3: Unlimited movement.

(2) As used in this section, "handled," "District 1," "District 2," "District 3," and "carton" have the same meaning as when used in the said amended marketing agreement and order.

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: May 28, 1964.

PAUL A. NICHOLSON,
Deputy Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F.R. Doc. 64–5461; Filed, May 28, 1964; 11:13 a.m.]

[Nectarine Order 1]

PART 916—NECTARINES GROWN IN CALIFORNIA

Limitation of Shipments

§ 916.314 Nectarine Order 1.

(a) *Findings.* (1) Pursuant to the marketing agreement and Order No. 916 (7 CFR Part 916) regulating the handling of nectarines grown in the State of California, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), and upon the basis of the recommendations of the Nectarine Administrative Committee, established under the aforesaid marketing agreement and order, and upon other available information, it is hereby found that the limitation of shipments of nectarines as hereinafter set forth, and in the manner herein provided, will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable, unnecessary, and contrary to the public interest to give preliminary notice, engage in public rulemaking procedure, and postpone the effective date of this section until 30 days after publication thereof in the FEDERAL REGISTER (5 U.S.C. 1001–1011) in that, as hereinafter set forth, the time intervening between the date when information upon which this section is based became available and the time when this section must become effective in order to effectuate the declared policy of the act is insufficient; a reasonable time is permitted, under the circumstances, for preparation for such effective time; and good cause exists for making the provisions hereof effective not later than the date hereinafter specified. A reasonable determination as to the supply of, and the demand for, such nectarines must await the development of the crop thereof, and adequate information thereon was not available to the Nectarine Administrative Committee until the date hereinafter set forth on which an open meeting was held, after giving due notice thereof, to consider the need for, and the extent of, regulation of shipments of such nectarines. Interested persons were afforded an opportunity to submit information and views at this meeting; the recommendation and supporting information for regulation during the period specified herein were promptly submitted to the Department after such meeting was held; shipments of the current crop of such nectarines are expected to begin on or about the effective date hereof; this section should be applicable to all such shipments in order to effectuate the declared policy of the act; the provisions of this section are identical with the aforesaid recommendation of the committee; and information concerning such provisions and effective time has been disseminated among handlers of such nectarines and compliance with the provisions of this section will not require of handlers any preparation therefor which cannot be completed by the effective time hereof. Such committee meeting was held on May 21, 1964.

(b) *Order.* (1) During the period beginning at 12:01 a.m., P.s.t., May 30, 1964, and ending at 12:01 a.m., P.s.t, November 1, 1964, no handler shall handle any package or container of any variety of nectarines unless such nectarines grade at least U.S. No. 1; *Provided,* That, in lieu of the tolerances for defects provided for such U.S. No. 1 grade, the percentage of defects in any lot shall not exceed 8 percent and the percentage of defects in any individual package or container shall not exceed 12 percent.

(2) When used herein, "U.S. No. 1" shall have the same meaning as set forth in the United States Standards for Nectarines §§ 51.3145–51.3159 of this title) and all other terms shall have the same meaning as when used in the marketing agreement and order.

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: May 27, 1964.

PAUL A. NICHOLSON,
Deputy Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F.R. Doc. 64–5435; Filed, May 28, 1964; 8:51 a.m.]

Title 5—ADMINISTRATIVE PERSONNEL

Chapter I—Civil Service Commission

PART 213—EXCEPTED SERVICE

Department of Health, Education, and Welfare

Section 213.3316 is amended to show that the two positions of Confidential

Secretary to the Special Assistant to the Secretary (for Mental Retardation Activities) are excepted under Schedule C. Effective upon publication in the FEDERAL REGISTER, subparagraph (21) is added to paragraph (a) of § 213.3316 as set out below.

§ 213.3316 Department of Health, Education, and Welfare.

(a) *Office of the Secretary.* * * *

(21) Two Confidential Secretaries to the Special Assistant to the Secretary (for Mental Retardation Activities).

* * * * *

(R.S. 1753, sec. 2, 22 Stat. 403, as amended; 5 U.S.C. 631, 633; E.O. 10577, 19 F.R. 7521, 3 CFR, 1954–1958 Comp., p. 218)

UNITED STATES CIVIL SERVICE COMMISSION,
[SEAL] MARY V. WENZEL,
Executive Assistant to the Commissioners.

[F.R. Doc. 64-5381; Filed, May 28, 1964; 8:46 a.m.]

PART 213—EXCEPTED SERVICE

Department of Labor

Section 213.3315 is amended to show that the position of Executive Director of the President's Committee on Manpower is excepted under Schedule C. Effective upon publication in the FEDERAL REGISTER, a new paragraph (l) (1) is added to § 213.3315 as set out below.

§ 213.3315 Department of Labor.

* * * * *

(l) *The President's Committee on Manpower.* (1) The Executive Director.

* * * * *

(R.S. 1753, sec. 2, 22 Stat. 403, as amended; 5 U.S.C. 631, 633; E.O. 10577, 19 F.R. 7521, 3 CFR, 1954–1958 Comp., p. 218)

UNITED STATES CIVIL SERVICE COMMISSION,
[SEAL] MARY V. WENZEL,
Executive Assistant to the Commissioners.

[F.R. Doc. 64-5382; Filed, May 28, 1964; 8:46 a.m.]

Title 15—COMMERCE AND FOREIGN TRADE

Chapter III—Bureau of International Commerce, Department of Commerce

SUBCHAPTER B—EXPORT REGULATIONS

[9th Gen. Rev., Export Regs; Amdt. P.L. 47]

PART 399—POSITIVE LIST OF COMMODITIES AND RELATED MATTERS

Changes in List

Section 399.1 *Positive List of Commodities* is amended in the following particulars:

1. The following commodities are deleted from the Positive List:

Dept. of Commerce Schedule B No.	Commodity description
	Other industrial machines and parts
	Nonelectric industrial furnaces, kilns, lehrs, ovens, and specially fabricated parts and accessories, n.e.c.:
77567	Carbon black furnaces, combustion type only.
77570	Parts and accessories, n.e.c., specially fabricated for combustion-type carbon black furnaces.
77576	Gas combustion burners, specially fabricated for carbon black furnaces.

This item of the amendment shall become effective as of May 14, 1964.

2. The following commodities are added to the Positive List:

Dept. of Commerce Schedule B No.	Commodity description	Unit	Processing code and related commodity group	GLV dollar value limits	Validated license required	Commodity lists
	Other industrial machines and parts					
	Nonelectric industrial furnaces, kilns, lehrs, ovens, and specially fabricated parts and accessories, n.e.c.:					
77567	Carbon black furnaces, controlled atmosphere type only.	No.	CONS	None	R	
77570	Parts and accessories, n.e.c., specially fabricated for controlled atmosphere type carbon black furnaces.	----------	CONS	None	R	

This item of the amendment shall become effective as of May 21, 1964.

3. The following entries set forth below are substituted for entries presently on the Positive List. When the Positive List contains more than one entry under a Schedule B number, the entry to be superseded is identified by a numerical reference in parentheses following the commodity description of the revised entry:

Dept. of Commerce Schedule B No.	Commodity description	Unit	Processing code and related commodity group	GLV dollar value limits	Validated license required	Commodity lists
	Clay and products					
	Refractories, except graphite (Report brick and shapes in thousands, 9-inch equivalent):					
53689	Crucibles containing 97 percent or more by weight of magnesium oxide, beryllium oxide, or zirconium oxide; or containing zirconium oxide stabilized with lime and/or magnesium oxide. (Specify number of crucibles, types of crucibles by type number, capacity of each in pounds, whether heavy or thin wall, and purity rating (percent).[1] [13] [14]	Lb.	FINP 2	100	RO	E-5
53689	Other refractories, n.e.c., containing 97 percent or more by weight of magnesium oxide, beryllium oxide, or zirconium oxide, or containing zirconium oxide stabilized with lime and/or magnesium oxide. (Specify by name.) [1] [13]	Lb.	FINP 2	100	RO	E-5
	Electrical machinery and apparatus					
	Electronic equipment, n.e.c., and parts:					
	Electron tubes and parts (Report X-ray tubes in 70751): Electron tubes, n.e.c.:					
70840	Other electron tubes, n.e.c., except rectifier bulbs for automotive battery chargers; Geiger-Mueller counter tubes; proportional counter tubes; photocells, phototubes and photomultiplier tubes not included in other entries on the Positive List under Schedule B No. 70840; and except nonmilitary versions of the types described or listed in § 399.2, Interpretation 13. (Specify type numbers and quantity of each type.) (8)[1] [11] [15]	No.	RARA 2	100	RO	
	Electrical apparatus, n.e.c., and parts n.e.c.:					
70999	Parts, components, and subassemblies specially fabricated for fuel cells, power sources, and other electrochemical, semiconductor, and radioactive devices for direct conversion of chemical, solar, or nuclear energy to electrical energy included on the Positive List under Schedule B Nos 70140, 70180, and 70999. (13 and 19)[16]	----------	ELME 7	None	RO	A
70999	Semiconductor Hall field probes having any of the following characteristics: (a) made of indium-arsenide-phosphide (In As P), (b) coated with ceramic or ferrite materials (for example, special field probes such as tangential field probes, multipliers, modulators, recorder probes, etc.), or (c) with an open circuit sensitivity greater than 0.12 volts per ampere kilo-gauss; and specially fabricated parts and accessories, n.e.c. (23) [12] [17]	----------	ELME 5	None	RO	A

See footnotes at end of table.

Dept. of Commerce Schedule B No.	Commodity description	Unit	Processing code and related commodity group	GLV dollar value limits	Validated license required	Commodity lists
	Construction, excavating, mining, oilfield and related machinery					
72021	Parts, accessories, and attachments n.e.c., except cabs and cab guards (canopy tops), specially fabricated for nonmilitary type excavators included on the Positive List under Schedule B Nos. 72002, 72004, and 72018. (Specify as nonmilitary.) (2) [11]	----------	CONS 4	1,000	R	
72021	Parts, accessories, and attachments, n.e.c., except cabs and cab guards (canopy tops), specially fabricated for nonmilitary type loaders included on the Positive List under Schedule B Nos. 72015 and 72018. (Specify as nonmilitary.) (3) [1] [11]	----------	CONS 4	1,000	R	E-11
	Construction and maintenance equipment, n.e.c., and specially fabricated parts and accessories, n.e.c.:					
72245	Parts and accessories, n.e.c., except cabs and cab guards (canopy tops), specially fabricated for the nonmilitary type equipment included on the Positive List under Schedule B Nos. 72205 through 72245. (Specify as nonmilitary.) (4) [1] [11]	----------	CONS 4	1,000	R	E-11
	Materials handling equipment and parts (Specify whether military or nonmilitary):					
72540	Parts, accessories, and attachments, n.e.c., except cabs and cab guards (canopy tops), specially fabricated for nonmilitary type industrial trucks and wheel-type tractors included on the Positive List under Schedule B Nos. 72511 and 72520. (Specify as nonmilitary.) (2) [1] [11]	----------	CONS 4	1,000	R	E-11
	Tractors, n.e.c., parts and accessories					
78891	Parts and accessories, n.e.c., except cabs and cab guards (canopy tops), specially fabricated for nonmilitary type tracklaying tractors included on the Positive List under Schedule B Nos. 78730 through 78745. (Specify that parts and accessories are for nonmilitary type tractors.) (2) [1] [11]	----------	CONS 4	1,000	R	E-11
	Industrial chemicals (exclusive of medicinal chemicals, U.S.P. and N.F.)					
	Industrial chemicals, n.e.c. (Report thorium and uranium salts and compounds in 62510-62590):					
83900	Deuterium and compounds, mixtures and solutions containing deuterium, including heavy water and heavy paraffins. (Specify by name.) (3) [13]	----------	SALT 1	None	RO	A E-13
	Scientific and professional instruments, apparatus, and supplies, n.e.c.					
	Research laboratory apparatus and equipment, n.e.c., and specially fabricated parts and accessories, n.e.c.:					
91980	Cord treating and testing laboratory units (for example, Computreators (R)), and specially fabricated parts and accessories, n.e.c. (2) [1]	----------	SATE 2	500	RO	

[1] The GLV dollar-value limit is increased.
[11] The commodity coverage is decreased.
[12] The commodity coverage is increased, effective May 21, 1964.
[13] Two entries are substituted for an entry presently on the Positive List under this Schedule B number.
[14] The reporting requirements are revised.
[15] The photocells and photomultiplier tubes removed from the Positive List by this revision are added to § 371.52; Supplement 2 of this chapter, thereby continuing to require a validated license for shipment to Poland (including Danzig).
[16] Two entries are combined with no change in coverage.
[17] On or after June 29, 1964 an Import Certificate (or a Hong Kong Import License) will be required in support of a license application covering exports to the countries specified in § 373.2 of this chapter of parts and accessories added to the Positive List under this Schedule B entry.
[18] The entry is revised with no change in coverage.

This item of the amendment shall become effective as of May 14, 1964, unless otherwise specified in a footnote.

Shipments of the commodities removed from general license to Country Group R and Country Group O destinations as a result of the changes set forth in this amendment which were on dock for lading, on lighter, laden aboard an exporting carrier, or in transit to a port of exit pursuant to actual orders for export prior to 12:01 a.m., May 21, 1964, may be exported under the previous general license provisions up to and including June 15, 1964. Any such shipment not laden aboard the exporting carrier on or before June 15, 1964, requires a validated license for export.

(Sec. 3, 63 Stat. 7; 50 U.S.C. App. 2023; E.O. 10945, 26 F.R. 4487; E.O. 11038, 27 F.R. 7003)

FORREST D. HOCKERSMITH,
Director,
Office of Export Control.

[F.R. Doc. 64-5327; Filed, May 28, 1964; 8:45 a.m.]

Title 12—BANKS AND BANKING

Chapter V—Federal Home Loan Bank Board

SUBCHAPTER D—FEDERAL SAVINGS AND LOAN INSURANCE CORPORATION

[No. FSLIC-1818]

PART 561—DEFINITIONS

Miscellaneous Amendments

MAY 26, 1964.

Resolved that, notice and public procedure having been duly afforded (29 F.R. 5513) and all relevant material presented or available having been considered by it, the Federal Home Loan Bank Board, upon the basis of such consideration and of determination by it of the advisability of amendment of §§ 561.15, 561.16, 561.17, 561.19, and 561.21 of the rules and regulations for Insurance of Accounts (12 CFR 561.15, 561.16, 561.17, 561.19, and 561.21) as hereinafter set forth, and for the purpose of effecting such amendment, hereby amends said sections as follows, effective June 29, 1964.

1. Amend § 561.15 to read as follows:

§ 561.15 Scheduled items.

The term "scheduled items" means slow loans (other than insured or guaranteed loans), 20 percent of slow loans which are insured or guaranteed, real estate owned as a result of foreclosure, or acquired by deed in lieu of foreclosure, and such real estate sold on contract, or by a loan, where the unpaid principal balance exceeds that permitted under otherwise applicable lending limitations or exceeds 90 percent of the value of the security, and any investment securities upon which one or more interest payments due has not been paid.

2. Amend § 561.16 to read as follows:

§ 561.16 Slow loans.

The term "slow loans" means:

(a) Any loan or land contract less than 1 year old which is the equivalent of 60 days (2 months) or more contractually delinquent; or

(b) Any loan or land contract that is from 1 year to 7 years old which is the equivalent of 90 days (3 months) or more contractually delinquent; or

(c) Any loan or land contract more than 7 years old which is the equivalent of 90 days (3 months) or more contractually delinquent unless 10 out of the last 12 contractually required payments have been made; or

(d) Any mortgage loan, deed of trust, or land contract on which taxes on the security are due and unpaid for the equivalent of two or more years; or

(e) Any loan or land contract that has been modified or refinanced within the preceding 12 months while contractually delinquent.

Provided, That any mortgage loan, deed of trust, or land contract on which the total indebtedness is less than 60 percent of the original amount, any loan on which all contractually required pay-

ments have been made during the preceding 12 months and any loan on which payments are being deferred by law shall not be considered to be a slow loan under this section.

3. Amend § 561.17 to read as follows:

§ 561.17 Specified assets.

(a) The term "specified assets" means the total assets of an insured institution less the institution's cash, Government obligations and accrued interest thereon, Federal Home Loan Bank stock, prepaid Federal Savings and Loan Insurance Corporation premiums, loans in process, loans on the security of the institution's share accounts, investments of up to $10,000 per institution in other institutions insured by the Federal Savings and Loan Insurance Corporation, and less 80 percent of the institution's actual investments in insured and guaranteed loans.

(b) In computing specified assets at the close of any semiannual period, any asset which is sold or disposed of in one semiannual period and then repurchased or reacquired in the next semiannual period shall be computed as if it had not been sold or disposed of during such initial semiannual period.

4. Amend § 561.19 to read as follows:

§ 561.19 Government obligations.

The term "Government obligations" means obligations of, or guaranteed or insured by, or special obligations (as they may hereinafter be defined by the Board) issued by the United States, a Bank or Banks for Cooperatives, including the Central Bank for Cooperatives, a Federal Land Bank or Banks, a Federal Home Loan Bank or Banks, a Federal Intermediate Credit Bank or Banks, the Federal National Mortgage Association or the Tennessee Valley Authority.

5. Amend § 561.21 to read as follows:

§ 561.21 Guaranteed loan.

The term "guaranteed loan" means a loan that is guaranteed, including a guarantee to repurchase, in whole or in part, or as to which a commitment to guarantee has been made under the provisions of the Servicemen's Readjustment Act of 1944, or Chapter 37 of Title 38, United States Code, as now or hereafter amended.

(Secs. 402, 403, 48 Stat. 1256, 1257, as amended; 12 U.S.C. 1725, 1726. Reorg. Plan No. 3 of 1947, 12 F.R. 4981, 3 CFR, 1947 Supp.)

By the Federal Home Loan Bank Board.

[SEAL] HARRY W. CAULSEN, *Secretary.*

[F.R. Doc. 64-5394; Filed, May 28, 1964; 8:47 a.m.]

[No. FSLIC-1821]

PART 563—OPERATIONS

Participation Loans

MAY 26, 1964.

Resolved that, notice and public procedure having been duly afforded (29 F.R. 52) and all relevant material presented or available having been considered by it, the Federal Home Loan Bank Board, upon the basis of such consideration and of determination by it of the advisability of amendment of § 563.9-1 of the rules and regulations for Insurance of Accounts (12 CFR § 563.9-1) as hereinafter set forth, and for the purpose of effecting such amendment, hereby amends said § 563.9-1 as follows, effective July 1, 1964.

1. Amend paragraph (b) of § 563.9-1 of the rules and regulations for Insurance of Accounts to read as follows. Redesignate paragraphs (d) and (e) of § 563.9-1 as paragraphs (e) and (f) respectively of § 563.9-1. Amend § 563.9-1 by adding immediately after paragraph (c) a new paragraph (d).

§ 563.9-1 Participation loans.

* * * * *

(b) *Retainage.* For purposes of this section, no insured institution shall participate in the making of a loan pursuant to the approval granted by this section unless the property securing the loan is located within the regular lending area, or within 100 miles from the principal office, of another lender which participates to the extent of at least 50 percent in the making of such loan. No insured institution shall purchase a participation in a loan pursuant to the approval granted by this section unless the property securing the loan is located within the regular lending area, or within 100 miles from the principal office, of the seller that originated the loan and the seller that originated the loan, at the close of the sale, has a participation of at least 50 percent in such loan. An insured institution that originated the loan shall not, without the prior written approval of the Corporation, sell or dispose of its participating interest or any part thereof (except to a Federal Home Loan Bank by way of security only) unless, at the close of such sale or other disposition, it has a participation of at least 50 percent in such loan. As used in this paragraph, the term "regular lending area" means the territory within 50 miles from an institution's principal office and the territory within which such institution was, within the meaning of the first sentence of § 563.9, operating on June 27, 1934.

* * * * *

(d) *Limitations.* No insured institution that originated the loan shall sell a participation in any loan at any time when the percentage of such institution's scheduled items, other than assets acquired in a merger instituted for supervisory reasons, exceeds 3.5 percent of its total assets, as reported in its most recent semiannual report.

* * * * *

(Secs. 402, 403, 48 Stat. 1256, 1257, as amended; 12 U.S.C. 1725, 1726. Reorg. Plan No. 3 of 1947, 12 F.R. 4981, 3 CFR, 1947 Supp)

By the Federal Home Loan Bank Board,

[SEAL] HARRY W. CAULSEN, *Secretary.*

[F.R. Doc. 64-5397; Filed, May 28, 1964; 8:48 a.m.]

[No. FSLIC-1820]

PART 563—OPERATIONS

Loans and Investments

MAY 26, 1964.

Resolved that, notice and public procedure having been duly afforded (29 F.R. 52) and all relevant material having been considered by it, the Federal Home Loan Bank Board, upon the basis of such consideration and of determination by it of the advisability of amendment of § 563.9 of the rules and regulations for Insurance of Accounts (12 CFR 563.9) as hereinafter set forth and for the purpose of effecting such amendment, hereby amends said § 563.9 as follows, effective July 1, 1964.

Amend paragraph (a) of § 563.9 of the rules and regulations for Insurance of Accounts to read as follows:

§ 563.9 Loans and investments.

(a) *General provisions.* Insured institutions may lend and otherwise invest their funds to the extent and in the manner authorized by law: *Provided,* That, no insured institution may make, or invest its funds in, loans on the security of real estate located more than 50 miles from its principal office and outside the territory within which the institution was operating on June 27, 1934, without the prior approval of the Corporation. Such approval is hereby granted to each insured institution to the extent set forth in this section.

(1) Any insured institution may, to the extent that it has legal power to do so and without further approval of the Corporation, make, or invest its funds in, loans in an aggregate amount not exceeding 20 percent of such institution's assets on the security of real estate located more than 50 miles but not more than 100 miles from such institution's principal office and outside such territory;

(2) Any insured institution may, to the extent it has legal power to do so, without regard to said 20 percent of assets limitation and without further approval of the Corporation, make, or invest its funds in, any loan at least 20 percent of which is guaranteed or as to which a commitment to guarantee has been made under the provisions of the Servicemen's Readjustment Act of 1944 or Chapter 37 of Title 38, United States Code, as now or hereafter amended;

(3) Any insured institution may, to the extent it has legal power to do so, without regard to said 20 percent of assets limitation and without further approval of the Corporation, purchase any loan secured by a first lien on a home or a combination home and business property which is used in part for business purposes and in part for residence purposes for not more than four families, located in other territory more than 50 miles from its principal office: *Provided,* That as to each loan, such insured institution will be protected by insurance as provided in the National Housing Act or the Servicemen's Readjustment Act of 1944 or Chapter 37 of Title 38, United States Code, as now or hereafter amended; and

(4) Any insured institution which, at the close of the preceding semiannual period, had a ratio of scheduled items, other than assets acquired in a merger instituted for supervisory reasons, to total assets of less than 2 percent, may, to the extent that it has legal power to do so, make or invest its funds in loans, originated and serviced by or through an institution the accounts or deposits of which are insured by the Federal Savings and Loan Insurance Corporation or the Federal Deposit Insurance Corporation or by or through an approved Federal Housing Administration mortgagee, in an aggregate amount not exceeding 5 percent of such institution's assets on the security of real estate located in any metropolitan area in the United States as then defined in "Standard Metropolitan Statistical Areas" published by the Bureau of the Budget: *Provided*, That:

(i) The principal or a branch office of such originating and servicing institution or approved Federal Housing Administration mortgagee is located within the same metropolitan area as the real estate security;

(ii) Any such approved Federal Housing Administration mortgagee shall have been continuously and principally engaged in the business of originating and servicing loans for other lenders and investors for a period of at least 5 years, and such approved mortgagee shall furnish to such insured institution documentation showing that the mortgagee has been so engaged and is then approved by the Federal Housing Administration;

(iii) An insured institution shall not make or invest its funds in any loan under the provisions of this subparagraph (4) unless and until such institution has obtained a signed report of appraisal of the real estate security for the loan by an appraiser designated by such institution and who has no interest, direct or indirect, in the real estate or in any loan on the security thereof.

(Secs. 402, 403, 48 Stat. 1256, 1257, as amended; 12 U.S.C. 1725, 1726. Reorg. Plan No. 3 of 1947, 12 F.R. 4981, 3 CFR, 1947 Supp.)

By the Federal Home Loan Bank Board.

[SEAL] HARRY W. CAULSEN, *Secretary.*

[F.R. Doc. 64-5396; Filed, May 28, 1964; 8:48 a.m.]

[No. FSLIC-1819]

PART 563—OPERATIONS

Required Amounts and Maintenance of Federal Insurance Reserve

MAY 26, 1964.

Resolved that, notice and public procedure having been duly afforded (29 F.R. 5514) and all relevant material presented or available having been considered by it, the Federal Home Loan Bank Board, upon the basis of such consideration and of determination by it of the advisability of amendment of § 563.13 of the rules and regulations for Insurance of Accounts (12 CFR 563.13) as hereinafter set forth, and for the purpose of effecting such amendment, hereby amends said § 563.13 as follows, effective June 29, 1964.

1. Amend paragraphs (a), (b), (1), (2), (3), and (4) and (c) of § 563.13 to read as follows:

§ 563.13 Required amounts and maintenance of Federal insurance reserve.

(a) *Minimum reserve level.* (1) After the fiscal year in which a certificate of insurance is issued to an insured institution, it shall build up its Federal insurance reserve account so that as of the close of business on the closing dates preceding and following the anniversary of the date of insurance of accounts stated in the table set forth in this subparagraph, such reserve account shall be at least equal to the following percentage of the total of its savings accounts on each such closing date:

Percentage:	*Anniversary*
0.50	2
0.75	3
1.0	4
1.25	5
1.50	6
1.75	7
2.0	8
2.25	9
2.50	10
2.75	11
3.0	12
3.25	13
3.50	14
3.75	15
4.0	16
4.25	17
4.50	18
4.75	19
5.0 percent at the twentieth anniversary and thereafter.	

(2) After the fiscal year in which a certificate of insurance is issued to an insured institution, it shall build up its net worth so that as of the close of business on the closing dates preceding and following the anniversary of the date of insurance of accounts stated in the table set forth in subparagraph (1) of this paragraph, its net worth shall be at least equal to the appropriate Federal insurance reserve account requirement plus 15 percent of its scheduled items in 1964 and plus 20 percent of its scheduled items thereafter.

(3) If, at any semiannual closing date, either of the levels required in subparagraphs (1) and (2) of this paragraph is not met by an insured institution, such insured institution shall credit to its Federal insurance reserve account at such time 25 percent of its net income or any lesser amount sufficient to meet the requirements.

(b) *Semiannual credits.* (1) An insured institution shall not be required to make any credit to its Federal insurance reserve account under this paragraph at any time when its adjusted net worth is at least 12 percent of its specified assets at the close of the semiannual period.

(2) Each insured institution, not exempted under subparagraph (1) of this paragraph, that has an adjusted net worth of at least 8 percent of its specified assets shall credit, from net income, undivided profits or earned surplus, within each semiannual period, to its Federal insurance reserve account an amount at least equal to 10 percent of its net income for the period.

(3) Each insured institution which has an adjusted net worth of less than 8 percent of its specified assets shall credit, from net income, undivided profits or earned surplus, within each semiannual period, to its Federal insurance reserve account at least the amount required by the applicable of the following requirements:

(i) An institution which has not reached its twentieth anniversary of insurance of accounts and

(*a*) Has less than $25,000,000 in specified assets at the close of the period shall credit an amount equal to 10 percent of its net income for the period;

(*b*) Has at least $25,000,000 but not more than $50,000,000 in specified assets at the close of the period shall credit an amount equal to 10 percent of its net income for the period or an amount equal to 5 percent of its growth in specified assets during the period, whichever is greater; or

(*c*) Has more than $50,000,000 in specified assets at the close of the period shall credit an amount equal to 10 percent of its net income for the period or an amount equal to 6 percent of its growth in specified assets for the period, whichever is greater.

(ii) An institution which has reached its twentieth anniversary of insurance of accounts and

(*a*) Has $10,000,000 or less in specified assets at the close of the period shall credit an amount equal to 10 percent of its net income for the period; or

(*b*) Has over $10,000,000 in specified assets at the close of the period shall credit an amount equal to 10 percent of its net income for the period or an amount equal to 6 percent of its growth in specified assets during the period, whichever is greater.

(4) If an insured institution has made any semiannual credit to its Federal insurance reserve account, subsequent to December 31, 1963, in excess of the applicable requirement, it may apply such excess credit toward the requirements of this paragraph in future periods: *Provided*, That excess credits, under the previous § 563.13(c), to the Federal insurance reserve account of an insured institution, or to other reserve accounts irrevocably established for the sole purpose of absorbing losses, made prior to January 1, 1964, and not previously utilized, may be used to meet a maximum of 15 percent of its reserve credit requirements under this paragraph during the fiscal year commencing subsequent to December 31, 1963.

(c) *Limitations on payment of dividends or interest.* Any insured institution which has failed to meet the required credits under subparagraph (3) of paragraph (a) of this section or under paragraph (b) of this section shall not, after December 31, 1964, declare, pay or advertise dividends or interest for the period subsequent to the immediately succeeding dividend period, in excess of the amount approved by the Corporation, unless, in such immediately succeeding dividend period, the institution has credited to its Federal insurance re-

serve account an amount equal to the total deficiency in required credits plus the required credits for such period.

* * * * *

(Secs. 402, 403, 48 Stat. 1256, 1257, as amended, 12 U.S.C. 1725, 1726. Reorg. Plan No. 3 of 1947, 12 F.R. 4981, 3 CFR 1947 Supp.)

By the Federal Home Loan Bank Board.

[SEAL] HARRY W. CAULSEN, *Secretary.*

[F.R. Doc. 64-5395; Filed, May 28, 1964; 8:47 a.m.]

Title 14—AERONAUTICS AND SPACE

Chapter I—Federal Aviation Agency

[Reg. Docket No. 5097; Amdt. 11-2]

PART 11—GENERAL RULE MAKING PROCEDURES [NEW]

Emergency Exemptions

The purpose of this amendment is to make express provision for the processing of exemptions from air safety regulations at times of emergency when communications with Federal Aviation Agency headquarters may be interrupted.

For this purpose, a new § 11.15 is being added to this part. It authorizes the filing of exemption petitions with certain FAA field offices when, as a result of enemy attack, communications with FAA headquarters are materially impaired or altogether disrupted. The new section gives public notice of the delegated authority of the inspectors or officers in charge of these FAA field offices, at times of these emergencies, to issue exemptions upon such petitions or to deny the petitions; or to issue such exemptions on their own initiative. Exemptions so issued will be subject to review by the Director of the FAA Service in whose jurisdiction the matter falls.

Since this is a procedural regulation, notice, and public procedure thereon are not required and the amendment may be made effective less than 30 days after publication.

In consideration of the foregoing, effective May 29, 1964, Part 11 [New] of the Federal Aviation Regulations is amended by adding, in Subpart A—General, a notation "§ 11.13 reserved" and a new § 11.15 to read as follows:

§ 11.15 Emergency exemptions.

If, as a result of enemy attack on the United States, communication with Washington headquarters of FAA is or may be disrupted or materially impaired, petitions for exemptions from any rule issued under Titles III or VI of the Federal Aviation Act of 1958 (air safety rules and air traffic and airspace rules) may also be filed at the nearest FAA Regional Office, air traffic control facility or office, Air Carrier District Office, General Aviation District Office, or Flight Standards International Field Office. The procedural requirements of §§ 11.53, 11.55, and 11.71 need not be followed. Under these emergency conditions, the FAA inspectors or officers in charge of these offices may grant, in whole or in part and subject to reasonable conditions or limitations, such exemptions or may deny petitions for such exemptions; may issue such exemptions to named persons or in blanket form on their own initiative; and may limit or terminate exemptions so issued by them or by offices whose jurisdiction they may have assumed. Exemptions issued under these circumstances are at all times subject to modification and termination by the Director or Acting Director or officer in charge of the Region concerned, subject to ultimate action by the Director or Acting Director of the Service concerned.

This amendment is made under the authority of sections 303(d), 307, 313(a), 601 to 608, 610(b) and 1001 of the Federal Aviation Act of 1958, as amended (49 U.S.C. 1344, 1348, 1354, 1421-1428, 1430, 1481).

Issued in Washington, D.C., on May 22, 1964.

N. E. HALABY, *Administrator.*

[F.R. Doc. 64-5371; Filed, May 28, 1964; 8:45 a.m.]

Title 21—FOOD AND DRUGS

Chapter I—Food and Drug Administration, Department of Health, Education, and Welfare

SUBCHAPTER C—DRUGS

PART 146e—CERTIFICATION OF BACITRACIN AND BACITRACIN-CONTAINING DRUGS

Antibiotic Drugs; Expiration Dates

Under the authority vested in the Secretary of Health, Education, and Welfare by the Federal Food, Drug, and Cosmetic Act (sec. 507, 59 Stat. 463 as amended; 21 U.S.C. 357) and delegated to the Commissioner of Food and Drugs by the Secretary (21 CFR 2.90; 29 F.R. 471), the regulations for the certification of bacitracin and bacitracin-containing drugs are amended as follows to provide new expiration dates:

1. Section 146e.410 is amended by adding to paragraph (a) the following new subparagraph (3):

§ 146e.410 Bacitracin-neomycin tablets; zinc bacitracin-neomycin tablets; bacitracin methylene disalicylate-neomycin tablets.

(a) * * *

(3) Its expiration date may be 60 months after the month during which the batch was certified, if the person who requests certification has submitted to the Commissioner results of tests and assays showing that after having been stored for such period of time such drug as prepared by him complies with the standards prescribed therefor by this section.

* * * * *

2. Section 146e.411(a)(2) is amended by changing the words "or 36 months" in two places to read "36 months, 48 months, or 60 months." As amended, paragraph (a)(2) reads as follows:

§ 146e.411 Bacitracin-neomycin ointment; zinc bacitracin-neomycin ointment.

(a) * * *

(2) Its expiration date shall be the date that is 12 months after the month during which the batch was certified, except that if the person who requests certification has submitted to the Commissioner results of tests and assays showing that after having been stored for 18 months, 24 months, 36 months, 48 months, or 60 months at room temperature such drug as prepared by him complies with the standards of identity, strength, quality, and purity prescribed for the drug, the expiration date blank shall be filled in with the date that is 18 months, 24 months, 36 months, 48 months, or 60 months after the month during which the batch was certified.

* * * * *

Notice and public procedure and delayed effective date are not necessary prequisites to the promulgation of this order, and I so find, since the changes are such that they cannot be applied to any specific product unless and until the manufacturer thereof has supplied adequate data regarding that article.

Effective date. This order shall be effective on the date of its publication in the FEDERAL REGISTER.

(Sec. 507, 59 Stat. 463 as amended; 21 U.S.C. 357)

Dated: May 22, 1964.

JOHN L. HARVEY, *Deputy Commissioner of Food and Drugs.*

[F.R. Doc. 64-5385; Filed, May 28, 1964; 8:46 a.m.]

PART 147—ANTIBIOTICS INTENDED FOR USE IN THE LABORATORY DIAGNOSIS OF DISEASE

Sodium Nafcillin Sensitivity Discs

Under the authority vested in the Secretary of Health, Education, and Welfare by the Federal Food, Drug, and Cosmetic Act (sec. 507, 59 Stat. 463 as amended; 21 U.S.C. 357) and delegated to the Commissioner of Food and Drugs by the Secretary (21 CFR 2.90; 29 F.R. 471), the regulations for antibiotics intended for use in the laboratory diagnosis of disease (21 CFR 147.1, 147.2) are amended as hereinafter set forth to provide for tests and methods of assay and certification for sodium nafcillin sensitivity discs.

1. Section 147.1 is amended in the following respects:

a. In paragraph (c)(3), the following new item is inserted alphabetically in the table:

§ 147.1 Antibiotic sensitivity discs; tests and methods of assay; potency.

* * * * *

(c) * * *

(3) * * *

Antibiotic	Volume of suspension added to each 100 ml. of seed agar used for test	Suspension number	Medium	
			Base layer	Seed layer
* * *	*Ml.*	* * *	*	*
Sodium nafcillin	1.0	3	E	A
* * *	* * *	* * *	*	*

b. In paragraph (d), the following new item is inserted alphabetically in the table:

(d) * * *

Antibiotic	Solvent	Standard curve (antibiotic concentration per disc)
* * *	* * *	* * *
Sodium nafcillin	Water	0.67, 0.82, 1.00, 1.22, 1.5 μg.
* * *	* * *	* * *

2. Section 147.2 is amended by adding to paragraph (a) the following new subparagraph (25):

§ 147.2 Antibiotic sensitivity discs; certification procedure.

(a) * * *

(25) Sodium nafcillin: 1 μg.

* * * * *

Notice and public procedure and delayed effective date are not necessary prerequisites to the promulgation of this order, and I so find, since the amendments are noncontroversial in nature and provide for tests and methods of assay and certification for sodium nafcillin sensitivity discs, deemed necessary for the protection of the public health.

The basic drug and dosage forms are now available to the medical profession and the immediate availability of the subject sensitivity discs will benefit the physician in the proper use of the drug.

Effective date. This order shall become effective on the date of its publication in the FEDERAL REGISTER.

(Secs. 507, 59 Stat. 463 as amended; 21 U.S.C. 357)

Dated: May 25, 1964.

JOHN L. HARVEY,
Deputy Commissioner of Food and Drugs.

[F.R. Doc. 64-5386; Filed, May 28, 1964; 8:47 a.m.]

Title 25—INDIANS

Chapter I—Bureau of Indian Affairs, Department of the Interior

SUBCHAPTER U—ELECTRIC POWER SYSTEMS

PART 233—SAN CARLOS INDIAN IRRIGATION PROJECT, ARIZONA

Operation and Maintenance

There was published in the FEDERAL REGISTER on March 25, 1964 (29 F.R. 3707-3708), notice to amend 25 CFR Part 233 dealing with the operation and maintenance of the San Carlos Indian Irrigation Project power system and the application of electrical power rate schedules. The primary purpose of this amendment is to provide additional power revenue to meet the increased cost of operating and maintaining the power system by adjusting the various rate schedules and the addition of a rate schedule for street and area lighting.

Interested persons were given 30 days within which to submit written comments, suggestions, or objections with respect to the proposed amendment. No comments, suggestions, or objections have been received, and the proposed amendment is hereby adopted without change and is set forth below.

Because the additional power revenue is urgently needed to provide adequate and proper operation and maintenance of the San Carlos Indian Irrigation Project power system, this amendment shall become effective on the date of publication in the FEDERAL REGISTER.

STEWART L. UDALL,
Secretary of the Interior.

MAY 22, 1964.

Sections 233.51, 233.52 and 233.53 are amended to read as follows:

§ 233.51 Rate Schedule No. 1—Combination Rate.

(a) *Application of schedule.* This schedule is applicable to either single phase or three phase service for all purposes. It is especially suitable for residences, farms, stores, commercial uses and installations with similar load characteristics having normal load factors and maximum demands of less than 50 kilowatts. Unless specifically permitted by the contract, use must be limited to the consumer's own premises and power supplied must not be resold. If more than one meter is required by the customer's installation or for the customer's convenience, bills will independently be calculated for each meter.

(b) *Monthly rate.* (1) 4 cents per kilowatt hour for the first 50 kilowatt hours.

(2) 3 cents per kilowatt hour for the next 150 kilowatt hours.

(3) 2 cents per kilowatt hour for the next 200 kilowatt hours.

(4) 1.5 cents per kilowatt hour for the next 100 kilowatt hours.

(5) 1.5 cents per kilowatt hour for the next 40 kilowatt hours per kilowatt of demand over 10 kilowatts.

(6) 1.15 cents per kilowatt hour for all additional kilowatt hours.

(c) *Minimum bill.* The minimum bill shall be $2.00 per month except when a higher minimum bill is stipulated in the contracts.

(d) *Determination of demand.* The demand shall be average kilowatts supplied during the 15-minute period of maximum use during the month, as determined by project metering.

§ 233.52 Rate Schedule No. 2—General Rate.

(a) *Application of schedule.* This schedule is applicable to three phase electric service for all purposes. Unless specifically permitted by the contract, use must be limited to the customer's premises and the power supplied must not be resold. If more than one meter is required by the customer's installations, or for the customer's convenience, bills will be independently calculated for each meter.

(b) *Monthly rate.* (1) 2.4 cents per kilowatt hour for the first 25 kilowatt hours per kilowatt of billing demand.

(2) 1.6 cents per kilowatt hour for the next 50 kilowatt hours per kilowatt of billing demand.

(3) 1.2 cents per kilowatt hour for all additional kilowatt hours.

(c) *Discounts.* The following discounts will be applied in accordance with the contract demand as defined below. Discounts do not apply to the minimum charge.

	Percent
Less than 25 kw of contract demand	0
25 kw and more but less than 37 kw of contract demand	10
37 kw and more but less than 51 kw of contract demand	11
51 kw and more but less than 70 kw of contract demand	12
70 kw and more but less than 96 kw of contract demand	13
96 kw and more but less than 130 kw of contract demand	14
130 kw and more but less than 170 kw of contract demand	15
170 kw and more but less than 215 kw of contract demand	16
215 kw and more but less than 270 kw of contract demand	17
270 kw and more but less than 340 kw of contract demand	18
340 kw and more but less than 410 kw of contract demand	19
410 kw and more but less than 500 kw of contract demand	20
500 kw and more but less than 600 kw of contract demand	21
600 kw and more but less than 720 kw of contract demand	22
720 kw and more but less than 860 kw of contract demand	23
860 kw and more but less than 1,000 kw of contract demand	24
1,000 kw and more of contract demand	25

(d) *Minimum bill.* The minimum bill shall be 50 cents per month per kilowatt of billing demand and no discount shall apply to this minimum.

(e) *Contract demand.* Each contract shall state the number of kilowatts which the customer expects to require and desires to have reserved for his service. this quantity is called the contract demand. The stated quantity need not be the same for all months of the year, but the contract demand shall not be less than 20 kilowatts in any month for which a demand is stipulated.

(f) *Actual demand.* The actual demand for any month shall be the average amount of power used during the period of 15 consecutive minutes when such average is the greatest for the month as determined by suitable meters, or, if meters are unavailable, the actual demand shall be connected load or such portion of the connected load as the Project Engineer may determine to be appropriate based on available information as to the customer's use of connected lights, appliances, and equipment, or from check metering.

(g) *Billing demand.* The billing demand for a month shall be the contract

demand or the actual demand for the month, whichever is greater.

§ 233.53 Rate Schedule No. 3—Irrigation and Commercial Pumping Rate.

(a) Application of schedule: This schedule is applicable to three phase electric service for irrigation or commercial pumping loads of 25 kilowatts demand or more. The necessary metering equipment will be supplied and maintained by the project for all installations. Each service will be at one point of delivery and measured through one meter. This schedule is not applicable to temporary, breakdown, standby, supplementary, nor resale service.

(b) Monthly rate, either of the following:

(1) The sum of demand and energy charges as follows where project furnishes and maintains substation facilities:

(i) Demand charges of 50 cents per kilowatt of billing demand, and

(ii) Energy charges of 6.5 mills per kilowatt hour for the first 200 kilowatt hours per kilowatt of billing demand, and

(iii) Energy charges of 9 mills per kilowatt hour for all additional kilowatt hours, or

(2) The sum of demand and energy charges as follows where the customer furnishes and maintains substation facilities:

(i) Demand charges of 50 cents per kilowatt of billing demand, and

(ii) Energy charges of 6.5 mills per kilowatt hour for first 200 kilowatt hours per kilowatt of billing demand, and

(iii) Energy charges of 8.5 mills per kilowatt hour for all additional kilowatt hours.

(c) Minimum bill: The minimum bill shall be 50 cents per month per kilowatt of billing demand.

(d) Billing demand: The billing demand for a month shall be the contract demand or the actual demand for that month, whichever is the greater.

(e) Contract demand: Each customer shall state the number of kilowatts which the customer expects to require and desires to reserve for his service. This quantity is called the contract demand. The contract demand shall apply for not less than eight (8) months of the year. During the remainder of the year the customer may elect to reduce his contract demand to not less than 25 kilowatts on this schedule, arrange for power under another rate schedule, or disconnect his facilities.

(f) Actual demand: The actual demand for any month shall be the average amount of power used during the period of 15 consecutive minutes when such average is the greatest for the month as determined by suitable meters, or, if meters are unavailable or inoperable, the actual demand shall be the connected load or such portion of the connected load as the Project Engineer may determine to be appropriate based on available information as to the customer's use of connected load or from check metering.

(g) Substation facilities: Substation facilities shall be considered to include high voltage safety and isolating equipment, transformers, and substation structures. Normal utilization voltages shall be 240 volts, 480 volts, 2,400 volts or such primary distribution voltages as may be available. Measurement of power and energy used will be at secondary voltages.

A new section is added to Part 233 to read as follows:

§ 233.54 Rate Schedule No. 4—Street and Area Lighting.

(a) *Availability.* Street and area lighting service is available in cities, towns, and unincorporated communities in which the project does a general retail business and where the project has installed a multiple or series street lighting system of adequate capacity for the service to be rendered.

(b) *Application.* This rate schedule applies to service for lighting public streets, alleys, thoroughfares, public parks, school yards, and playgrounds by the use of project's standard facilities where such service for the whole area is contracted for under this rate schedule by the city, town, or a responsible person for unincorporated communities; and in yards, parking lots and alleys where such service for the area is contracted for under this rate schedule by individuals. Service is from dusk-to-dawn and project will own, operate, and maintain the lighting system including lamps and globe replacements.

(c) *Monthly rate.* (1) Lamps:

	Per lamp
2,500 lumens, incandescent	$0.80
4,000 lumens, incandescent	1.00
6,000 lumens, incandescent	1.30
10,000 lumens, incandescent	2.15
15,000 lumens, incandescent	2.50
15,000 lumens, or less, mercury vapor	1.90
20,000 lumens, mercury vapor	2.30
10,000 lumens, sodium vapor	1.95

(2) Standards (see "Special Provisions"):

Investment cost provided by:	Project	Others
Type A	$4.35	$1.65
Type B	3.15	1.35
Type C	1.80	.95
Type D	1.25	.80
Type E	1.65	.80
Type F	1.05	.60
Type G	4.65	2.10
Type H	4.00	1.85
Type I	2.80	1.40
Type J	2.30	1.30
Type K	3.10	1.50
Type L	2.75	1.25

(3) Underground Circuits:

	Project	Others
Per foot of cable installed under paving	$0.05	$0.00
Per foot of cable not installed under paving	.03	.00

(4) Minimum $1.40 per lamp.

(d) *Adjustment.* Monthly billing rate for lamps is based on the estimated average monthly kilowatt hour usage as billed under Rate Schedule No. 1, Combination Rate, § 233.51, Interim Regulations and Rates, San Carlos Irrigation Project, Part 233, Title 25, Code of Federal Regulations. Revisions or changes in the above Rate Schedule No. 1 will be reflected by corresponding changes in the lamp rates.

(e) *Special provisions.*

(1) The project's standard street lighting standards are as follows:

Type A: Enclosed glass luminaire with 8-foot or less up-sweep brackets mounted on 35-foot anchor base monotube or fluted steel pole.

Type B: Enclosed glass luminaire with 8-foot or less up-sweep bracket mounted on 35-foot embedded base metal pole (steel pipe or tubular steel at project's option).

Type C: Enclosed glass luminaire with 14-foot or less bracket mounted on wood pole carrying only street lighting equipment.

Type D: Enclosed glass luminaire with 14-foot or less bracket mounted on wood pole carrying distribution circuits or other type pole paid for under another standard charge.

Type E: Open type units with 4-foot bracket mounted on wood pole carrying only street lighting equipment.

Type F: Open type unit with 4-foot bracket mounted on wood pole carrying distribution circuits.

Type G: Mercury vapor luminaire with 8-foot or less up-sweep bracket on 35-foot or 40-foot anchor base monotube or fluted steel pole.

Type H: Mercury vapor luminaire with 8-foot or less up-sweep bracket mounted on 35-foot or 40-foot embedded base metal pole (steel pipe or tubular steel at project's option).

Type I: Mercury vapor luminaire with 14-foot or less bracket mounted on wood pole carrying only street lighting equipment.

Type J: Mercury vapor luminaire with 14-foot or less bracket mounted on wood pole. carrying distribution circuits, or on other type pole paid for under another standard charge.

Type K: Sodium vapor luminaire with 14-foot or less bracket mounted on wood pole.

Type L: (Park lighting) Enclosed glass luminaire with 4-foot up-sweep bracket mounted on 23-foot steel pipe pole, or similar type, subject to approval by project.

(2) Presently installed units which do not conform to the above types will be billed in accordance with the type which is most nearly like such units.

(3) The project will use diligence in maintaining service. Monthly bills will not be reduced on account of lamp outages.

(4) If the customer elects to be billed under the column headed "Investment Cost Provided by—Others" in Rate B & C, it must install the system at its own expense in accordance with the project's specifications, or make a nonrefundable advance to cover the project's cost of installing the system. The project will maintain and operate the system.

(5) The project shall not be required to extend its street lighting more than 300 feet for each lighting installation.

(R.S. 161, sec. 5, 43 Stat. 475, 45 Stat. 210, 211, 5 U.S.C. 22)

[F.R. Doc. 64-5372; Filed, May 28, 1964; 8:45 a.m.]

Title 31—MONEY AND FINANCE: TREASURY

Chapter V—Office of Foreign Assets Control, Department of the Treasury

PART 500—FOREIGN ASSETS CONTROL REGULATIONS

Importation and Dealings in Certain Merchandise; Effective Date; Correction

The date, "December 17, 1950," wherever it appears in Item 112 of the

appendix to § 500.204, is hereby corrected to read "the respective effective date."

[SEAL] MARGARET W. SCHWARTZ,
Director,
Foreign Assets Control.

[F.R. Doc. 64-5443; Filed, May 28, 1964; 8:51 a.m.]

Title 43—PUBLIC LANDS: INTERIOR

Chapter II—Bureau of Land Management, Department of the Interior

APPENDIX—PUBLIC LAND ORDERS

[Public Land Order 3400]

[Anchorage 056784]

ALASKA

Adjusting Boundaries of Kenai National Moose Range

By virtue of the authority vested in the President and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

1. The boundaries of the Kenai National Moose Range, established by Executive Order No. 8979 of December 16, 1941, are hereby adjusted to the extent necessary to encompass the areas of public land and water lying within the following-described perimeter:

SEWARD MERIDIAN

Beginning at the point of intersection of the boundary of the Chugach National Forest, with the line of mean high tide on the south shore of Chickaloon Bay, in Turnagain Arm of Cook Inlet in approximate latitude 60°53' N., and longitude 150° W.; thence

Northwesterly and westerly with meanders of the line of mean high tide of Chickaloon Bay to the point for the meander corner on the line between sections 17 and 18, T. 11 N., R. 6 W., on Point Possession;

Thence with the lines of the rectangular system of surveys as they presently exist, or as they will be when later surveyed, by approximate courses and distances as follows:

South 2.1 miles to SE corner sec. 30, T. 11 N., R. 6 W.;
West 2.0 miles to NW corner sec. 36, T. 11 N., R. 7 W.;
South 2.0 miles to SE corner sec. 2, T. 10 N., R. 7 W.;
West 2.0 miles to SW corner sec. 3, T. 10 N., R. 7 W.;
South 1.0 mile to SE corner sec. 9, T. 10 N., R. 7 W.;
West 1.0 mile to SW corner sec. 9, T. 10 N., R., 7 W.;
South 1.0 mile to SE corner sec. 17, T. 10 N., R. 7 W.;
West 2.0 miles to SW corner sec. 18, T. 10 N., R. 7 W.;
South 1.0 mile to SE corner sec. 24, T. 10 N., R. 8 W.;
West 2.0 miles to SW corner sec. 23, T. 10 N., R. 8 W.;
South 1.0 mile to SE corner sec. 27, T. 10 N., R. 8 W.;
West 1.0 mile to SW corner sec. 27, T. 10 N., R. 8 W.;
South 1.0 mile to SE corner sec. 33, T. 10 N., R. 8 W.;
West 2.0 miles to SW corner sec. 32, T. 10 N., R. 8 W.;
South 1.0 mile to SE corner sec. 6, T. 9 N., R. 8 W.;
West 1.0 mile to SW corner sec. 6, T. 9 N., R. 8 W.;
South 1.0 mile to SE corner sec. 12, T. 9 N., R. 9 W.;
West 1.0 mile to SW corner sec. 12, T. 9 N., R. 9 W.;
South 1.0 mile to SE corner sec. 14, T. 9 N., R. 9 W.;
West 1.0 mile to SW corner sec. 14, T. 9 N., R. 9 W.;
South 1.0 mile to SE corner sec. 22, T. 9 N., R. 9 W.;
West 1.0 mile to SW corner sec. 22, T. 9 N., R. 9 W.;
South 1.0 mile to SE corner sec. 28, T. 9 N., R. 9 W.;
West 2.5 miles to north ¼—corner sec. 31, T. 9 N., R. 9 W.;
South 1.0 mile to south ¼—corner sec. 31, T. 9 N., R. 9 W.; on the Standard Parallel;
West 0.9 mile to NW corner sec. 1, T. 8 N., R. 10 W.;
South 2.0 miles to SE corner sec. 11, T. 8 N., R. 10 W.;
West 1.75 miles to point for west 1/16—corner on north line of sec. 15, T. 8 N., R. 10 W.;
South 1.0 mile to point for west 1/16—corner on south line of sec. 15, T. 8 N., R. 10 W.;
West 2.25 miles to SW corner sec. 17, T. 8 N., R. 10 W.;
South 4.0 miles to SE corner sec. 6, T. 7 N., R. 10 W.;
West 1.0 mile to SW corner sec. 6, T. 7 N., R. 10 W.;
South 2.0 miles to SE corner sec. 13, T. 7 N., R. 11 W.;
West 2.0 miles to SW corner sec. 14, T. 7 N., R. 11 W.;
South 6.0 miles to SW corner sec. 14, T. 6 N., R. 11 W.;
East 2.0 miles to NE corner sec. 24, T. 6 N., R. 11 W.;
South 1.0 mile to SE corner sec. 24, T. 6 N., R. 11 W.;
East 0.5 mile to north ¼—corner sec. 30, T. 6 N., R. 10 W.;
South 1.0 mile to south ¼—corner sec. 30, T. 6 N., R. 10 W.;
East 0.5 mile to SE corner sec. 30, T. 6 N., R. 10 W.;
South 1.0 mile to SE corner sec. 31, T. 6 N., R. 10 W.;
East 17.0 miles to NE corner sec. 1, T. 5 N., R. 8 W.;
South 6.0 miles to SE corner sec. 36, T. 5 N., R. 8 W.;
West 17.3 miles to NE corner sec. 1, T. 4 N., R. 11 W.;
South 4.0 miles to SE corner sec. 24, T. 4 N., R. 11 W.;
West 1.0 mile to SW corner sec. 24, T. 4 N., R. 11 W.;
South 4.0 miles to SE corner sec. 11, T. 3 N., R. 11 W.;
West 2.0 miles to SE corner sec. 9, T. 3 N., R. 11 W.;
South 4.0 miles to SE corner sec. 33, T. 3 N., R. 11 W.;
West 1.0 mile to SW corner sec. 33, T. 3 N., R. 11 W.;
South 12.0 miles to SW corner sec. 33, T. 1 N., R. 11 W.;
East 3.8 miles to NE corner sec. 2, T. 1 S., R. 11 W.;
South 13.0 miles to SE corner sec. 2, T. 3 S., R. 11 W.;
East 8.0 miles to NE corner sec. 7, T. 3 S., R. 9 W.;
South 3.0 miles to SE corner sec. 19, T. 3 S., R. 9 W.

Thence by metes and bounds, on great circle courses with the following approximate forward bearings and distances, and with topographic references as shown on presently current editions of U.S. Geological Survey Quadrangles (scale 1:63,360): S. 45° E. 2.8 miles to the true point for the meander corner on the section-line between Sections 3 and 4, T. 4 S., R. 9 W., or between Sections 33 and 34, T. 3 S., R. 9 W. as the case may be when surveyed, where said section line intersects the line of mean high water on the left bank of Sheep Creek;

Thence upstream, southeasterly with the meanders of the line of mean high water on the left bank of Sheep Creek for approximately 10.0 miles to the headwaters of Sheep Creek at the northwest end of a small unnamed lake at the foot of Dinglestadt Glacier;

Thence southwesterly and southeasterly following the meanders of the line of mean high water along the shore of said small lake for approximately 0.7 mile to the extreme southeastern point of a narrow arm of said lake;

Thence S. 49½° E., 10.9 miles up and across Dinglestadt Glacier to an unnamed peak at elevation 5375, said peak being about 2½ miles west of East Arm:

N. 4° E., 11.5 miles across Chernof Glacier to a ridge at elevation 5873;

N. 47° E., 12.3 miles over Harding Icefield to an isolated ridge in the icefield at elevation 5244;

N. 18½° W., 9.2 miles over Harding Icefield to an isolated ridge in the icefield at elevation 5355;

N. 65° E., 13.9 miles over Harding Icefield to an unnamed peak near the north end of the icefield at elevation 5300;

N. 2° W., 4.9 miles to an unnamed peak at elevation 5107;

N. 17° W., 1.8 miles to triangulation station Menker;

N. 30° E., 1.7 miles to a point where an unnamed stream flows easterly into Resurrection River in approximate latitude 60°18'20" N., and approximate longitude 149°46'39" W., said confluence being on the boundary of Chugach National Forest as said boundary is exhibited on the diagram accompanying Presidential Proclamation No. 1307 on August 2, 1915, and said confluence being approximately 3 miles southeasterly from the head of Upper Russion Lake;

Thence northerly along the west boundary of Chugach National Forest as said boundary is defined by words and diagrams in Presidential Proclamations Nos. 1307 (Aug. 2, 1915) and 1741 (May 29, 1925), to the place of beginning.

The area described contains approximately 1,730,000 acres.

2. The purpose of this adjustment is to realign the boundaries of the Range to conform to existing surveyed lines where established, and to protracted diagram lines on certain unsurveyed lands to be surveyed in the near future. The realignment is necessary in order to facilitate administration of the Range and as a basis for the survey of adjoining selections by the State of Alaska. The effect will be to add to the Range about 40,115 acres, located primarily in the northern part of the Caribou Hills, which is heavily used during late fall and early winter as a moose feeding area. It excludes from the Range (1) a strip 6 miles in width along the shore of Cook Inlet and lands in T. 5 N., Rs. 8, 9, 10, and 11 W., Seward Meridian; (2) a strip of surveyed land lying along the shore of Cook Inlet from Bishop Creek to Point Possession, containing approximately 34,776 acres, and (3) that portion of the Range formerly lying in the Harding Ice Field.

3. Until 10:00 a.m. on August 21, 1964, subject to valid existing rights and the provisions of existing withdrawals, the State of Alaska shall have a preferred right to select the lands released from withdrawal by this order, in accordance with the Act of July 28, 1956 (70 Stat. 709; 48 U.S.C. 46-3b), and section 6g of the Alaska Statehood Act of July 7, 1958 (72 Stat. 339), and the regulations in 43 CFR 2222.9 (29 F.R. 4400), formerly 43 CFR Part 76.

4. All lands released from withdrawal by this order which presently are open to settlement, location, sale, or entry, or other disposition under any of the public land laws applicable to Alaska, or to classification and lease under the provisions of the Act of July 3, 1926 (44 Stat. 821; 48 U.S.C., secs. 360–361), entitled "An Act to provide for the leasing of public lands in Alaska for fur farming, and for other purposes," or the Act of March 4, 1927 (44 Stat. 1452; 48 U.S.C., secs. 471–471(o)), entitled "An Act to provide for the protection, development, and utilization of the public lands in Alaska by establishing an adequate system for grazing livestock thereon," shall continue to remain open to such disposition.

5. The lands (other than those referred to in paragraph 4 herein), which are released from withdrawal by this order, and which are not selected by the State, shall not be subject to settlement, location, or any form of disposition or appropriation under the public land laws pending issuance by an authorized officer of the Bureau of Land Management of an order specifying the date and manner in which such disposition or appropriation may be made, provided, however, that nothing contained herein shall be construed as closing to mineral leasing those areas released from withdrawal by this order which presently are open to mineral leasing.

6. Subject to valid existing rights, the public lands which are brought within the Range by this order are hereby withdrawn under jurisdiction of the Bureau of Sport Fisheries and Wildlife, from all forms of appropriation under the public land laws, including the mining but not the mineral leasing laws, and shall hereafter be subject to all laws and regulations applicable to the Kenai National Moose Range.

Inquiries concerning the lands shall be addressed to the Manager, Land Office, Bureau of Land Management, Anchorage, Alaska.

STEWART L. UDALL,
Secretary of the Interior.

MAY 22, 1964.

[F.R. Doc. 64–5373; Filed, May 28, 1964; 8:45 a.m.]

Proposed Rule Making

DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

[7 CFR Part 989]

RAISINS PRODUCED FROM GRAPES GROWN IN CALIFORNIA

Notice of Recommended Decision and Opportunity To File Written Exceptions With Respect to Proposed Amendment of Marketing Agreement, as Amended, and Order, as Amended

Correction

In F.R. Doc. 64–5198, appearing in the issue of Saturday, May 23, 1964, at page 6801, the following corrections should be made:

1. On page 6801, in the second column, the word "produced" appearing in the 20th and 25th lines of numbered paragraph (1) should read "producer".

2. On page 6803, in the second column, 10th line, the word "materials" should read "material".

3. On page 6805, first column, the section number in paragraph 8 reading "§ 989.59(d) (1) (v)" should read "§ 989.58(d) (1) (v)".

4. The word "acquired" appearing in the second line of column three on page 6805 should read "acquire".

[7 CFR Part 51]

TABLE GRAPES, EUROPEAN OR VINIFERA TYPE

Proposed Maturity Requirements

Notice is hereby given that the U.S. Department of Agriculture is considering the amendment of U.S. Standards for Grades of Tables Grapes (European or Vinifera type) pursuant to the Agricultural Marketing Act of 1946 (60 Stat. 1087, as amended; 7 U.S.C. 1621–1627).

All persons who desire to submit written data, views or arguments for consideration in connection with the proposed amendment of the standards should file the same with the Acting Chief, Fresh Products Standardization and Inspection Branch, Fruit and Vegetable Division, Agricultural Marketing Service, U.S. Department of Agriculture, South Building, Washington, D.C., 20250, not later than June 10, 1964.

NOTE: Packing of the product in conformity with the requirements of these standards shall not excuse failure to comply with the provisions of the Federal Food, Drug, and Cosmetic Act or with applicable State laws and regulations.

Statement of considerations leading to the proposed amendment of the grade standards. Section 51.907 of these grade standards was amended in May 1961, to provide that grapes of the Cardinal, Exotic, and Robbins varieties, when grown in Arizona, would be considered mature when testing at least 15 percent soluble solids. When grown elsewhere these grapes are required to test at least 16 percent soluble solids.

At that time, information submitted by grape industry representatives indicated that Cardinal grapes produced in Arizona, containing less than 16 percent soluble solids, were successfully marketed without complaints concerning maturity. On the other hand, Arizona Cardinal grapes which had not been harvested until achieving 16 percent soluble solids often showed breakdown and decay upon reaching market.

Maturity requirements were not changed at that time for Cardinal grapes produced in desert regions of California because the California Agricultural Code required them to test either at least 16 percent soluble solids or at least 15 percent soluble solids if the juice contained at least 25 parts of soluble solids to every part of acid. It was not feasible to establish lower maturity requirements in the U.S. standards than could be shipped from California.

On May 8, 1964, legislation was enacted changing the California Agricultural Code to provide that Cardinal grapes produced in the area south and east of San Gorgonio Pass shall be considered mature when testing at least 15 percent soluble solids. Producers and shippers of grapes in this area have submitted urgent requests for a corresponding change in maturity requirements in the U.S. Standards for Grades of Table Grapes. Such a change would provide identical maturity requirements for Cardinal grapes produced in Arizona and in the desert areas of California.

All persons who produce or market table grapes are urged to give careful consideration to the proposed amendment and to submit their views, comments and any supporting information in regard thereto within the period set forth in this notice.

As proposed to be amended, § 51.907 is set forth below.

§ 51.907 Mature.

"Mature" means that the juice from 10 percent, by weight, of whole bunches of grapes in the container, which appear to be least mature, shall test not less than 17 percent soluble solids, as determined by the Balling or Brix scale hydrometer, except that the varieties Emperor, Gros Colman, Pierce Isabella, Olivette Blanche, Rish Baba, Red Malaga, Cardinal, Ribier, Khalili, Dizmar, and varieties similar to or synonymous with the above, shall test not less than 16 percent, and except that Muscat varieties shall test not less than 18 percent: *Provided*, That grapes of the Cardinal, Exotic, and Robbins varieties when grown in Arizona, and grapes of the Cardinal variety when grown in California south and east of San Gorgonio Pass, shall test not less than 15 percent.

(Secs. 203, 205, 60 Stat. 1087, as amended, 1090 as amended; 7 U.S.C. 1622, 1624)

Dated: May 25, 1964.

G. R. GRANGE,
Deputy Administrator, Marketing Services.

[F.R. Doc. 64–5379; Filed, May 28, 1964; 8:46 a.m.]

[7 CFR Part 919]

[Docket No. AO–102–A4]

PEACHES GROWN IN COUNTY OF MESA, COLORADO

Decision and Referendum Order With Respect to Proposed Amendment of the Amended Marketing Agreement and Order

Pursuant to the rules of practice and procedure, as amended, governing proceedings to formulate marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held in the Veterans Memorial Building, Palisade, Colo., on January 23, 1964, after notice thereof published in the FEDERAL REGISTER (28 F.R. 14334; 29 F.R. 50) on proposals to amend the amended marketing agreement and Order No. 919 (7 CFR Part 919), hereinafter referred to collectively as the "order," regulating the handling of peaches grown in the county of Mesa, Colo., to be made effective pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674).

On the basis of the evidence adduced at the hearing, and the record thereof, the recommended decision in this proceeding was filed on April 25, 1964, with the Hearing Clerk; U.S. Department of Agriculture. The notice of the filing of such recommended decision, affording opportunity to file written exceptions thereto, was published in the FEDERAL REGISTER (F.R. Doc. 64–4263; 29 F.R. 5683) on April 29, 1964. No exception was filed.

The material issues, findings, and conclusions, rulings, and the general findings of the recommended decision set forth in the FEDERAL REGISTER (F.R. Doc. 64–4263; 29 F.R. 5683) are hereby approved and adopted as the material issues, findings, and conclusions, rulings, and the general findings of this decision as if set forth in full herein.

Amendment of the marketing agreement and order. Annexed hereto and made a part hereof are two documents entitled, respectively, "Marketing Agreement, as Amended, Regulating the Handling of Peaches Grown in Mesa County, Colo.," and "Order Amending the Amended Order Regulating the Handling of Peaches Grown in the County of Mesa, Colo.," which have been decided upon as the appropriate and detailed

means of effecting the foregoing conclusions. These documents shall not become effective unless and until the requirements of § 900.14 of the aforesaid rules of practice and procedure governing proceedings to formulate marketing agreements and marketing orders have been met.

Referendum order. Pursuant to the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), it is hereby directed that a referendum be conducted among the producers who, during the period March 1, 1962, through February 28, 1963 (which period is hereby determined to be a representative period for the purpose of such referendum), were engaged in the county of Mesa, Colo., in the production of peaches for market to ascertain whether such producers favor the issuance of the said annexed order amending the amended order regulating the handling of such peaches.

Robert B. Case, Fruit and Vegetable Division, Agricultural Marketing Service, U.S. Department of Agriculture, Denver, Colo., 80203, is hereby designated agent of the Secretary of Agriculture to conduct said referendum.

The procedure applicable to the referendum shall be the "Procedure for the Conduct of Referenda in Connection with Marketing Orders for Fruits, Vegetables, and Tree Nuts Pursuant to the Agricultural Marketing Agreement Act of 1937, as amended" (28 F.R. 6409).

It is hereby ordered, That all of this decision and referendum order, except the annexed marketing agreement, be published in the FEDERAL REGISTER. The regulatory provisions of the said amended marketing agreement are identical with those contained in the said order, as amended by the annexed order which will be published with this decision.

Dated: May 26, 1964.

GEORGE L. MEHREN,
Assistant Secretary.

Order[1] Amending the Amended Order Regulating the Handling of Peaches Grown in the County of Mesa, Colorado

§ 919.0 Findings and determinations.

The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations made in connection with the issuance of the order; and all of said previous findings and determinations are hereby ratified and affirmed except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) *Findings upon the basis of the hearing record.* Pursuant to the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674), and the applicable rules of practice and procedure effective thereunder (7 CFR Part 900), a public hearing was held in the Veterans Memorial Building, Palisade, Colo., on January 23, 1964, upon proposed amendments to the amended marketing agreement and Order No. 919 (7 CFR Part 919), regulating the handling of peaches grown in the county of Mesa, Colo. Upon the basis of the evidence introduced at such hearing and the record thereof, it is found that:

(1) The order, as amended and as hereby amended, and all the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(2) The order, as amended and as hereby amended, regulates the handling of peaches grown in the county of Mesa, in Colorado, in the same manner as, and is applicable only to persons in the respective classes of commercial or industrial activity specified in, the marketing agreement and order upon which hearings have been held;

(3) The order, as amended and as hereby amended, is limited in application to the smallest regional production area which is practicable, consistently with carrying out the declared policy of the act, and the issuance of several orders applicable to subdivisions of the production area would not effectively carry out the declared policy of the act;

(4) There are no differences in the production and marketing of peaches grown in the county of Mesa, in Colorado, which make necessary different terms and provisions applicable to different parts of such area.

It is, therefore, ordered, That, on and after the effective date hereof, all handling of peaches grown in the production area shall be in conformity to, and in compliance with, the terms and conditions of the said order, as amended, and as hereby amended as follows:

1. Delete § 919.10 *Fiscal year* and substitute, in lieu thereof, the following:

§ 919.10 Fiscal period.

"Fiscal period" means the twelve-month period beginning November 1 of any year and ending the last day of October of the following year, both dates inclusive, or such other period as may be approved by the Secretary pursuant to recommendations by the committee: *Provided,* That the fiscal year which began March 1, 1964, shall cover the eight-month period ending October 31, 1964.

2. Amend § 919.20 *Establishment and membership* as follows:

A. Designate the current provisions as paragraph (a) and revise the third sentence thereof to read as follows: "The members of the committee and their respective alternates shall be nominated in accordance with the provisions of § 919.21 through § 919.24, at least 30 days prior to the beginning of the term of office of the positions to be filled."

B. Add the following new paragraph (b):

(b) The five districts into which Mesa County is divided, pursuant to § 919.11, may be re-established by the Secretary upon the recommendations of the Administrative Committee. In recommending any such changes, the committee shall consider (1) the current and prospective volume of production in the producing areas; (2) the number of growers in such producing areas; (3) the relative importance of new producing sections and their geographic location; and (4) other factors which may affect the efficiency of administration of this part.

3. Delete from §§ 919.21(a) and 919.22 (a) the parenthetical phrase "(on or before February 1 of each year)."

4. Amend § 919.23 *Nomination and selection of cooperative handler members* as follows:

A. Delete from paragraph (a) the words "beginning March 1, 1956" wherever they appear.

B. Revise paragraph (b) to read as follows:

(b) Nominations of cooperative members and their respective alternates shall be made by such cooperative associations, at least 30 days prior to the beginning of the term of office of the positions to be filled, in such manner as the members of the respective associations may designate: *Provided,* That the procedures to be followed in making such nominations shall be submitted to the Administrative Committee for its approval.

5. Delete from § 919.25 *Failure to nominate* the words "on or before February 15" and insert, in lieu thereof, the following: "15 days prior to the beginning of the term of office of the position to be filled."

6. Delete the provisions in § 919.27 *Term of office* and insert, in lieu thereof, the following:

§ 919.27 Term of office.

The term of office of producer members and their alternates shall be for two (2) years: *Provided,* That, for the term beginning January 1, 1965, the term of office of three producer members and their alternates shall be for one year. (Determination of which of the initial producer members and their alternates shall serve for one year, or two years, shall be by lot.) The term of office of the independent member and cooperative handler members, and of their alternates, shall be one (1) year. The term of office of each member and alternate member shall be for the period beginning on January 1 of one year and ending on December 31 of the same year, or the following year in the case of producer members and their alternates, both dates inclusive, or such other period as the committee, with the approval of the Secretary, may prescribe: *Provided,* That the term of office which began March 1, 1964 shall end December 31, 1964. Members and alternates shall serve during the term of office for which they have been selected and have qualified and until their successors are selected and have qualified.

7. Delete § 919.42 *Handler accounts* and insert, in lieu thereof, the following:

§ 919.42 Accounting.

(a) If, at the end of a fiscal period, the assessments collected are in excess of expenses incurred, the committee, with the approval of the Secretary, may carry over such excess into subsequent fiscal periods as a reserve: *Provided,* That funds already in the reserve do not exceed approximately two fiscal periods' expenses. Such reserve funds may be

[1] This order shall not become effective unless and until the requirements of § 900.14 of the rules of practice and procedure governing proceedings to formulate marketing agreements and orders have been met.

used (1) to cover any expenses authorized by this part, and (2) to cover necessary expenses of liquidation in the event of termination of this part. If any such excess is not retained in a reserve, it shall be refunded proportionately to the handlers from whom the excess was collected. Upon termination of this part, any funds not required to defray the necessary expenses of liquidation shall be disposed of in such manner as the Secretary may determine to be appropriate: *Provided*, That to the extent practical, such funds shall be returned pro rata to the persons from whom such funds were collected.

(b) All funds received by the committee pursuant to the provisions of this part shall be used solely for the purpose specified in this part and shall be accounted for in the manner provided in this part. The Secretary may at any time require the committee and its members to account for all receipts and disbursements.

8. Delete §§ 919.50, 919.51, and 919.52 and insert, in lieu thereof, the following:

§ 919.51 Recommendation of the Administrative Committee.

Whenever the Administrative Committee deems it advisable to regulate during any period or periods, the shipment of one or more varieties of peaches pursuant to § 919.52, it shall so recommend to the Secretary. At the time of submitting each such recommendation for regulation, the committee shall furnish to the Secretary, in addition to all pertinent data and information on which it acted in making such recommendation, such other data and information as the Secretary may request. The Committee shall promptly give adequate notice to handlers and producers of each such recommendation.

§ 919.52 Issuance of regulations.

(a) The Secretary shall regulate, in the manner specified in this section, the handling of peaches whenever he finds from the recommendations and information submitted by the committee, or from other available information, that such regulation will tend to effectuate the declared policy of the act. Such regulation may:

(1) Limit, during any period or periods, the shipment of any particular grade, size, quality and maturity, or any combination thereof, of any variety or varieties of peaches grown in the production area;

(2) Limit the shipment of any variety or varieties of peaches by establishing, in terms of grades, sizes, or both, minimum standards of quality and maturity during any period when season average prices are expected to exceed the parity level;

(3) Fix the size, capacity, weight, dimensions, markings, or pack of the container or containers, which may be used in the packaging or shipment of peaches;

(b) The committee shall be informed immediately of any such regulation issued by the Secretary, and the committee shall promptly give notice thereof to handlers.

[F.R. Doc. 64-5402; Filed, May 28, 1964; 8:50 a.m.]

[7 CFR Part 987]

DOMESTIC DATES PRODUCED OR PACKED IN DESIGNATED AREA OF CALIFORNIA

Proposed Realignment of Representation on Date Administrative Committee and Proposed Suspension of Certain Provisions

Notice is hereby given of proposals regarding realignment of representation on the Date Administrative Committee pursuant to § 987.22, and suspension of certain provisions of the marketing agreement, as amended, and Order No. 987, as amended (7 CFR Part 987), regulating the handling of domestic dates produced or packed in a designated area of California (hereinafter referred to collectively as the order), effective under the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601-674).

Consideration will be given to any written data, views, or arguments pertaining to the proposals which are received by the Director, Fruit and Vegetable Division, Agricultural Marketing Service, U.S. Department of Agriculture, Washington, D.C., 20250, not later than the 10th day after the date of publication of this notice in the FEDERAL REGISTER.

Section 987.22(a) prescribes for the three industry groups, in subparagraphs (1), (2), and (3), respectively, representation on a seven-member Date Administrative Committee on the basis of tonnage handled. Section 987.22(b) requires a realignment of the representation whenever the Secretary finds that any change in tonnage handled in a group is equivalent to more than one-half of the basic 14.28 percent (one-seventh) for a member, and thereafter nominations and selections of members and alternates in that group shall be in accordance with such realignment. Recent acquisition by the principal producer cooperative marketing association of the facilities, inventories and producer obligations of the principal handler heretofore classed in the group specified in § 987.22(a)(3) results, when the requirements in § 987.22(b) are applied, in an increase from the present three members to five members in the representation for the group specified in § 987.22(a)(2), and a decrease from the present three members to one member in the representation for the group specified in § 987.22(a)(3).

Section 987.24 is suitable in a situation of separate representations, and prescribes separate meetings and different nomination procedures, as between the producers and the handlers in the group specified in § 987.22(a)(3). However, under the proposed realignment that group would be permitted only one member for both producers and handlers. Since one member permits neither separate representation nor different methods of voting in separate nomination meetings, the detailed procedure prescribed in § 987.24 of the order for the group would be unworkable and would obstruct the nomination of a representative for the group and thus section 8c(7)(C) of the act (7 U.S.C. 608c(7)(C)). To enable producers and handlers to meet together and nominate a single member and his alternate to represent the group specified in § 987.22(a)(3) of the order, it is proposed to suspend, as hereinafter set forth, those provisions of § 987.24 which specify detailed nomination procedure for such group.

The proposals are:

A. To realign the representation for certain groups on the Date Administrative Committee, as follows:

§ 987.122 Realignment of representation on the Date Administrative Committee.

The representation or membership on the Committee is realigned with respect to particular groups to provide:

(a) As to the group specified in § 987.22(a)(2), five members from cooperative marketing associations of whom two shall be employees and serve as handler members of the Committee, and three shall be from among the producer members of such associations.

(b) As to the group specified in § 987.22(a)(3), one member from all other handlers and producers.

B. To suspend the following provisions:

1. The second sentence of § 987.24(a);

2. In the second sentence of § 987.24(b): "respective", "and of the handlers in the group specified in § 987.22(a)(3),", "and each such handler", and "particular", so that the effective provisions of the sentence would read as follows: "At the meetings of the cooperative marketing associations in the group specified in § 987.22(a)(2), each such association shall be entitled to vote for each position to be filled as a representative for the group; and each such vote shall be weighted by the tonnage of dates acquired from producers and certified, for handling or for further processing, through February 28 of the then current crop year."; and

3. The third sentence of § 987.24(b).

Dated: May 26, 1964.

CLARENCE H. GIRARD,
Deputy Administrator,
Agricultural Marketing Service.

[F.R. Doc. 64-5398; Filed, May 28, 1964; 8:48 a.m.]

[7 CFR Part 1030]

[Docket No. AO-101-A29]

MILK IN CHICAGO, ILL., MARKETING AREA

Notice of Recommended Decision and Opportunity To File Written Exceptions on Proposed Amendments to Tentative Marketing Agreement and to Order

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601 et seq.), and the applicable rules of practice and procedure governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), notice is hereby given of the filing with the Hearing Clerk

of this recommended decision with respect to proposed amendments to the tentative marketing agreement and order regulating the handling of milk in the Chicago, Illinois, marketing area. Interested parties may file written exceptions to this decision with the Hearing Clerk, U.S. Department of Agriculture, Washington, D.C. 20250, by the 15th day after publication of this decision in the FEDERAL REGISTER. The exceptions should be filed in quadruplicate.

Preliminary statement. The hearing on the record of which the proposed amendments as hereinafter set forth to the tentative marketing agreement and to the order as amended, were formulated, was conducted at Chicago, Ill., May 23–29, 1963, pursuant to notices thereof issued April 15, 1963 (28 F.R. 3858) and April 30, 1963 (28 F.R. 4463).

The material issues on the record relate to:

1. Eliminating three townships in Lake County, Indiana;
2. Changing the qualifications for attaining pool plant status;
3. Providing for a skim milk and butterfat basis of accounting;
4. Including in two classes the classifications now contained in Class I, Class II, and Class III;
5. Establishing butterfat differentials applicable to Class I and Class II and to the uniform price;
6. Revising location differentials applicable to class prices and in paying producers;
7. Discontinuing the base and excess plan in paying producers; and
8. Incidental and corollary changes.

Findings and conclusions on Issue 7 were included in an earlier decision on this record issued July 29, 1963 (28 F.R. 7844). Following approval by producers, the order was amended August 8, 1963, to discontinue the base and excess plan. Findings and conclusions on all issues except Issue 7 are contained in this decision.

Findings and conclusions. The following findings and conclusions on the material issues are based on evidence presented at the hearing and the record thereof:

1. The Lake County, Indiana townships of Calumet, Hobart, and North should be removed from the Chicago marketing area.

Removal of the three Lake County townships (the Calumet area) from the Chicago marketing area for addition to the South Bend-La Porte-Elkhart marketing area was proposed by a producer association with a substantial number of producers in both markets and was supported by the principal handlers in the affected area. A separate decision recommends including the three townships in the South Bend-La Porte-Elkhart marketing area and redesignating it as the Northwestern Indiana marketing area.

The Calumet area handlers are associated more intimately in their competition for Class I sales with handlers who would be regulated by the recommended Northwestern Indiana order than with Chicago order handlers. There is substantial distribution by these Calumet handlers throughout each of the eight counties in the proposed Northwestern Indiana marketing area. These same Calumet handlers are not approved for and do not have any Class I business in the city of Chicago. The Chicago based handlers who distribute in the Calumet area have relatively little distribution in Indiana outside of Lake County, and their distribution there represents a small proportion of their total distribution.

Producers supplying Calumet area handlers are located in the milkshed overlapping the South Bend-La Porte-Elkhart milkshed. The different prices and utilizations of the Chicago and South Bend-La Porte-Elkhart orders have made it difficult for the Calumet area handlers to obtain adequate supplies in the local procurement area. The Chicago order uniform price applicable at plants in the Calumet area averaged $3.55 in 1962. Under the South Bend-La Porte-Elkhart order the average uniform price of $3.85 for the same period was 30 cents higher. Calumet handlers have had to pay more than the minimum prices prescribed by the Chicago order to obtain milk from local producers sufficient for their Class I sales plus a necessary reserve. This has placed Calumet area handlers at a disadvantage in competing with handlers able to buy supplies at the class prices under the South Bend-La Porte-Elkhart and other nearby orders.

A cooperative under the Chicago order opposed a shift of the Calumet area to the South Bend-La Porte-Elkhart marketing area. It claimed that the removal of Calumet area Class I sales from the Chicago pool would reduce the Chicago blend price 1 cent per hundredweight. However, the cooperative did not present testimony that would substantiate its position that operations of the Calumet area handlers in both distribution and procurement are more intimately associated with those of Chicago order handlers than with handlers regulated by the South Bend-La Porte-Elkhart order.

2. The pooling provisions of the order should be changed.

A distributing plant should be pooled during a month in which (1) not less than 30 percent of its total Grade A milk receipts is disposed of during the month either on routes or in the form of packaged fluid milk products to pool distributing plants, and (2) not less than 10 percent of such receipts is disposed of in the marketing area on routes from such plants or moved in the form of packaged fluid milk to pool distributing plants and distributed from such plants in the marketing area on routes. As now provided in the order, distributing-type plants need only dispose of any portion of their receipts as Class I or Class II milk products in the marketing area to qualify as pool plants. A distributing plant would be defined as a plant in which a Grade A fluid milk product that is processed or packaged in such plant is disposed of during the month in the marketing area on routes.

A supply plant (or reload point, as now defined in the order) should be pooled during a month in which shipments of fluid milk products to pool distributing plants are at least 30 percent of the butterfat in or of the volume of Grade A milk received from dairy farmers. Such shipments should be comprised of fluid whole milk representing at least 10 percent of the volume of Grade A milk received from dairy farmers. A supply plant that met the monthly 30 percent shipping requirement in July through December would be permitted to pool without further shipment in the following January through June. A supply plant would be defined as a plant from which a Grade A fluid milk product is shipped during the month to a pool plant.

Presently a supply plant may attain pool plant status in any single month by shipping at least 30 percent of the butterfat in, or 30 percent of the volume of, milk received from dairy farmers to regulated plants bottling and disposing of Class I or Class II milk in the marketing area. If a supply plant ships monthly at least 30 percent of its receipts from dairy farmers in July and December, 40 percent August through November, and 15 percent in January and February, it is accorded pool plant status in the following March through June.

A producer cooperative association proposed that a distributing plant should qualify for pooling if it utilizes during the month not less than 30 percent of its total Grade A milk receipts as Class I milk and disposes of at least 10 percent of such receipts as packaged Class I milk products in the marketing area.

The same association proposed that a supply plant (or reload point) should qualify for pooling if it ships during the month at least 30 percent of its milk receipts in fluid form to a pool distributing plant.

It was proposed, further, that a supply plant which qualified for pooling during the months of July through December would be pooled during the following months of January through June.

These proposals to change the pooling provisions of the order were supported by an association of milk dealers and an association of ice cream manufacturers in the Chicago area.

A proposal made by another producer cooperative association would pool a distributing plant that processes and packages any fluid milk products (as defined in the attached order) required to be made from inspected Grade A milk by a health authority having jurisdiction in the marketing area, all or a part of which is disposed of in the marketing area. The proposal, as modified at the hearing, would include ice cream as a fluid milk product. This would assure the continued pooling of plants which manufacture ice cream for disposition in Chicago.

The cooperative proposed, also, that a supply plant should be pooled during a month in which it ships to a pool distributing plant 30 percent of its Grade A producer receipts in the form of butterfat or skim milk. A formula was suggested for converting the weights of milk solids not fat to a whole milk equivalent for qualifying purposes.

Another proposal would provide automatic pooling for a plant that qualified as a supply plant for three consecutive months and the market administrator is notified of its willingness to dispose of 50 percent of its receipts during specified months for use in products required to be made from Grade A milk for sale in the marketing area.

The proposals made by the cooperatives are aimed primarily at:

(1) Pricing and pooling only Grade A milk under the order.

(2) Assuring milk for the market when it is needed for Class I use.

(3) Providing pooling standards that are based on plant performance in furnishing the Class I fluid milk needs of the market.

(4) Providing that all plants which supply the fluid milk needs of the market for a portion of the year shall participate in the pool during the remainder of the year. Producers supplying milk to such plants would share in the returns from the sale of Class I milk.

(5) Assuring that all milk used in products which must be made from Grade A milk in the Chicago area (such as ice cream) will be pooled.

(6) Eliminating the uneconomic movement of milk to the market for pool qualification when not needed for use in Grade A products.

Opposition to changing the pool plant provisions of the order was expressed by groups of producer cooperative associations and proprietary handlers. The opposition contends that historical sources of supply for Grade A milk used in ice cream and ice milk would be disrupted, other supply plants of long standing would be excluded from pool participation, and uneconomic shipment of milk for qualifying pool plants would increase.

The minimum class prices of the order should apply to that milk eligible for distribution as Grade A milk which is received from dairy farmers at plants primarily engaged in supplying fluid milk products for sale on retail and wholesale routes in the marketing area. Such plants would be defined as "pool plants".

It is essential to the operation of an order to establish pool plant performance standards that will insure the maintenance of an adequate supply of pure and wholesome milk for the market. The basis for determining which plants shall be pool plants under the order, and thereby fully subject to regulation, should be clearly set forth and apply uniformly to all plants wherever located. Any plant, regardless of its location, should have equal opportunity to comply with the standards of regulation and have its producers share in the available Class I sales. Pool plant status should not be determined solely on an occasional shipment of milk or an approval by a health authority. Whether plants and producers choose to supply the market will depend on the economic circumstances with which they are confronted, such as prices, transportation costs and alternative outlets.

Performance standards should be such that any plant which supplies a substantial proportion of its Grade A receipts to the market would pool its sales and share in the marketwide equalization. On the other hand, plants only casually or incidentally associated with the order market should not be subject to complete regulation in this market. Neither should they be permitted nor required to equalize their sales with all plants in the market. If a milk plant were to be permitted to share on a prorata basis the Class I utilization of an entire market without bearing any responsibility for supplying the market's fluid milk needs, then the differentials paid by users of Class I milk could be dissipated without accomplishing their intended purpose.

Since reserve milk is an essential part of any fluid milk business, there will always be some excess milk in the plants of handlers supplying any market. This will be particularly true in the months of flush production. A plant selling primarily to another market would not represent a dependable source of milk supply for this market. Permitting such a plant to pool its surplus in this market would not assure its milk being available when needed for Class I purposes in the market. Such a distribution of equalization payments would reduce the blend prices to producers regularly supplying the market and tend to reduce the number of plants on which the market could depend as regular suppliers of its Class I needs.

Plants may be regulated on the basis of their performance either as distributing plants or as supply plants. To qualify specifically as a distributing plant, a plant must dispose of not less than 30 percent of its total Grade A milk receipts during the month on routes, and not less than 10 percent of such receipts should be disposed of in the marketing area on routes. This or similar qualifying techniques are generally in use throughout the Federal order program. To assist in the identification of those plants which are to be subject to full regulation, a route definition is provided. A route is defined as the delivery (including disposition from a plant store or from a distribution point and distribution by a vendor or vending machine) of any fluid milk product classified as Class I to a retail or wholesale outlet other than a milk plant or a distribution point.

If a plant that packages fluid milk products for distribution in the marketing area neither receives milk from producers nor operates routes, it should be permitted to qualify as a pool plant on the basis of the disposition of fluid milk products packaged at such plant. Because supply plant qualifications for pooling are based on receipts from producers, a plant of this type cannot qualify as a supply plant for pooling purposes. It is appropriate, therefore, that such plant's qualifications for pooling be based on route distribution either directly from such plant or from distributing plants that are pool plants and receive packaged fluid milk products from such plants.

Except for the status of ice cream plants, there is general agreement among proponents that distributing plants should be engaged in the processing, packaging and distribution of Grade A fluid milk products in the marketing area.

The effect of the provisions recommended herein will be to disqualify as pool plants those which specialize totally and exclusively as ice cream manufacturing operations. The classification of ice cream as a Class II product is discussed elsewhere in this decision. With such classification, it would be inappropriate and inaccurate to identify such plants as supplying the fluid milk needs of consumers in the marketing area.

Pooling standards for supply plants should not be so high that they force uneconomic shipments into the marketing area to qualify plants but not to supply fluid milk outlets. At the same time, an appropriate minimum standard is needed to avoid the possibility that plants will refrain or refuse to supply the market when such action is beneficial to the plant, but does not contribute toward servicing the Class I milk needs of consumers in the market.

It is inappropriate to include in the pool, to receive the benefit of uniform prices, those plants which are not a regular or dependable part of the market supply. Such plants, in which the principal operation is the manufacture of dairy products such as butter, cheese and nonfat dry milk may be attracted to the pool primarily to participate in the higher-valued Class I utilization of the fluid market without supplying the Class I fluid milk needs of consumers in the market.

A major function of the supply plant pooling standards is to insure that handlers who are bottling milk and distributing it for sale to consumers primarily in the Chicago area can regularly and dependably obtain milk from supply plants to meet their fluid milk requirements. Without such standards, supply plants would tend to keep milk at their plants for manufacturing when it was to their advantage to do so.

The order was amended September 1, 1961, to provide the present pooling standards for supply plants. They are the basis for determining which supply plants are an integral part of the market and constitute the source of regular and dependable supplies for the market. They are specifically intended to distinguish between plants meeting a reasonable standard of regular and customary service to the market and those which do not. It was not shown that any plants failed to pool as a result of those changes.

As now provided in the order, a supply plant may attain pool status during any month by shipping at least 30 percent of the butterfat in, or 30 percent of the volume of, milk received from dairy farmers to pool plants bottling and distributing Class I or Class II milk in the marketing area.

If a supply plant ships monthly at least 30 percent of its receipts from dairy farmers in July and December, 40 percent August through November and 15 percent in January and February, it is automatically accorded pool plant status for the following months of March through June. The months of July through February are generally referred to in the industry as the qualifying months for

automatic pooling during March through June.

As provided in this decision, a supply plant would be pooled during a month in which shipments of fluid milk products to pool distributing plants are at least 30 percent of the butterfat in or of the volume of Grade A milk received from dairy farmers. A further requirement is that at least 10 percent of the volume of Grade A milk received from dairy farmers at such a plant be shipped as whole milk. A supply plant that met the 30 percent shipping requirement in July through December would be permitted to pool without further shipment in the following January through June.

During each of the qualifying months of September, October, and November 1962, a total of from three to five plants were unable to qualify for pooling under the 40 percent standard. This had not happened the previous year and reflects a marketing problem which developed during that time. The plants did qualify for pooling, however, by meeting the alternative 30 percent standard for all subsequent months. The pooling standards recommended for the months of July through December will accommodate the pooling of supply plants that are regularly associated with the market during most of the months in which the market's needs for fluid milk in relation to supply is at its peak.

The greatest controversy among proponents was centered on the question of relating pooling standards to whole milk shipments only. Opposition to this view was expressed by a relatively large number of proprietary handlers and producer cooperative associations.

For many years supply plants have qualified for pooling by shipping cream, condensed skim and similar concentrated dairy products to processing and packaging plants in the market. The record is not clear on precisely how many plants would be affected by the proposal to qualify supply plants on the basis of 30 percent of their Grade A receipts being shipped as whole milk to pool distributing plants. Views ranged from "no change" to "widespread disruption."

Data were submitted estimating the impact on supply plants of the proposal for whole milk shipments. Shipments from supply plants in August and December 1962 were the basis for the estimate.

During August 1962, 17 supply plants shipped less than 30 percent of their receipts to distributing plants in the market. Receipts at these 17 plants were about 91 million pounds. This was about 26 percent of the 349 million pounds received in that month at 75 supply plants.

During December 1962, 22 supply plants shipped less than 30 percent of their receipts to distributing plants. The receipts at these plants, 147 million pounds, were 34 percent of the 435 million pounds of milk received in that month at 76 supply plants.

The proposal that a supply plant, to pool, must ship at least 30 percent of its receipts as whole milk to distributing plants that are pool plants could have a significant impact on the pool status of some supply plants now serving the market. The record does not reveal, of course, what the current impact would be. With few exceptions, witnesses representing groups of handlers and cooperatives operating supply plants were reluctant or unable to present testimony concerning what the precise effect of the proposal on their operations would be.

A witness testified that unless supply plants ship the quantities of whole milk proposed, it cannot be said with justification that they are supplying the fluid milk needs of consumers in the Chicago area. As evidence of this, daily milk shipments of 34 supply plants during a week in each month of July 1961 through April 1963 were presented as being representative of the supply needs of about 70 distributing plants in the market. Within a single week, distributing plant requirements from supply plants generally varied more than 200 percent between the high and low day. This is because most bottling plants do not operate seven days a week and there is a significant variation in the number of days that the different bottling plants operate. Likewise, current distributing methods result in much variation in a plant's Class I needs for bottling on the various days of the week. Proponent contends that to furnish these needs supply plants serving Class I outlets must ship considerably more than 30 percent of their Grade A receipts.

The pooling standards recommended for supply plants will provide a suitable standard for plants having a continuing association with the market. They depart, somewhat, from past practice in that a portion of a supply plant's shipments to a distributing plant would need to be in the form of whole milk. It is a reasonable standard and one which emphasizes the responsibility of supply plants associated with the market to contribute toward the Class I needs of consumers. Plants which may be considered an integral part of that supply should be able to meet these requirements without difficulty under foreseeable circumstances.

It is not necessary that all distributing plants and supply plants be subjected to full regulation. Pooling standards should be sufficiently flexible to permit intermittent shipments from supply plants not regularly identified with the local market and direct distribution on routes from distributing plants which have only a minor part of their overall fluid milk business in the marketing area, without subjecting such plants to full regulation. Full regulation of such plants is unnecessary to accomplish the purpose of the order and might result in placing such plants at a competitive disadvantage in supplying the unregulated but primary market with which they are normally associated.

Some milk may be distributed in the marketing area from plants which are fully subject to the classification and pricing provisions of other Federal milk marketing orders. It is not necessary to extend full regulation under an order to such plants which dispose of a major portion of their receipts in another regulated marketing area. To do so would subject such plants to duplicate regulation. So that the market administrator may be fully apprised, however, of the continuing status of such a plant, the operator of it should, with respect to the total receipts and utilization or disposition of skim milk or butterfat at the plant, make reports to the market administrator at such time and in such manner as the market administrator may require and allow verification of such reports by the market administrator.

A definition of "nonpool plant" is provided to facilitate formulation of the various order provisions as they apply to such a plant. A nonpool plant would mean a plant (except a pool plant) which receives milk from dairy farmers or is a milk manufacturing, processing, or bottling plant. Specific categories of nonpool plants would be further defined as follows:

(a) "Other order plant" would mean a plant that is fully subject to the pricing and pooling provisions of another order issued pursuant to the Act, unless such plant is qualified as a pool plant under the Chicago order and a greater volume of fluid milk products is disposed of from such plant in this marketing area on routes and to pool plants qualified on the basis of route distribution in this marketing area than in the marketing area pursuant to such other order.

(b) "Producer-handler plant" would mean a plant operated by a producer-handler as defined in any order issued pursuant to the Act.

(c) "Unregulated distributing plant" would mean a nonpool plant that is neither an other order plant nor a producer-handler plant and from which fluid milk products labeled Grade A in consumer-type packages or dispenser units are distributed in the marketing area on routes during the month.

(d) "Unregulated supply plant" would mean a nonpool plant that is a supply plant and is neither an other order plant nor a producer-handler plant.

The emphasis which the recommended pooling standards places on continuing performance obviates the need for a "call" provision in the order.

It was proposed that such provision be employed in conjunction with pooling standards for supply plants which would not require the shipment of whole milk to distributing plants that are pool plants. In fact, to pool a supply plant, practically no milk would need to be shipped. The proposal would tend to insure continued pool status for manufacturing plants which ship little or no milk to the market.

Proponents likened the Chicago market to two other Federal order markets which contain call provisions. The principal point made here, however, is that all the markets are large. The testimony presented about call provisions in other orders concerned only mechanics. There was no claim that marketing conditions in the Chicago area are comparable to the areas for which call provisions are provided in the orders. The testimony did not include cogent reasons for adopting such provisions in the Chicago order.

Proponents stated also that a call provision would guarantee the availability of milk to the market. However, it was not shown how this would be accomplished

without lowering drastically the pool plant performance standards and thereby enabling plants with no real association with the market to share in the pool. Moreover, the availability of milk to the market is adequately guaranteed by the shipping requirements that supply plants must meet to qualify for pooling.

Obviously when distributing plants have access to all the milk required to furnish consumers' Class I needs, there is no need for a call provision. The pool plant provisions herein recommended will continue to facilitate the association of milk supplies with the market. In addition, the automatic pooling provisions will continue to accommodate supply plants which have regularly supplied milk to the market when needed. Such provisions will relieve bona fide supply plants of having to make uneconomic shipments of milk to the market for the sole purpose of maintaining pool status.

Similarly, a proposal should not be adopted which would pool a supply plant indefinitely. It was proposed that a supply plant which qualified for each of the preceding three months could continue to participate in the pool if it notifies the market administrator that it is willing to dispose of not less than 50 percent of its receipts for use in Grade A milk products in the marketing area. Such pooling would be contingent upon the plant maintaining, among other things, specified sanitary conditions.

Shipping standards are the basis for determining which supply plants are an integral part of the market and constitute the source of regular and dependable supplies for the market. They are specifically intended to distinguish between plants meeting a reasonable standard of regular and customary service to the market and those which do not. Unless adequate pool plant requirements are provided, there is no assurance that milk will be available to the market when needed.

As recommended, a supply plant, to pool for an entire year, would need ship only 30 percent of its receipts of milk or butterfat to pooled distributing plants in each of the 6 months of July through December. Only 10 percent of such shipments would need to be whole milk. This will assure that every plant which regularly and dependably furnished milk to the market during the months of July through December will be included in the pool during the following months of January through June. This provision will obviate the need to ship milk to the market when it is not needed. What is more important, it will require plants to demonstrate their association with the market each ensuing year. This technique will afford market stability and be in the public interest.

The pooling standards recommended continue to provide that supply plants may ship cream, for instance, to distributing plants and have such shipments qualify the plant for pooling on the basis of the relationship of such shipments to the Grade A butterfat receipts from dairy farmers at the supply plant.

As presently provided, the order classifies separately milk as Grade A or Grade B. Separate prices apply to each such category of milk when used in Class I and Class II products. Both categories of milk, when received at a plant, are used in determining pool status for the plant.

Under present Illinois law, only Grade A milk may be sold for fluid consumption within the State. It is appropriate, therefore, in revising the pooling provisions of the order (as well as other provisions affected) to provide that only Grade A milk shall be priced and pooled under the order.

No change should be made in the unit system pooling provisions of the order. A handler proposed that distributing plants be permitted to qualify for pooling on a unit system basis. Another proposal would include direct receipts from producers at pool distributing plants in determining the pool status of supply plants under the unit system provisions.

The economic justification for pooling supply plants on a unit basis is to promote marketing efficiency by keeping transportation costs at a minimum. As provided in the order, unit system pooling maintains pool plant status for eligible supply plants by obviating the need to move milk to the market from each plant in a supply plant system to meet the pooling provisions of the order. Pooling such plant systems is accomplished by treating them as a unit in determining whether they meet the pooling standards provided in the order.

The proposals would change significantly the nature of the unit system pooling provisions. They would pool distributing plants as a unit as well as supply plants. Such proposals do not take into consideration, however, the separate and distinctive functions of distributing and supply plants.

Distributing plants are those at which fluid milk products are processed and packaged and from which Grade A fluid milk products are disposed of on routes in the marketing area. The extent of such distribution measures a distributing plant's association with a particular marketing area. Any provision that would obscure the performance of individual plants would make it difficult to make the critical measurement necessary to determine a distributing plant's association with the market.

As proposed, distributing plants servicing consumers in entirely different markets, regulated or unregulated, could be pooled arbitrarily in the Chicago market. This could enhance financial returns to producers supplying them, but at the expense of the pool.

Supply plants, on the other hand, are those which furnish the daily, weekly, monthly and seasonal requirements of distributing plants. In performing this function, they generally retain the reserve milk associated with such supplies. Such reserves are often manufactured at the supply plant or sold to specialized manufacturing plants for processing. The point here is that in performing this supply function supply plants are often organized as systems. It was to accommodate such plant systems that the unit pooling provisions were adopted. It enables transport economies to be realized while applying aggregate pooling standards to the system. Thus, the tendency to attach more plants or milk to the pool than might otherwise be possible on an individual plant basis is minimized.

The other proposal would include direct receipts at a distributing plant as a means of pooling a "supply" of milk by applying the unit system pooling provisions. Proponent contends that this will enable handlers to close "reload points" and continue to qualify supply plant systems solely on the basis of direct receipts at distributing plants. The effect of this could be to pool a supply plant having no association with the market at any time, in any way. It could add milk to the pool without the marketing efficiencies sought by the provision. It could do this for a plant which otherwise would not be associated with the market and which could not meet the pooling standards provided for the months of July through December or for any other month.

Some handlers receive milk from both Grade A and ungraded sources. Proper safeguard should be provided in the order, therefore, to insure that the ungraded and graded portions of a plant operated by the same handler are maintained as separate entities. If a portion of a plant is physically apart from the Grade A portion of such plant, is operated separately, and is not approved by any health authority for the receiving, processing, or packaging of any fluid milk product for Grade A disposition, it should not be considered a part of a pool plant. However, if the graded and ungraded operations of a plant are not maintained separately, the entire operation of such plant would be considered as that of a pool plant, and all ungraded milk received at such plant would be considered as other source milk received at a pool plant.

That portion of the pool plant provisions which grants relief from the effects of a labor dispute during the qualifying months for automatic pooling should not be changed.

It was proposed that if, during the qualifying period, a handler notifies the market administrator that a plant is unable to meet the established pooling standards because of a labor dispute, the market administrator, upon verification of the claim shall credit the plant with minimum pooling compliance for every day such condition exists.

As now provided, the order specifies the type of dispute upon which relief may be predicated. Proponent contends that the present provision can inflict economic loss to plants and producers involved in the dispute. The proposal would change the provision by expanding the scope of what would be considered a labor dispute and by extending minimum pooling compliance to the plant involved in such dispute.

Eliminating the provision which specifies that labor disputes shall mean those involving employers and employees would offer opportunities for evading pooling obligations. Such opportunities are prevented by present provisions.

There are many situations that under the proposal could be termed labor disputes and thus affect a plant's ability to

meet performance standards. They could be of a direct and positive nature, or even indirect and remote, and could occur at places far distant from the plant itself or the market. Cases involving jurisdictional disputes between rival labor groups, disputes between haulers and their employees, organization disputes, picket lines for any reason and disputes in distributing plants to which the milk is shipped or in equipment factories are only a few of the many that might apply.

The change in type of relief which is requested would enable a plant to attain pool plant status under the performance standards even though it had not shipped any milk to the market during the entire qualifying period. The plant would likewise have to be credited with full compliance, although it may not have shipped any milk during any of the preceding months when there had not been a labor dispute. Thus, a plant could be a pool plant for the entire year, sharing in the pool, without having serviced the market at any time, regardless of the market's needs. If this occurred at other plants at the same time, it would become necessary to expand the market in order to replace the lost supply of milk that would continue to be pooled.

The only change necessary in that part of the pool plant provision relating to credited compliance in labor disputes is to change the months specified therein from July through February to July through December to correspond to the revised qualifying period for automatic pooling of supply plants.

3. The skim milk and butterfat components of milk and milk products received by handlers at each pool plant should be classified and accounted for separately. Separate classification of skim milk and butterfat recognizes that these components are not used in most products in the same proportion as received from producers and will make it possible to price skim milk and butterfat uniformly according to their respective uses. The order now provides for accounting for milk used in Class I on a product pounds basis and Class II and Class III milk are accounted for on the basis of the 3.5 percent milk equivalent of the butterfat used in each such class.

Under the classified use plan of a Federal order, it is necessary to insure that all milk and milk products are fully accounted for by the handler who is responsible for accounting and reporting to the market administrator and for making payments to producers on receipts of producer milk. Accounting for milk and milk products on a skim milk and butterfat basis at each individual plant and pricing in accordance with the form in which or the purpose for which such skim milk and butterfat is used or disposed of as either Class I milk or Class II milk is the most appropriate means of determining the classified value based on use of all fluid milk products involved in market transactions. Milk is disposed of in the market in a wide variety of forms, representing different proportions of skim milk and butterfat components of milk which may be greatly changed from the proportions of skim milk and butterfat as it is first received from producers.

Also, uniformity in accounting between markets is best accomplished by using the skim milk and butterfat method. There are now obvious difficulties in reconciling the quantities of product to be priced in Class I, particularly when consideration must be given to intermarket transfers of fluid milk products between the Chicago and other nearby markets. In all nearby Federal order markets, a handler's accounting is on the basis of the skim milk and butterfat contained in all milk and milk products handled. As noted above, Chicago handlers account for their utilizations on the basis of product pounds and milk equivalent of butterfat contained in various products. Meaningful uniformity of prices between markets depends upon a uniform measure of milk quantities involved. This can best be accomplished by adopting in the Chicago market separate accounting for the skim milk and butterfat components in fluid milk products.

Essentially, the market administrator uses a skim milk and butterfat accounting approach in his verification procedure even though such a system is not spelled out in the order. The skim milk and butterfat accounting procedure herein provided adopts the procedure used in most Federal order markets for verification of the receipts and utilization of milk and milk products and will provide for uniformity in application of the accounting system to all handlers involved. Instituting the skim milk and butterfat method of accounting as proposed herein will not change the total value of the pool or returns to producers.

Handlers record their dispositions of fluid milk products in volumetric amounts (e.g. quarts and gallons) that must be converted to pounds at the end of each month in completing their reports to the market administrator. Equal volumes of fluid milk products with varying butterfat tests vary in weight. It was proposed that a table of standard conversion factors be specified in the order for the purpose of converting volumes to weights on a basis which would be uniform between the Chicago order and orders in Ohio, Michigan, and Wisconsin that use the same conversion factors. These standard conversion factors are not a part of the other Federal orders referred to above. Inclusion of such a table of conversion factors in this order could result in lack of uniformity in the event the other order markets were to adopt different conversion factors in the future. It was not shown in what way the conversion factors proposed are different or more desirable for use than the conversion factors now used by the market administrator and made available by him to handlers and other interested persons. Therefore, inclusion of the proposed table of conversion factors in the order should be denied.

4. The order should be amended to provide for two designated classifications. There are now three classifications in the order.

Class I is presently defined to include milk and milk products disposed of for fluid consumption, except dispositions for specified uses that are designated Class II or Class III. Disposition from a plant in the form of milk, skim milk, buttermilk, flavored milk and flavored milk drinks are included in the Class I category. The order designates as Class II the milk equivalent of butterfat disposed of in the form of cream, cream products of more than 6 percent butterfat, butter cream, filled cream, frozen cream, plastic cream, eggnog, yogurt, ice cream, ice cream mix, and cottage cheese.

Class III includes the milk and milk products used to produce manufactured dairy products such as butter, cheese, and nonfat dry milk. In effect, this classification includes the milk equivalent of butterfat in milk and milk products used to produce any manufactured dairy product that is not specifically designated in Class I or Class II. Class III also includes inventory variations, plant shrinkage (within limits), and dispositions to commercial food processors.

The price for Class III milk under the order is based on the average of prices paid for manufacturing grade milk, f.o.b. plants in Wisconsin and Minnesota, as reported for the month by the Department. For 1962, the Class III price for milk containing 3.5 percent butterfat averaged $3.11.

The Class I and Class II prices are determined by adding specified differentials to the Class III price for the preceding month. Such differentials, which average on an annual basis 90 cents for the Class I price and 53 cents for the Class II price, are subject to adjustment by a supply-demand factor that may add or subtract up to a maximum of 24 cents (depending upon the supply of milk in relation to the market's utilization of milk and milk products for fluid use). In 1962, when the supply-demand adjustment was minus 24 cents throughout the year, the Class I and Class II prices for milk containing 3.5 percent butterfat averaged $3.78 and $3.42, respectively.

An average of 192.0 million pounds of producer milk was utilized monthly in Class I under the Chicago order in 1962. This was 39 percent of the average monthly receipts from producers of 488.5 million pounds. Monthly Class II utilization for 1962 averaged 13 percent (62.8 million pounds) and Class III 48 percent (233.7 million pounds).

A variety of proposals relating to changes in classification and pricing was presented at the hearing.

A proposal by producers in the hearing notice provided for three classes with frozen desserts and cottage cheese in Class II, priced at 15 cents above the Class III price. This proposal was modified by proponents at the hearing to provide for two classes with cottage cheese and frozen desserts included in the one reserve classification for all manufactured dairy products.

A number of bargaining and operating cooperatives, some proprietary handlers operating supply plants and some handlers operating plants devoted exclusively to ice cream production urged the retaining of three classes with frozen desserts and cottage cheese in the newly

designated Class II, priced from 10 to 20 cents above the Class III price.

An organization of ice cream manufacturers in the Chicago area proposed that ice cream and cottage cheese be placed in the one reserve classification with all other manufactured products.

The Class I classification should include milk, skim milk, buttermilk, yogurt, flavored milk, flavored milk drinks, sour cream, and sour cream products labeled Grade A, cream or any mixture in fluid form of cream and milk or skim milk (except eggnog, ice cream, and ice cream mix or frozen dessert mix, aerated cream products, evaporated, and condensed milk or skim milk and sterilized products in hermetically sealed containers). To facilitate reference to them throughout the order, all products whose disposition is Class I would be included in the "fluid milk product" definition.

There was general unanimity at the hearing with respect to which products should be designated Class I. Besides all products whose disposition is presently designated as Class I, the Class I category would include dispositions in fluid form of cream, mixtures of cream and milk or skim milk, and sour cream and sour cream products, which are now in the Class II classification in the order. The products included in the new Class I classification are those which are required most consistently by health authorities in the marketing area to be made from milk or milk products from Grade A sources.

All dispositions which are now in the Class III classification would be included in the newly designated Class II. Also included in this manufacturing use classification would be the milk and milk products used to produce frozen desserts (ice cream, ice cream mix, etc.) cottage cheese and eggnog.

(a) Milk used in the manufacture of cottage cheese should be classified and priced in the manufacturing use classification and the proposal to place it in a separate class priced above other manufacturing class uses should be denied

Milk used in the manufacture of cottage cheese in the city of Chicago must be from Grade A sources. However, cottage cheese that is made outside the city of Chicago from ungraded milk may be, and is, sold in Chicago. Chicago order handlers compete in the sale of cottage cheese both in and outside the marketing area with handlers regulated by other Federal orders and unregulated handlers. In all nearby Federal orders, milk used in making cottage cheese is priced at the manufacturing class utilization under the respective orders. These manufacturing class prices are comparable to the present Class III price of the Chicago order. There is no indication that unregulated handlers pay more than the prices for manufacturing grade milk for milk used in cottage cheese manufacture. Chicago handlers would be economically disadvantaged in being required to pay a higher price for milk used for cottage cheese than their competitors outside the order.

(b) The proposal to classify milk used for ice cream manufacture in a separate classification and price it above other manufacturing class uses should be denied.

The city of Chicago health ordinance and code requires that ice cream and ice cream mixes sold in Chicago be manufactured from Grade A milk. No such requirement exists in the marketing area outside Chicago. With few exceptions, the operators of plants producing ice cream, any of which is sold in the city of Chicago, utilize Grade A milk products in the manufacture of all ice cream at their plants. At least one major ice cream producer has a dual plant, in which the production of ice cream for Chicago is maintained separately as a Grade A operation; the ungraded portion of the plant is not Grade A and the ice cream produced there is sold outside the city of Chicago. Some ice cream manufacturers maintain separate Grade A plants to supply ice cream for their city of Chicago outlets and another plant using ungraded milk to supply their customers outside Chicago.

Almost half the population of the marketing area is outside the city of Chicago. The sales area of ice cream manufacturers who supply the marketing area is significantly greater than the marketing area under the order. The record was not complete with respect to the exact expanse of the territory outside the marketing area wherein Chicago handlers sell ice cream. It was indicated, however, that such territory includes locations in southern Wisconsin and northern Illinois. It was further indicated that these sales are made in competition with ice cream manufacturers located in areas under Federal milk orders as well as with ice cream made in unregulated areas.

One relatively large handler testified that 60 percent of his ice cream sales are outside the city of Chicago. Nevertheless, he maintains a complete Grade A operation in order to satisfy the requirements of the city of Chicago. The figures presented for a group of seven handlers show that of their total sales of 300,000 gallons of ice cream during 1 week in May 1963, 143,000 gallons (48 percent) were sold outside the city of Chicago in competition with handlers not required to use Grade A milk for the manufacture of ice cream.

One handler estimated that 92 percent of the ice cream produced by Chicago order handlers was sold in the city of Chicago. Among the basic data used to make this estimate were the market administrator's statistics showing the quantity of ice cream produced by Chicago order handlers. These statistics do not include, however, the ice cream produced from ungraded milk and sold in that portion of the marketing area outside the city of Chicago.

The order price of milk, the butterfat of which is used in the production of ice cream, presently averages, on an annual basis, about 30 cents per hundredweight above the manufacturing use classification in the order. Since the skim milk value in this classification is the same as the skim milk value under the order in the manufacturing use classification, the 30 cent additional cost is allocable to the butterfat. This is equivalent to approximately 10 cents per pound of butterfat or 5 cents per gallon of ice cream.

The ice cream manufacturer who is a multiple plant operator or operates a dual plant (so that ice cream production from Grade A milk is maintained separately from the ice cream production from ungraded milk) has a distinct advantage over his competitor with one plant, any portion of whose sales are in the city of Chicago. The latter must use Grade A milk for all his operations whether his sales are predominantly in the city of Chicago or predominantly outside.

The maintenance of a dual plant or of separate plants by the same handler for ice cream production requires the duplication of costly equipment. Such facilities, therefore, can be justified only by large scale operations and a significant spread between the cost of Grade A and ungraded milk used in ice cream production. The present pricing provisions of the order (whereby milk for ice cream manufacture is priced above other manufacturing class uses) have tended to encourage such separate operations by the same handler. A continuation of such pricing would tend to encourage an increase in such separate operations. In effect, the current pricing provisions have encouraged this economic waste at the expense of consumers and with little, if any, long range benefit to producers. Since any milk used for ice cream under the order must now be priced about 30 cents per hundredweight above the manufacturing class price, there is incentive for ice cream manufacturers without distribution in the city of Chicago to use milk from unregulated plants instead of that under the pool for their ice cream production. The present higher prices tend to lose outlets for Chicago order producers for milk for ice cream.

It was testified at the hearing that ice cream manufacturers are not able to obtain higher prices for ice cream made from Grade A milk outside the city of Chicago than for ice cream manufactured from milk from ungraded sources. Consumers have indicated no willingness to pay higher prices at retail for ice cream made from milk products from Grade A sources. Whether or not the milk products used in the manufacture of ice cream offered for sale are from Grade A sources the ice cream is not so labeled. Even in the city of Chicago, which requires that ice cream be made from milk from Grade A sources, no Grade A label appears on the ice cream sold there.

The multiple plant operator or the dual plant operator may use ungraded milk in making ice cream in his ungraded plant or in the ungraded portion of his dual plant. The cost of such ungraded milk may be expected to approximate the manufacturing use class price under the order. This is the class price for milk used for manufacturing purposes in other nearby Federal milk orders and is the price which handlers under such orders pay for milk used in the manufacture of ice cream and ice cream mix.

It was testified at the hearing that ice cream should not be included in the manufacturing use class because it is required by a health authority in the marketing area to be made from milk from Grade A sources. Other testimony at the hearing suggested that products required by a health jurisdiction in the marketing area to be made from Grade A sources should be classified as Class I. There was no support at the hearing for including milk used to produce ice cream in the Class I classification. In fact, proponents for a separate classification for ice cream were generally opposed to maintaining a separate classification for ice cream at the level of the present Class II price, which currently is about 30 cents above the manufacturing class price. Instead, proponents for a separate classification for ice cream urged that a classification priced at amounts ranging from 10 to 20 cents above the manufacturing use class be provided for the ice cream classification.

As now provided in the order, a plant shipping milk or specified milk products to a plant manufacturing ice cream for sale in Chicago may use such shipments to qualify as a pool plant under the order. Much of the testimony at the hearing for retaining a separate classification for milk used in the manufacture of ice cream was linked to proposals enabling such shipping plants to continue to qualify as pool plants.

The requirements for pool plant status, which are contained in this decision, provide reasonable standards whereby any plant, wherever located, may qualify as a pool plant on a performance basis. These standards help insure that the market will be supplied with its Class I needs throughout the year. Producers who supply those plants which, by their performance qualify as pool plants, should share in the Class I sales of the market and in the burden of carrying the reserve supply of milk necessary to insure the maintenance of the market's Class I needs throughout the year. It would be uneconomical from a point of view of maintaining a reliable supply of milk for the market to provide that the benefits of the Class I market be shared with dairy farmers delivering to plants that are not a part of the market's Class I supply.

Classification in the manufacturing use class of milk used in ice cream production will provide additional outlets for the reserve supplies of milk under the order. At the present time, unregulated plants and plants under other orders pay prices approximating the manufacturing use class price under the Chicago order for milk used in ice cream production. Chicago order handlers presently, as indicated above, now pay approximately 30 cents per hundredweight above the manufacturing use class price for milk used in ice cream manufacture. The pricing of ice cream in the manufacturing use classification under the order will enable Chicago order handlers to compete more equitably with others in disposing of reserve supplies of milk for ice cream manufacture.

(c) Milk used to make eggnog should be included in the manufacturing use classification. The principal ingredient of eggnog is a low fat ice cream mix. Unless it is labeled Grade A, few, if any, jurisdictions in the marketing area require that eggnog be made from Grade A milk. Presently, however, the classification of milk used for eggnog under the Chicago order is the same as for a Grade A fluid milk product. This has placed Chicago order handlers at a disadvantage in competition with eggnog made from ungraded milk. The classification and pricing of milk used to make eggnog in the manufacturing use classification will tend to alleviate this inequity.

(d) Milk used to produce aerated cream products should be included in the manufacturing use classification. Aerated cream products are most frequently packaged in hermetically sealed containers. In such packages they may be distributed over a wide area and at great distances from the locations where they are packaged. This makes it possible for such products made from unregulated milk to be sold in the marketing area in competition with aerated cream products made from Grade A milk at regulated plants. Under all the nearby Federal orders, milk used in aerated cream products is classified in manufacturing use classifications. In addition, aerated cream products compete with similar products that are made with vegetable fat, the cost of which is substantially less than the cost of butterfat from either regulated or unregulated sources. To require that aerated cream be priced in a classification higher than the manufacturing use classification would tend to discourage the use of butterfat in this product and thereby lose this market for producers. It is concluded that the market will be served best by including milk used to produce aerated cream products in the manufacturing use classification.

(e) Inventories of the skim milk and butterfat in bulk and packaged fluid milk products on hand at the end of the month should be classified in the Class II classification. This was proposed by producers to replace the present order provision classifying "inventory variations" in Class III. Under this latter method any increase in a handler's inventory at the end of the month over that for the preceding month is subtracted from his Class III utilization; conversely, a closing inventory decrease from the preceding month is added to the handler's Class III utilization.

With the skim milk and butterfat method of accounting herein recommended the inventory of milk and milk products at the beginning and end of each month are significant factors in determining a handler's obligation for pool milk. The accounting procedure would be facilitated by providing that the month-end inventory of fluid milk products be classified in Class II. Such inventory would be subtracted from the available Class II milk in the following month. The higher use value of any fluid milk products in inventory which are allocated to Class I milk in the following month should be reflected in returns to producers. This would be computed at the difference between the Class I price for the current month and the Class II price for the preceding month. Although it is possible to build up inventory over a period of several months, it can be expected that any inventory reclassification would most likely be attributable to milk classfied and priced as Class II in the immediately preceding month. In view of this and because there is relatively little change in the Class II price from month to month, it would be impractical to provide for a price adjustment of beginning inventory based on a Class II price for other than the preceding month.

Since the disposition of skim milk and butterfat in nonfluid milk products has been accounted for when used to produce a manufactured dairy product (and classified as Class II milk) such skim milk and butterfat should not be included in inventory. Likewise, when the Class I disposition of a fluid milk product has been established by a handler it may not be considered subsequently as a part of his inventory. Accordingly, a handler's closing inventory would be limited to the skim milk and butterfat in those fluid milk products at his plants at the end of the month for which a Class I or Class II utilization has not been established.

(f) The shrinkage provision should be revised to recognize current methods of handling milk in the market and to provide equitable division of shrinkage among handlers.

"Shrinkage" is that waste or loss of skim milk and butterfat experienced in plant operations of receiving, processing and packaging or manufacturing. Because shrinkage represents disappearance of milk for which the handler must account, but for which no direct return is realized, it should be considered as Class II milk to the extent that the amount is reasonable and is not the result of incomplete or faulty records.

The maximum shrinkage allowance in Class II of each handler should be 2.0 percent of producer milk (except that diverted to a nonpool plant or for which a cooperative association is the handler), plus 1.5 percent of producer milk from a cooperative as a handler and bulk fluid milk products from pool plants of other handlers and less 1.5 percent of bulk fluid milk products transferred to other plants (except pool plants of the same handler).

Plants which are operated in a reasonably efficient manner and for which accurate records of receipts and utilization are maintained should not have plant losses in excess of the maximums provided. Any shrinkage in excess of the maximums should be classified as Class I milk. This is reasonable and necessary to effectuate equitably the classified pricing plan.

There should be no limitation on the classification of shrinkage of other source milk in Class II. It was not shown that such limitation is necessary to adequately safeguard the classification of producer milk.

As provided elsewhere in this decision, a cooperative, at its election, may be the handler of milk of its member producers

that is delivered from the farm to the pool plant of another handler in a tank truck owned and operated by or under contract to such cooperative. When a cooperative is a handler under such conditions, the operator of a pool plant receiving this bulk tank milk directly from the farm would be responsible for the milk as though it were a receipt from producers. However, the full 2 percent allowance for shrinkage would be permitted the handler only if he is purchasing the milk on the basis of farm weights and had so notified the market administrator. Otherwise, the maximum shrinkage in Class II allowed the handler on such milk would be 1.5 percent, and the cooperative would be responsible for any difference between the gross weight of producer milk received in the tank truck at the farms and that delivered to pool plants. This procedure is followed in a number of other Federal orders and provides a reasonable basis for the allocation of the shrinkage allowance in those instances wherein the cooperative is the responsible handler with respect to milk picked up at producers' farms in bulk tank trucks.

(g) Reconstituted fluid milk products should be classified as Class I and manufactured dairy products used to produce such fluid milk products should be accounted for on their fluid skim milk equivalent weight.

Nonfat milk solids added to a fluid milk product should be converted to their fluid skim milk equivalent weight and accounted for on that basis. Class I classification would apply to the weight of skim milk and butterfat contained in an equivalent volume of an unmodified fluid milk product. The remainder would represent added skim milk solids and should be classified as Class II milk on a skim milk equivalent basis.

Other source milk includes milk produced by the reconstitution to fluid form of manufactured dairy products, such as fluid skim milk made by the addition of water to nonfat dry milk. Other source milk products such as nonfat dry milk and condensed milk also may be added to fluid milk products to increase the nonfat milk solids content, thus making so-called "fortified" fluid milk products.

Proposals made by producer groups and considered at the hearing contemplated the classification and accounting for reconstituted and fortified fluid milk products on the basis herein recommended. There was no opposition to such proposals at the hearing.

Under the present order provisions the products included in Class I are accounted for on the weight of the product disposed of and are normally required to be made from Grade A milk supplies. The volume disposed of in each concentrated fluid milk product is converted to a weight on the basis of the volume of milk used to produce such fluid milk product rather than using the volume of the finished product. Only the butterfat component is now accounted for in Class II and Class III.

An economic incentive exists for handlers to substitute, where possible, reconstituted fluid milk products for fluid milk products processed from current receipts of producer milk. Since such substitution of a manufactured dairy product, with a surplus value, would replace an equivalent amount of producer milk in a fluid milk product, the application of skim equivalent accounting in such circumstance is economically sound and necessary to maintain orderly marketing. The accounting procedure to be followed in the case of concentrated milk products used in reconstituted fluid milk products designated as Class I should be based on the pounds of milk or skim milk required to produce the concentrated product.

The same economic incentive to handlers is not present with respect to nonfat dry milk or condensed skim milk used to fortify a fluid milk product. The incentive for handlers to use nonfat milk solids in fortified products arises from the specific demands of consumers. The increased emphasis on lowfat diets and the high nutritional value of nonfat solids in relation to their weight have contributed to the increased demand for added nonfat solids in fluid milk products. Such products are distinguished from reconstituted products in that the resulting increased volume of fluid milk product is not attributable to the addition of water.

When the skim milk equivalent provision is applied to fortified fluid milk products, it inflates significantly the utilization and disposition of Class I milk. Proper recognition should be given to the role of fortified fluid milk products in the orderly marketing of producer milk in the market. The development of new fluid milk products in which producer milk may be used has had no evident adverse effect on total Class I sales in the market even though for some consumers they substitute for other fluid milk products. To the extent that fortification with nonfat solids adds to the total demand for fluid milk products, returns to producers are improved by a higher Class I utilization.

The use of nonfat milk solids in fortified fluid milk products represents an additional outlet for milk which would otherwise be surplus. Pricing the fluid skim equivalent of nonfat milk solids at the Class I price increases dealers' costs for resulting products. The higher cost inhibits the use of nonfat milk solids in fortified fluid milk products. In the long run, producer returns may be affected adversely.

For reasons previously stated, it is neither necessary nor appropriate to require handlers to account and pay for an inflated volume at the Class I price. Nevertheless, it is practical and administratively necessary to maintain full skim milk equivalent accounting. These conclusions may be reconciled by providing that fortified fluid milk products be classified as Class I only to the extent of the weight of an unmodified fluid milk product of the same nature and butterfat content. The skim milk equivalent of the nonfat milk solids not classified in Class I should be considered to be Class II disposition.

(h) Proposals were made to extend the "surplus milk manufacturing area" (the territory in which fluid milk products may be moved to nonpool plants and be classified as Class II milk) to include all territory within the States of Illinois and Indiana.

The present "surplus milk manufacturing area" includes the State of Wisconsin, 65 specified counties in northern Illinois and Indiana, the counties of Ottawa, Kent, Allegan, Barry, Calhoun, St. Joseph, Van Buren, Kalamazoo, Cass, and Berrien in Michigan and Van Wert County in Ohio.

The area to which shipments of milk, skim milk and cream from pool plants to nonpool plants may, under specified conditions, be classified as Class II milk should be expanded to include all territory in Illinois and Indiana not now designated as a part of the surplus milk manufacturing area. Although in the hearing notice, the Michigan counties of Kent, Allegan, Barry, Calhoun, St. Joseph, Van Buren, Kalamazoo, Cass, and Berrien were proposed to be deleted, there was no support at the hearing for their removal; and they should be retained as a part of the surplus disposal area.

In the Chicago market, milk, skim milk, and cream are moving increasingly greater distances than heretofore to nonpool plants engaged in manufacturing dairy products. At the present time milk surplus to the fluid needs of an Illinois plant is periodically disposed of for manufacturing uses to a Wisconsin plant approximately 330 miles away. In the high production months it has been necessary to dispose of milk not needed for Class I uses to plants at even greater distances from the market than this Wisconsin plant.

There are several nonpool plants engaged in manufacturing dairy products in southern Illinois and Indiana that are potential outlets for reserve supplies of milk. Such manufacturing plants are potentially more desirable outlets for surplus milk economically, by reason of their proximity to the market than outlets available in the present surplus disposal area.

Expansion of the surplus milk manufacturing area as herein proposed, by permitting greater flexibility in disposing of reserve supplies of milk to manufacturing outlets, will contribute to orderly marketing of milk in the Chicago market. The larger area provided is adequate to dispose of supplies not needed by order handlers for Class I purposes in the marketing area.

(i) It was proposed that the annual average Class I differential over the basic formula price be changed from 90 cents to $1. It was testified that this increase is necessary to compensate for changes in classification and accounting for milk and in adjusting the location differential application so that the Class I price is announced f.o.b. marketing area.

The attached order provides that the Class I price will be announced f.o.b. marketing area instead of at the 55–70-mile zone as now provided. This revision, which was unopposed at the hearing, would cause no change in the cost of Class I milk to handlers or in returns to producers. Because of the

change in location at which the prices would be announced, the effective price at each location zone would be unchanged. At the present time, no location differential adjustment is applicable in the 55–70-mile zone. A minus location adjustment of 2 cents for each 15-mile zone is applicable beyond 70 miles. Conversely, plus location adjustments of 4 and 2 cents, respectively, are applicable to milk received at plants in the marketing area and within the 55-mile zone outside the marketing area. As herein provided, the location adjustment would be zero in the marketing area and minus 2 cents for each presently designated zone. Consequently, the Class I and uniform prices as announced would be 4 cents higher than on the present basis and would be offset in the same amount by the location adjustment revision in each zone.

The market administrator was requested by industry representatives to estimate changes in returns to producers that would result from the changeover to the skim milk and butterfat method of accounting and in the proposed revised classification procedures. The data submitted by the market administrator established that an increase of 6 cents in the Class I price was necessary to maintain returns to producers at their present level. That is, if the two-class system and skim milk and butterfat method of accounting herein recommended were in effect from September 1961 through August 1962 without any change in the Class I price, this would have resulted in a reduction in returns to producers approximating 6 cents per hundredweight on all Class I milk.

In view of the above, it is concluded that the annual average Class I differential over the basic formula price should be increased 10 cents to compensate for changes in classification and accounting procedures and for the changeover to f.o.b. marketing area pricing. This revision will maintain the present level of pricing under the order.

(j) Several witnesses offered statements at the hearing which would increase the level of the Class I price by changing the Class I supply-demand adjustment or by basing the Class I price level on the cost of producing milk or an economic formula relating the price to consumer purchasing power and the general level of the economy.

A producer association proposed to eliminate the supply-demand adjustment or to base the supply-demand ratio on the 1962 relationship of supplies to Class I sales. The proponent urged reduction of the present 72-percent norm in the Class I formula to 41 percent to eliminate the minus adjustment of 24 cents now effective or to 61 percent to maintain the present adjustment under the reclassification herein provided. There was considerable opposition by handlers to the proposal to increase the Class I price by changing the supply-demand adjustment.

The present supply-demand adjustment is centered on 28 percent of the supply as being an adequate reserve for Class I and II sales. For the past 3 years the supply-demand adjustment has deducted the maximum amount possible under the Class I price formula (24 cents). The amount by which the Class I price has been decreased would have been substantially larger if the automatic limit of 24 cents had not applied.

The 72-percent norm now used in the supply-demand computation should not be changed on the basis of this record. It has been a reasonable measure of supplies needed to fill Class I needs of the market. More information on receipts and utilization based on the new pooling, classification, and accounting procedures recommended herein is needed to justify a different supply-demand formula. Meanwhile, the present supply-demand formula, based on Class I sales and receipts, should be continued. This would have no immediate effect since the present supply-demand computation results in an amount well above the maximum provided in the order. However, after the market has operated under the revised order for a reasonable period of time, it would then be feasible to reexamine the supply-demand formula.

Exhibit 27, a copy of a letter from the Deputy Administrator of the Agricultural Marketing Service to a proponent, denied inclusion in the hearing notice of a proposal to increase the level of the Class I price. The letter pointed out: "There is no indication that the Class I price is not obtaining an adequate supply of milk relative to sales or is otherwise inappropriate under current or prospective conditions in the marketing area. In 1962, 52 percent of producer deliveries was used for Class I and II purposes compared to 56 percent in 1961. Producer deliveries increased 5 percent from 1961 to 1962 while Class I sales declined 2 percent. It is thus evident that the level of prices in the Chicago market has brought forth an adequate supply of milk. Accordingly, your request to include in the hearing notice a proposal to increase the Class I price is denied."

Except for the offsetting adjustments necessitated by various amendments (as indicated elsewhere in this decision), there is no basis for increasing the Class I price level of the Chicago order under the statutory requirements of the Act. The Agricultural Marketing Agreement Act of 1937, as amended, the authority under which milk marketing orders are issued, requires that prices be established at a level which will tend to obtain an adequate supply of milk to meet the fluid needs of the market plus a necessary reserve for fluctuations in demand. Of the approximately 6-billion pounds of milk pooled in 1962, less than half were required for fluid uses in the market. Thus, there is no indication that supplies are inadequate or tending to become inadequate for the Chicago market.

5. The separate classification of skim milk and butterfat herein recommended requires that the Class I and Class II prices be adjusted in accordance with the average butterfat content of milk in each class. This can be accomplished by using a butterfat differential which will reflect differences in value due to variation in the butterfat content of producer milk used in each class.

As proposed at the hearing, the butterfat differential applicable to Class I and Class II milk would be based on the average of the daily wholesale selling prices per pound of Grade A (92-score) bulk creamery butter at Chicago as reported by the Department. This quantity would be computed for each month by the market administrator and defined in the order as the "butter price".

At the present time, the only butterfat differential provided in the order is that used for adjusting the uniform price in making payment to producers. This differential, which is obtained by multiplying the butter price for the preceding month by 12 percent, is applicable to each one-tenth percent variation in butterfat above or below 3.5 percent in a hundredweight of milk.

The accounting procedures now provided in the order utilize basically the milk equivalent of the butterfat in milk and milk products disposed of in each class to establish the pounds of milk in each class. The utilization thus determined, for the purpose of settlement with the pool, is on the basis of milk containing 3.5-percent butterfat. Consequently, it has been unnecessary to provide in the order for butterfat differentials applicable to milk in each class.

The butterfat differential applicable to Class I milk should be 12 percent of the butter price for the preceding month. This was the only Class I butterfat differential proposed at the hearing and there was no opposition to it. This rate has wide acceptance, being applicable in a number of nearby and other Federal order markets. There has been little variation in the amount of this differential from month to month in recent years because of the stability of butter price quotations on the Chicago market. From April 1962 through April 1963, the monthly butter price ranged from 57.94 cents to 58.28 cents. The butterfat differential of 12 percent of the butter price for each of these 13 months was 7.0 cents; and for each of the 15 months immediately preceding, January 1961 through March 1962, it was 7.3 cents. For 1962, this butterfat differential averaged 7.1 cents. Since the average Class I price for the year was $3.78, the value of the 3.5 pounds of butterfat in a hundred pounds of milk (assuming the market had been on a skim and butterfat basis) was $2.485 and the skim milk portion of such hundred pounds of milk would have been valued at $1.295.

Any higher Class I butterfat differential than herein recommended would allocate more value to the butterfat in Class I milk. A number of fluid milk products on the market are made up of a proportionately high percentage of solids not fat (e.g. fortified or modified skim milk). With a Class I butterfat differential too high, producers would not receive their appropriate share of the Class I sales value represented by the solids not fat portion of fluid milk products. A high butterfat differential also would have the effect of pricing cream for Class I uses at a level which might tend to restrict its use by consumers and encourage the use of cream substitutes.

The butterfat differential herein recommended will encourage the disposition of butterfat to Class I outlets.

There were no proposals at the hearing for a Class I butterfat differential lower than 12 percent of the butter price. It was indicated, however, that butterfat under the order for Class I should not be priced less than that provided for butterfat utilized in manufacturing. As indicated below, the butterfat differential on Class II milk would be 12 percent of the butter price for the current month and would, therefore, generally be the same as the butterfat differential for Class I milk.

A major producer association in the market proposed that the butterfat differentials for Class I and Class II milk be maintained at the same level. The witness for this association claimed that, in effect the order now provides for the same butterfat values for milk utilized in Class I and the present manufacturing class (Class III). In breaking down the butterfat and skim milk values in Class I and Class III under present order provisions, the producer butterfat differential of 12 percent of the butter price is used in determining the butterfat values in each of these classes. In view of this, it was indicated that there is no justification to establish different butterfat differentials for the newly designated Class I and Class II.

A proposal by another producer association would use a rate of 11.5 percent of the butter price as a Class II differential. This would have the effect of reducing by approximately 10 cents the value of butterfat in a hundredweight of milk containing 3.5-percent butterfat and increasing the value of the skim milk portion by the same amount. It was not shown what imbalance in pricing, if any, that this change was intended to correct. Neither was it indicated that handlers are experiencing abnormal difficulties in marketing the butterfat in reserve supplies of milk that are not needed for fluid consumption at prices based on 12 percent of the butter price. At this rate, the cost of butterfat for use in manufactured products will remain competitive with butterfat from alternative sources of supply. No testimony was presented indicating that butterfat in the form of fluid milk products was available from nonpool plants at lower prices. It is concluded that the Class II butterfat differential should be 12 percent of the butter price for the preceding month.

Whereas the Class I butterfat differential is based on the butter price for the preceding month, the Class II butterfat differential is based on the butter price for the current month. This is because the Class I price is announced on the 5th day of the month to which it applies so that handlers may know in advance what their Class I product costs are. The class price for milk for manufacturing purposes is announced on the 5th day following the month to which it applies. Thus the Class II butter differential will reflect the market value of butterfat in the most recent month for which such information is available.

Under conditions such as prevailed in recent years, there are infrequent changes in the butter price from month to month. In most instances, therefore, the butterfat differentials for Class I and Class II will be the same. However, when there are fluctuations in the butter market, this will be reflected without lag in a Class II butterfat differential based on the butter price for the most current month.

The butterfat differential for adjusting the uniform price to producers should be continued at 12 percent of the butter price for the current month. The only proposal other than this rate made at the hearing would use as the producer butterfat differential a weighted average obtained by multiplying the applicable butterfat differential for each class by the percent of butterfat of producer milk in such class. With the butterfat differentials herein recommended for Class I and II, wherein the differentials for both the classes will generally be the same or of negligible difference each month, there would be no advantage in replacing the method of determining the producer butterfat differential, which method has wide acceptance in the market, with a more complex method that would have no additional economic benefit to producers.

6. The location adjustment credit to handlers on fluid milk products moved between pool plants should be based on the Class I utilization at the transferee plant.

The order now provides a location adjustment credit on producer milk received at a plant and (1) moved in fluid form to a regulated plant within 70 miles of the Chicago City Hall or (2) classified as Class I or Class II without moving to a regulated plant within 70 miles of Chicago. The location adjustment rate on milk and skim milk is 2 cents per hundredweight for each 15-mile zone that the transferor plant is more than 70 miles from Chicago; the maximum location adjustment rate on milk and skim milk is 42 cents. The location adjustment rate on movements of cream varies according to the distance of the transferor plant from the Chicago City Hall. This rate for each hundredweight of cream containing 36 percent butterfat (or each 36 pounds of butterfat in cream) ranges from 5 cents at the 70–85-mile zone to a maximum of 50 cents at plants 310 miles from the Chicago City Hall and beyond.

A producer association proposal would provide a location adjustment credit on milk, skim milk and cream moved between pool plants at the rates now provided in the order, except that such credit would be applicable to not more than 110 percent of the Class I utilization at the transferee plant. The location differential credit would apply to bulk milk, skim milk and cream moved to plants f.o.b. the marketing area instead of the present basis which allows credit for such movements to plants within 70 miles of Chicago. The operator of the transferee plant would receive the location adjustment credit which would be computed in sequence beginning with the transferor plant located nearest the Chicago City Hall.

Another cooperative proposed retention of the present location adjustment provisions except that a rate of 1-cent per 15-mile zone would apply to the uniform price per hundredweight of milk received from producers.

The location differential should continue to be based on the distance that a plant where milk is received from producers is from the Chicago City Hall. No location adjustment would be applicable at plants in the marketing area; at plants outside the marketing area and within the 55-mile radius of the Chicago City Hall, the location differential would be 2 cents; the rate in the next zone, 55–70 miles, would be 4 cents; and the rates beyond 70 miles would be increased 2 cents for each 15-mile zone.

The location differential would be applicable to all milk classified as Class I that was not moved to another pool plant from the plant where it was received from producers. With respect to transfers the location adjustment would be applicable to the extent that such transfers represent not more than 110 percent of the skim milk and butterfat in the Class I classification at the transferee plant.

Currently, the location adjustment credit on shipments to pool plants, which is now limited to shipments in bulk of milk, skim milk, and cream, is not dependent on the utilization of such shipments. As provided in the attached order, the location adjustment credit is computed on the basis of the assignment of a shipment's utilization in Class I. It is appropriate, therefore, that the location differential apply to shipments between pool plants of any fluid milk product, which is defined in the attached order to include all products whose disposition is considered in the Class I category.

Except for the limited quantity of Class II milk on which location adjustment credits would apply, no adjustment should be made to the Class II price for milk moved between pool plants for manufacturing use. There is little difference in the value of milk for manufactured uses associated with location of the plant receiving the milk. This is because of the low cost per hundredweight of milk involved in transporting manufactured dairy products.

Because of variations in daily demand, however, some milk that is moved to the market and intended for use as Class I milk cannot be so utilized and must be processed into manufactured products. Providing a location differential credit for not more than 10 percent of the Class I utilization at the transferee plant for milk in the Class II classification which is moved from another pool plant should be sufficient margin for handlers in balancing their receipts from supply plants with day-to-day bottling requirements. However, to insure that milk will not be moved unnecessarily at the expense of producers, the assignment of available location credits should be made first to producer milk at a plant and then in sequence to transfers between pool plants beginning with the plant nearest the market.

The handler operating the transferee pool plant should receive the location adjustment credit on fluid milk products transferred in bulk between pool plants.

Providing for such credit to the transferee handler will simplify administration of the order and provide the handler obtaining milk from supply plants individual control of such purchases in accordance with the utilization at his plant during the month. In computing the transferor handler's pool obligation, Class I transfer between pool plants will be priced at the f.o.b. marketing area price, irrespective of the location of the transferor plant. This is because the transferee handler will receive the location adjustment credit from the pool on such transfers.

Location differentials recognize that fluid milk similarly located with respect to the market and similarly used should be similarly priced. Milk available at locations nearest the market, by virtue of its location, is more valuable and should command a higher price than milk relatively more distant from the market. The price for nearby milk should be higher than that for more distant milk by an amount which reflects the difference in cost of transporting milk to the marketing area. Since the location differentials provided for the various zones relate to transportation costs from such zones to the marketing area, no advantage will be afforded any handler or group of producers because of the location differential.

Economically, it is more feasible to meet the fluid needs of the market with milk from farms and plants nearest the market before requiring the transportation of milk from more distant plants. The value of milk for fluid purposes is greater at a packaging and distributing plant located in the marketing area than at a plant from which the milk must be moved to the area before it is processed and packaged for distribution. A location adjustment as recommended will give consideration to this difference in value. This rate is the same as that effective under the order and continues to closely approximate the cost of hauling milk to the market by an efficient means.

The uniform price paid producers supplying plants at which location differentials apply should continue to be adjusted at the present rates to reflect the value of milk f.o.b. the point to which it is delivered. Because a producer's association with the market is based primarily on his supplying Class I milk for the market, the uniform price returned to a producer should be adjusted at the same rate and for the same reason as the location adjustment credit is applied to the Class I price.

The proposal to reduce the location adjustment rate applicable to the uniform price from 2 cents for each zone to 1 cent should be denied because it would provide an adjustment in the uniform price that is less than the cost of transporting the milk to the market.

The present order establishes a maximum limit of 42 cents for the location differential adjustment. It was pointed out that as a result of changing to f.o.b. marketing area pricing, which would increase the announced price 4 cents, that the equivalent maximum location adjustment would need to be 46 cents to compensate for such change.

The record indicated that there is no need for a maximum limit on the amount of location differential adjustment. Although presently milk does not move from distances beyond the point where the present 42 cents is applicable, there is no reason why if such milk did move that it should not be entitled to the same location adjustment of 2 cents per hundredweight for each 15-mile zone from the Chicago City Hall.

8. The entire order should be redrafted to incorporate conforming and clarifying changes and to facilitate application of its various provisions.

(a) A producer association proposed that a "producer-handler" be defined in the order. At the present time there are no operations in the market which would qualify under this category. A producer-handler definition is customarily contained in Federal milk marketing orders and should be included in the Chicago order so that appropriate treatment will be provided for any producer-handler who may come on the market. There was no opposition to including a definition of a producer-handler in the order.

"Producer-handler" would be defined as any person who operates a dairy farm and a distributing plant but who, during the month, receives no fluid milk products from other dairy farmers or from sources other than pool plants. The order is not intended to establish minimum prices for such operators, but they should be required to make reports to the market administrator as required. Such reports are necessary to determine whether the operator is a producer-handler and to facilitate accounting with respect to the transfer of milk from other handlers.

The exemption from pricing and pooling of a producer-handler should be limited to bona fide producer-handlers. It is appropriate, therefore, that to qualify for producer-handler status, the maintenance, care, and management of the dairy animals and other resources necessary to produce milk and the processing and packaging of the milk shall be the personal enterprise and risk of the person involved. The term producer-handler is not intended to include any person who does not accept responsibility and risk for the operation of the plant in which the milk of his own production is bottled for sale.

(b) The handler definition should be changed to include:

(1) Any person in his capacity as the operator of one or more pool plants;

(2) Any person in his capacity as the operator of an unregulated distributing plant;

(3) Any person in his capacity as a broker buying from or selling fluid milk products to a person described in paragraphs (1) or (2);

(4) Any cooperative association with respect to producer milk which it causes to be diverted from a pool plant to a nonpool plant for the account of such cooperative association;

(5) Any cooperative association with respect to milk of its producers which is delivered from the farm to the pool plant of another handler in a tank truck owned and operated by or under contract to such cooperative association;

(6) Any person in his capacity as the operator of an other order plant that is either a distributing plant or a supply plant; and

(7) A producer-handler.

The order does not now contain the provisions specified in paragraphs (4), (5), (6), and (7) above.

The provisions recommended delete from the handler definition any person who processes or packages any Class II milk product which any health authority having jurisdiction in any portion of the marketing area requires to be made from approved milk and part or all of which is disposed of in the marketing area. This provision is no longer needed because handler status under the order would be determined on or related to Class I disposition in the marketing area.

Producer-handlers and operators of other order plants should be included in the handler definition. This will facilitate the market administrator's obtaining reports from and examining the records of such persons to verify their status under the order.

Two cooperatives, making essentially the same proposals, would provide handler status for cooperatives when they divert their members' milk from a pool plant to a nonpool plant or when they cause their members' milk to be delivered from farms in tank trucks to the pool plants of other handlers. One proposal was modified at the hearing to provide that milk diverted by a cooperative would be deemed to have been received at the plant from which diverted for determining pool plant status.

The objective of the principal proposal is to permit cooperatives to perform their obligations with greater efficiency when they assume the responsibility for marketing the milk of their members.

Proprietary handlers are sometimes unable to dispose of reserve milk to best advantage. When they locate outlets for reserve milk, such outlets may not be willing to pay as much as the manufacturing class price provided in the order. It would improve marketing efficiency if handlers could arrange with cooperative associations to market the milk to best advantage. To do this, however, cooperatives need to be included in the handler definition of the order.

Changed marketing conditions also demonstrate a need to provide handler status for cooperatives. Recently, the market's structure was changed as a result of negotiations between industry employers and employees. Work days and days included in plant processing schedules were reduced. New processing and bottling schedules changed the previously normal supply patterns for distributing plants affected by the negotiations. Cooperatives experienced additional and intensified marketing activity as a result of those supply patterns.

At the present time, if a handler receives milk from producers on 4 or 5 days a week and on the remaining days elects not to receive the milk or be responsible for its diversion, it must be received at a second pool plant in order to be pooled. Those receipts are now reported sepa-

rately by handlers. By designating the cooperative as the handler for such milk, only one payroll report would be needed. Thus, administrative costs at the second pool plant would be eliminated.

In another marketing situation, the milk of certain producers may be delivered to different handlers on alternate days. By designating a cooperative as a handler, the order can provide a better working arrangement between proprietary handlers and cooperatives; and provide more marketing efficiency by saving both handling and administrative costs.

Under the terms of the order, the person receiving milk from producers is held responsible for accounting for such milk and for payments to producers. Once milk from a producer has been commingled with milk of other producers in a tank truck, there is no further opportunity to measure, sample or reject the milk of any individual producer whose milk is included in the load. The operator of a pool plant to which the load is delivered has an opportunity only to determine the weights and butterfat test of the total load. Where a tank truck picking up milk at the farm is operated under the supervision of a cooperative association, it is the association that determines the weight and butterfat content of the deliveries of individuals producers. It is desirable, therefore, that the cooperative be held the responsible handler under such circumstances, if it so elects. The milk delivered by the cooperative as a handler would continue to be classified and allocated at each plant of receipt and the operator of the plant would be obligated to pay the cooperative the uniform price applicable at the plant.

Similarly, under existing order provisions, a cooperative association cannot acquire handler status except as the operator of a pool plant. The operator of a pool plant is held responsible for all milk received at his plant and, in addition, has the privilege of maintaining producer status, under specified conditions, for milk normally received at his plant but which he diverts from such plant to a nonpool plant for his account.

Some milk is necessarily moved to manufacturing outlets because of variations in day-to-day requirements and because milk is not bottled every day. The principal cooperative associations in the market assist handlers in the disposition of such milk. As an additional improvement, a cooperative association should also be accorded handler status on milk which it diverts from a pool plant to a nonpool plant for its account. As recommended, milk diverted to a nonpool plant by a cooperative association for its account would be treated as a receipt of producer milk by such association at the location of the pool plant to which it is customarily delivered. However, milk diverted to a nonpool plant farther from the Chicago City Hall than the pool plant from which diverted would be deemed to be received by the cooperative at the location of the nonpool plant. This will insure that producer milk diverted to a nonpool plant will be credited in the pool computation at a blend price no higher than that for milk delivered to a pool plant at the same location.

(c) "Producer milk" should be defined to include all skim milk and butterfat contained in milk received at a pool plant directly from producers or from a cooperative in its capacity as a handler. Producer milk would also include milk diverted under certain conditions from a pool plant to a nonpool plant by either a handler operating a pool plant or a cooperative in its capacity as a handler diverting milk for its account. This revised definition will facilitate application of the various provisions of the order by specifying in a practical manner that milk which shall be priced and pooled under the order.

Under the present producer definition, diversion of milk from a pool plant is not permitted in the months of October and November. In all other months, diversion of unlimited quantities of a producer's milk to nonpool plants is permitted. Such milk is deemed to have been received at the pool plant from which diverted.

Various proposals were submitted by producer associations regarding the extent of producer milk diversions which should be provided under the order. One association suggested diversion with no limitation for that milk not needed for fluid purposes. Another association would limit diversions of producer milk in the months of September through November to not more than the quantity of such milk that is received directly from the farm at pool plants. Unlimited diversions would be permitted in all other months. Diversions to other pool plants, nonpool plants and other order plants would be permitted. Producer milk diverted would be deemed to have been received at the pool plant from which diverted. If the pool plant operator diverts milk to another plant on more days than milk is received from the producer at the pool plant, all of the producer's milk would be deemed to have been received at the plant to which delivered on the greater number of days during the month for the purpose of computing location adjustments.

Another cooperative's proposal would allow diversion to an unregulated plant or other order plant on any number of days in the January through June period and for not more than 15 days production in any month of the July–December period. The diverted milk would be deemed to have been received at the pool plant from which diverted unless over 50 percent of a producer's milk was diverted to a nonpool plant in a different zone than the pool plant. In such case, the location adjustment applicable to the uniform price would be that at the nonpool plant location. Diversions to an other order plant would be treated as a transfer for the purpose of determining the classification of such milk.

Producer milk should include milk diverted from a pool plant to a nonpool plant in the months of January through June and milk in a quantity not greater than the quantity of producer milk that was delivered from the farm to the pool plant in each month of the July through December period. Diverted milk should be deemed to be received at the plant location from which it is diverted. However, milk diverted to a nonpool plant that is farther from the Chicago City Hall than the pool plant from which diverted should be deemed to be received at the plant location to which it is diverted for the purpose of location adjustments to the Class I and uniform prices. Such pricing of diverted milk will recognize its value according to its location with respect to the market.

When milk is not needed in the market for Class I purposes, the movement of such milk to a nonpool plant for manufacturing purposes should be facilitated. Allowing for unlimited diversion during those months when reserve supplies are greatest will contribute to this end. Unlimited diversion is neither necessary nor desirable under a market pool during the other months of the year when milk regularly associated with the market is needed to supply the Class I needs of the market. It is necessary, however, to provide for limited diversion during such months to enable handlers to divert producer milk on such occasions as weekends or holidays when the milk is not needed for Class I purposes. The diversion privilege is primarily intended to obtain efficiency in the marketing of milk not needed at pool plants for fluid uses. Instead of being physically received at the pool plant and then transferred to the nonpool plant, excess milk may be hauled directly from the farms to a nonpool plant without losing its pooling status under the order.

Milk moved from a farm directly to an other order plant should not be considered as producer milk under the Chicago order. Without a provision in the order regulating the other order plant to exclude diversions of producer milk from a Chicago order plant, it would be treated as producer milk under the other order. This would result in pricing and pooling the same quantity of milk as producer milk under both orders. On the basis of this record, action may not be taken under other orders to obtain exclusion from the producer milk definition of milk diverted from pool plants under this order.

Although a proposal was made to permit diversion of milk between pool plants, it was not shown that such diversions are necessary for the orderly marketing of reserve milk in the area. Unnecessary administrative problems could result from the inclusion of such provision in the order in accounting for and pricing milk of individual producers. There are no compelling reasons to provide for the diversion of producer milk between pool plants. The proposal, therefore, should be denied.

(d) It was proposed that if for any reason a price quotation required by the order for computing class prices or for other purposes is not available in the manner described, the market administrator should use a price determined by the Secretary to be equivalent to the price that is required. Such a provision is commonly contained in Federal milk orders. Its inclusion in the Chicago order will provide a positive procedure to be followed in the absence of any price quotation customarily used and thereby prevent unnecessary interruption in the operation of the order.

(e) A proposal was made to distribute any value derived from "overrun" at a handler's plant to such handler's producers on a pro rata basis according to the pounds delivered by each producer. This would apply in lieu of including such value in the equalization pool for distribution to all producers. No testimony was presented at the hearing relative to this proposal. Accordingly, no action is taken on it in this decision.

Rulings on proposed findings and conclusions. Briefs and proposed findings and conclusions were filed on behalf of certain interested parties. These briefs, proposed findings and conclusions and the evidence in the record were considered in making the findings and conclusions set forth above. To the extent that the suggested findings and conclusions filed by interested parties are inconsistent with the findings and conclusions set forth herein, the requests to make such findings or reach such conclusions are denied for the reasons previously stated in this decision.

General findings. The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order and of the previously issued amendments thereto; and all of said previous findings and determinations are hereby ratified and affirmed, except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) The tentative marketing agreement and the order, as hereby proposed to be amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the Act;

(b) The parity prices of milk as determined pursuant to section 2 of the Act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply and demand for milk in the marketing area, and the minimum prices specified in the proposed marketing agreement and the order, as hereby proposed to be amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(c) The tentative marketing agreement and the order as hereby proposed to be amended, will regulate the handling of milk in the same manner as, and will be applicable only to persons in the respective classes of industrial and commercial activity specified in, a marketing agreement upon which a hearing has been held.

Recommended marketing agreement and order amending the order. The following order amending the order as amended regulating the handling of milk in the Chicago, Ill. marketing area is recommended as the detailed and appropriate means by which the foregoing conclusions may be carried out. The recommended marketing agreement is not included in this decision because the regulatory provisions thereof would be the same as those contained in the order, as hereby proposed to be amended:

DEFINITIONS

§ 1030.1 Act.

"Act" means Public Act No. 10, 73d Congress, as amended, and as reenacted and amended by the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601 et seq.).

§ 1030.2 Secretary.

"Secretary" means the Secretary of Agriculture or any officer or employee of the United States authorized to exercise the powers and perform the duties of the Secretary of Agriculture.

§ 1030.3 Department.

"Department" means the U.S. Department of Agriculture.

§ 1030.4 Person.

"Person" means any individual, partnership, corporation, association or other business unit.

§ 1030.5 Cooperative association.

"Cooperative association" means any cooperative marketing association of producers which the Secretary determines after application by the association:

(a) To be qualified under the provisions of the Act of Congress of February 18, 1922, as amended, known as the "Capper-Volstead Act"; and

(b) To have full authority in the sale of milk of its members and is engaged in making collective sales of or marketing milk or milk products for its members.

§ 1030.6 Chicago, Illinois, marketing area.

"Chicago, Ill., marketing area", hereinafter called the "marketing area" means the territory within the townships of Warren, Waukegan, Libertyville, Shields, Vernon, West Deerfield, Deerfield, and the city of Barrington, in Lake County; Cook and Du Page Counties; the townships of Dundee, Elgin, St. Charles, Geneva, Batavia, and Aurora in Kane County; the townships of Wheatland, Du Page, Plainfield, Lockport, Homer, Troy, Joliet, New Lenox, and Frankfort in Will County, all in the State of Illinois.

§ 1030.7 Fluid milk product.

"Fluid milk product" means milk, skim milk, buttermilk, flavored milk, flavored milk drinks, yogurt, sour cream, and sour cream products labeled Grade A, cream or any mixture in fluid form of cream and milk or skim milk: *Provided*, That eggnog, ice cream mix, frozen dessert mix, aerated cream products, evaporated and condensed milk, or skim milk and sterilized products in hermetically sealed containers shall not be fluid milk products pursuant to this section.

§ 1030.8 Route.

"Route" means a delivery (including disposition from a plant store or distribution point and distribution by a vendor or vending machine) of a fluid milk product classified as Class I pursuant to § 1030.41(a)(1) to a retail or wholesale outlet other than a milk plant or a distribution point.

§ 1030.9 Distributing plant.

"Distributing plant" means a plant from which a Grade A fluid milk product that is processed or packaged in such plant is disposed of during the month in the marketing area on routes.

§ 1030.10 Supply plant.

"Supply plant" means a plant from which a Grade A fluid milk product is shipped during the month to a pool plant.

§ 1030.11 Reload point.

"Reload point" means any location at which milk moved from the farm in a tank truck is commingled with other milk before entering a plant, except that reloading operations on the premises of a plant shall be considered a part of the plant operation.

§ 1030.12 Pool plant.

"Pool plant" means a plant (except an other order plant or the plant of a producer-handler) specified in paragraph (a) or (b) of this section: *Provided*, That if a portion of a plant is physically separated from the Grade A portion of such plant, is operated separately and is not approved by any health authority for the receiving, processing, or packaging of any fluid milk product for Grade A disposition, it shall not be considered a part of a pool plant pursuant to this section.

(a) A plant from which:

(1) Not less than 30 percent of the total Grade A milk receipts during the month is either distributed on routes or moved in the form of packaged fluid milk products to distributing plants that are pool plants; and

(2) Not less than 10 percent of such receipts during the month is either distributed in the marketing area on routes or moved in the form of packaged fluid milk products to distributing plants that are pool plants and distributed in the marketing area on routes from such plants.

(b) A supply plant or reload point from which shipments in the form of fluid milk products during the month are physically received in pool plants pursuant to paragraph (a) of this section and are either at least 30 percent of the pounds of butterfat in or at least 30 percent of the volume of Grade A milk received from dairy farmers at such plant or reload point during the month and which shipments, in the form of milk, include at least 10 percent of the volume of Grade A milk received from dairy farmers at such plant or reload point during the month: *Provided*, That:

(1) If, during July through December, a handler notifies the market administrator in writing that a plant is unable to meet the requirements set forth herein because of a work stoppage due to a labor dispute between employer and employees, the market administrator upon verification of the handler's claim shall not include the receipts and utilization of milk at such plant from the day of notification through the last day of the work stoppage in determining the percentage or fluid milk products shipped pursuant to this paragraph;

(2) A plant which qualified pursuant to this paragraph in each of the immediately preceding months of July through December shall be a pool plant for the months of January through June, unless the milk received at the plant does not continue to meet the Grade A milk requirements for use in fluid milk products distributed in the marketing area or written application is filed by the plant operator with the market administrator on or before the first day of any such month requesting the plant be designated a nonpool plant for such month and each subsequent month through June during which it would not otherwise qualify as a pool plant: and

(3) Two or more plants shall be considered a unit for the purpose of this paragraph if the following conditions are met:

(i) The plants included in a unit are owned and operated by a handler or are under his control with respect to the marketing of fluid milk products pursuant to a written contractual agreement submitted to the market administrator.

(ii) The handler establishing a unit notifies the market administrator in writing of the plants to be included therein prior to July 1 of each year and no additional plants shall be added to the unit prior to July 1 of the following year; and

(iii) The notification pursuant to subdivision (ii) of this subparagraph shall list the plants in the order in which they shall be excluded from the unit if the minimum shipping requirements are not met, such exclusion to be in sequence beginning with the first plant on the list and continuing until the remaining plants as a unit have met the minimum requirements.

§ 1030.13 Nonpool plant.

"Nonpool plant" means a plant (except a pool plant) which receives milk from dairy farmers or is a milk manufacturing, processing or bottling plant. The following categories of nonpool plants are further defined as follows:

(a) "Other order plant" means a plant that is fully subject to the pricing and pooling provisions of another order issued pursuant to the Act, unless such plant is qualified as a pool plant pursuant to § 1030.12 and a greater volume of fluid milk products is disposed of from such plant in this marketing area on routes and to pool plants qualified on the basis of route distribution in this marketing area than in the marketing area regulated pursuant to such other order.

(b) "Producer-handler plant" means a plant operated by a producer-handler as defined in any order (including this part) issued pursuant to the Act.

(c) "Unregulated distributing plant" means a nonpool plant that is neither an other order plant nor a producer-handler plant and from which fluid milk products labeled Grade A in consumer-type packages or dispenser units are distributed in the marketing area on routes during the month.

(d) "Unregulated supply plant" means a nonpool plant that is a supply plant and is neither an other order plant nor a producer-handler plant.

§ 1030.14 Handler.

"Handler" means:

(a) Any person in his capacity as the operator of one or more pool plants;

(b) Any person in his capacity as the operator of an unregulated distributing plant;

(c) Any person in his capacity as a broker buying from or selling fluid milk products to a person described in paragraphs (a) or (b) of this section;

(d) Any cooperative association with respect to producer milk which it causes to be diverted from a pool plant to a nonpool plant for the account of such cooperative association;

(e) Any cooperative association with repect to milk of its producers which is delivered from the farm to the pool plant of another handler in a tank truck owned and operated by or under contract to such cooperative association: *Provided*, That such cooperative association shall not be a handler pursuant to this paragraph unless the market administrator and the handler who is the operator of the pool plant where such milk is to be received are notified in writing that it elects to be the handler for such milk: *And provided further*, That such milk for which a cooperative association is the handler pursuant to this paragraph shall be deemed to have been received at the location of the pool plant to which such milk is delivered;

(f) Any person in his capacity as the operator of an other order plant that is either a distributing plant or a supply plant; or

(g) A producer-handler.

§ 1030.15 Producer-handler.

"Producer-handler" means any person who operates a dairy farm and a distributing plant and who received no fluid milk products from other dairy farmers or from sources other than pool plants: *Provided*, That such person provides proof satisfactory to the market administrator that the care and management of all the dairy animals and other resources necessary to produce the entire volume of fluid milk products handled (excluding receipts from pool plants) and the operation of the processing and packaging business are the personal enterprise and risk of such person.

§ 1030.16 Producer.

"Producer" means any person, except a producer-handler, who produces milk in compliance with Grade A inspection requirements of a duly constituted health authority, which milk is received at a pool plant or diverted pursuant to § 1030.17 from a pool plant to a nonpool plant.

§ 1030.17 Producer milk.

"Producer milk" means the skim milk and butterfat contained in Grade A milk:

(a) Received at a pool plant directly from a dairy farmer or a handler pursuant to § 1030.14(e); or

(b) Diverted from a pool plant to a nonpool plant other than an other order plant or a producer-handler plant. Such milk shall be deemed to have been received by the diverting handler at the location of the pool plant from which diverted except that:

(1) In any of the months of July through December, the quantity of milk of any producer so diverted that exceeds that delivered to pool plants shall not be deemed to have been received by the diverting handler and shall not be producer milk; and

(2) Milk diverted from a pool plant to a nonpool plant that is farther from the Chicago City Hall than the pool plant from which diverted shall be deemed to have been received at the location of such nonpool plant.

§ 1030.18 Other source milk.

"Other source milk" means the skim milk and butterfat contained in or represented by:

(a) Fluid milk products from any source except (1) fluid milk products from pool plants, (2) producer milk or (3) fluid milk products in inventory at the beginning of the month; and

(b) Products other than fluid milk products from any source (including those produced at the plant) which are reprocessed, converted into or combined with another product in the plant during the month.

§ 1030.19 Butter price.

"Butter price" means the simple average as computed by the market administrator of the daily wholesale selling prices (using the midpoint of any price range as one price) per pound of Grade A (92-score) bulk creamery butter at Chicago as reported during the month by the Department.

MARKET ADMINISTRATOR

§ 1030.20 Designation.

The agency for the administration of this part shall be a market administrator, selected by the Secretary, who shall be entitled to such compensation as may be determined by, and shall be subject to removal at the discretion of, the Secretary.

§ 1030.21 Powers.

The market administrator shall have the following powers with respect to this part:

(a) Administer its terms and provisions;

(b) Receive, investigate, and report complaints of violations to the Secretary;

(c) Make rules and regulations to effectuate its terms and provisions; and

(d) Recommend amendments to the Secretary.

§ 1030.22 Duties.

The market administrator shall perform all duties necessary to administer the terms and provisions of this part, including but not limited to the following:

(a) Within 30 days following the date on which he enters upon his duties, or such lesser period as may be prescribed by the Secretary, execute and deliver to the Secretary a bond effective as of the date on which he enters upon his duties and conditioned upon the faithful performance of such duties, in an amount

and with surety thereon satisfactory to the Secretary;

(b) Employ and fix the compensation of such persons as may be necessary to enable him to administer its terms and provisions;

(c) Obtain a bond in a reasonable amount, and with reasonable surety thereon, covering each employee who handles funds entrusted to the market administrator;

(d) Pay out of the funds provided by § 1030.78, the cost of his bond and of the bonds of his employees, his own compensation, and all other expenses except those incurred under § 1030.77, necessarily incurred by him in the maintenance and functioning of his office and in the performance of his duties;

(e) Keep such books and records as will clearly reflect the transactions provided for in this part, and upon request by the Secretary, surrender the same to such other person as the Secretary may designate;

(f) Publicly announce at his discretion, unless otherwise directed by the Secretary, by posting in a conspicuous place in his office and by such other means as he deems appropriate, the name of any person who after the date upon which he is required to perform such acts, has not made either reports pursuant to §§ 1030.30 and 1030.31 or payments pursuant to §§ 1030.70, 1030.74, 1030.76, 1030.77, and 1030.78;

(g) Submit his books and records to examination by the Secretary and furnish such information and reports as may be required by the Secretary;

(h) Verify all reports and payments of each handler by audit of such handler's records and of the records of any other handler or person upon whose utilization the classification of skim milk and butterfat for such handler depends, or by such investigation as the market administrator deems necessary;

(i) Prepare and disseminate to the public such statistics and information as he deems advisable and as do not reveal confidential information;

(j) Publicly announce on or before:

(1) The 5th day of each month the Class I milk price pursuant to § 1030.51 (a) and the Class I butterfat differential pursuant to § 1030.52(a), both for the current month, and the Class II milk price pursuant to § 1030.51(b) and the Class II butterfat differential pursuant to § 1030.52(b), both for the preceding month; and

(2) The 14th day after the end of each month the uniform price pursuant to § 1030.62 and the butterfat differential pursuant to § 1030.71.

REPORTS, RECORDS, AND FACILITIES

§ 1030.30 Reports of receipts and utilization.

On or before the 10th day after the end of each month, each handler except a handler pursuant to § 1030.14 (f) and (g) shall report to the market administrator for such month, reporting in detail and on forms prescribed by the market administrator:

(a) The quantities of skim milk and butterfat contained in or represented by:

(1) Milk received from producers and from handlers pursuant to § 1030.14(e);

(2) Fluid milk products received from pool plants of other handlers;

(3) Other source milk;

(4) Milk diverted to nonpool plants pursuant to § 1030.17, and

(5) Inventories of fluid milk products at the beginning and end of the month;

(b) The utilization of all skim milk and butterfat required to be reported pursuant to this section, including a separate statement of the disposition of skim milk and butterfat in Class I milk outside the marketing area; and

(c) Such other information with respect to the receipts and utilization of skim milk and butterfat as the market administrator may prescribe.

§ 1030.31 Other reports.

(a) Each producer-handler shall report to the market administrator at such time and in such manner as the market administrator may prescribe.

(b) Each handler who operates an other order plant shall report total receipts and utilization or disposition of skim milk and butterfat at the plant at such time and in such manner as the market administrator may require and allow verification of such reports by the market administrator.

(c) Each handler pursuant to § 1030.14(e) shall report to the market administrator in detail and on forms prescribed by the market administrator on or before the 10th day after the end of the month the quantities of skim milk and butterfat in producer milk delivered to each pool plant in such month.

(d) Each handler shall report to the market administrator in detail and on forms prescribed by the market administrator on or before the 25th day after the end of the month his producer payroll for such month which shall show for each producer:

(1) His identity;

(2) The quantity of milk received from such producer and the number of days, if less than the entire month, on which milk was received from such producer;

(3) The average butterfat content of such milk; and

(4) The net amount of such handler's payment, together with the price paid and the amount and nature of any deductions.

§ 1030.32 Records and facilities.

Each handler shall maintain and make available to the market administrator, during the usual hours of business, such accounts and records of his operations, together with such facilities as are necessary for the market administrator to verify or establish the correct data with respect to:

(a) The receipts and utilization of all skim milk and butterfat handled in any form during the month;

(b) The weights and butterfat and other content of all milk and milk products handled during the month;

(c) The pounds of skim milk and butterfat contained in or represented by all milk products in inventory at the beginning and end of each month; and

(d) Payments to dairy farmers and cooperative associations, including the amount and nature of any deductions and the disbursement of money so deducted.

§ 1030.33 Retention of records.

All books and records required under this part to be made available to the market administrator shall be retained by the handler for a period of three years to begin at the end of the month to which such books and records pertain: *Provided*, That if within such 3-year period, the market administrator notifies the handler in writing that the retention of such books and records is necessary in connection with a proceeding under section 8c(15)(A) of the Act or a court action specified in such notice, the handler shall retain such books and records or specified books and records until further written notification from the market administrator. In either case, the market administrator shall give further written notification to the handler promptly upon the termination of the litigation or when the records are no longer necessary in connection therewith.

CLASSIFICATION

§ 1030.40 Skim milk and butterfat to be classified.

The skim milk and butterfat required to be reported pursuant to § 1030.30 shall be classified each month by the market administrator pursuant to the provisions of §§ 1030.41 through 1030.45: *Provided*, That such skim milk and butterfat shall be Class I milk unless the handler who first receives such skim milk or butterfat proves to the market administrator that such skim milk or butterfat should be classified otherwise.

§ 1030.41 Classes of utilization.

Subject to the conditions of § 1030.43, the classes of utilization shall be as follows:

(a) *Class I milk.* Class I milk shall be all skim milk and butterfat:

(1) Disposed of as a fluid milk product (except as provided in paragraphs (b) (2), (3), and (4) of this section); and

(2) Not accounted for as Class II milk.

(b) *Class II milk.* Class II milk shall be:

(1) Skim milk and butterfat used to produce any product other than a fluid milk product;

(2) Skim milk and butterfat in fluid milk products delivered in bulk form to and used at commercial food establishments in the manufacture of bakery products, candy or processed foods in hermetically sealed containers;

(3) Skim milk and butterfat in fluid milk products disposed of for livestock feed or dumped if the market administrator has been notified in advance and afforded the opportunity to verify such dumping;

(4) Skim milk represented by the nonfat milk solids added to a fluid milk product which is in excess of the weight of an equivalent volume of the fluid milk product prior to such addition;

(5) Skim milk and butterfat in inventory of fluid milk products at the end of the month;

(6) Skim milk and butterfat, respectively (except in milk diverted to a nonpool plant pursuant to § 1030.17) in shrinkage but not in excess of:

(i) 2.0 percent of producer milk (except that received from a handler pursuant to § 1030.14(e));

(ii) Plus 1.5 percent of producer milk received from a handler pursuant to § 1030.14(e): *Provided,* That if the handler receiving such producer milk files notice with the market administrator that he is purchasing such milk on the basis of farm weights, the applicable percentage pursuant to this subdivision shall be 2.0 percent;

(iii) Plus 1.5 percent of bulk fluid milk products received from pool plants of other handlers; and

(iv) Less 1.5 percent of bulk fluid milk products transferred to other plants (except pool plants of the same handler); and

(7) Skim milk and butterfat in shrinkage of other source milk.

§ 1030.42 Shrinkage.

The market administrator shall allocate shrinkage over a handler's receipts as follows:

(a) Compute the total shrinkage of skim milk and butterfat, respectively, for each handler; and

(b) Prorate the resulting amounts between receipts of skim milk and butterfat contained in:

(1) The net quantity of producer milk and other fluid milk products specified in § 1030.41(b)(6); and

(2) Other source milk.

§ 1030.43 Transfers.

Skim milk or butterfat in the form of a fluid milk product shall be classified:

(a) At the utilization indicated by the operators of both plants, otherwise as Class I milk, if transferred from a pool plant to the pool plant of another handler. The amount so reported in any class shall not exceed the total used in such class by the receiving handler;

(b) As Class I milk, if transferred from a pool plant to a producer-handler;

(c) As Class I milk, if transferred or diverted to a nonpool plant that is neither an other order plant nor a producer-handler plant and is located outside Illinois, Indiana, and Wisconsin and the counties of Ottawa, Kent, Allegan, Barry, Calhoun, St. Joseph, Van Buren, Kalamazoo, Cass, and Berrien in Michigan and Van Wert in Ohio;

(d) As Class I milk, if transferred or diverted in bulk to a nonpool plant that is neither an other order plant nor a producer-handler plant and is located inside Illinois, Indiana, and Wisconsin and the counties of Ottawa, Kent, Allegan, Barry, Calhoun, St. Joseph, Van Buren, Kalamazoo, Cass, and Berrien in Michigan and Van Wert in Ohio, unless the requirements of subparagraphs (1), (2), and (3) of this paragraph are met:

(1) The transferring or diverting handler claims classification as Class II milk in his report submitted to the market administrator pursuant to § 1030.30 for the month in which such transaction occurred;

(2) The operator of such nonpool plant maintains books and records showing the utilization of all skim milk and butterfat which are made available if requested by the market administrator for the purpose of verification; and

(3) Satisfactory proof is furnished to the market administrator that such transfers or diversions are in excess of the total Class I utilization at the nonpool plant; and

(e) As Class I milk if transferred to an other order plant. If satisfactory proof is furnished to the market administrator that such transfer exceeds the total Class I utilization at the transferee plant, the excess shall be classified as Class II.

§ 1030.44 Computation of skim milk and butterfat in each class.

For each month, each handler shall compute the pounds of skim milk and butterfat in each class in the following manner:

(a) The pounds of butterfat shall be ascertained by multiplying the pounds of milk or milk product disposed of as Class I milk or used to produce a Class II milk product by its average butterfat content.

(b) The pounds of skim milk shall be ascertained by subtracting the pounds of butterfat computed pursuant to paragraph (a) of this section, from the weight of milk or a milk product disposed of as Class I milk or used to produce a Class II milk product: *Provided,* That if any water contained in the milk from which a product is made is removed before the product is utilized or disposed of by a handler, the pounds of skim milk disposed of in such product shall be considered to be a quantity equivalent to the nonfat milk solids contained in such product plus all the water originally associated with such solids.

(c) In the event a handler does not have adequate records of the butterfat content of skim milk disposed of to others or used to produce manufactured milk products, 0.06 percent shall be used as the butterfat content per hundredweight of such skim milk.

§ 1030.45 Allocation of skim milk and butterfat classified.

After making the computations pursuant to § 1030.44, each handler for each month shall determine the classification of producer milk as follows:

(a) Skim milk shall be allocated in the following manner:

(1) Subtract from the total pounds of skim milk in each class, pro rata to such quantities, the pounds of skim milk in milk received from such handler's own farm production;

(2) Subtract from the remaining pounds of skim milk in Class II the pounds of skim milk classified as Class II pursuant to § 1030.41(b)(6);

(3) Subtract from the remaining pounds of skim milk in each class the pounds of skim milk in fluid milk products received from pool plants of other handlers according to the classification of such products pursuant to § 1030.43 (a);

(4) Subtract from the remaining pounds of skim milk in each class the pounds of skim milk in fluid milk products received from other order plants on the basis of classification comparable to the class of utilization of such fluid milk products under the other order;

(5) Subtract from the remaining pounds of skim milk in each class, in series beginning with Class II milk, the pounds of skim milk in other source milk other than that received in the form of fluid milk products;

(6) Subtract from the remaining pounds of skim milk in each class, in series beginning with Class II milk, the pounds of skim milk in other source milk received in the form of fluid milk products not subject to the pricing and pooling provisions of another order issued pursuant to the Act;

(7) Subtract from the remaining pounds of skim milk in each class, in series beginning with Class II milk, the pounds of skim milk in inventory of fluid milk products at the beginning of the month;

(8) Add to the remaining pounds of skim milk in Class II milk the pounds of skim milk subtracted pursuant to subparagraph (2) of this paragraph; and

(9) If the pounds of skim milk remaining in each class exceed the pounds of skim milk in producer milk, subtract such excess from the pounds of skim milk remaining in each class in series beginning with Class II. Any amount so subtracted shall be known as "overage".

(b) Butterfat shall be allocated in accordance with the procedure outlined for skim milk in paragraph (a) of this section.

MINIMUM PRICES

§ 1030.50 Basic formula price.

The basic formula price shall be the average price per hundredweight for manufacturing grade milk f.o.b. plants in Wisconsin and Minnesota, as reported by the Department for the month. Such price shall be adjusted to a 3.5 percent butterfat basis by a butterfat differential (rounded to the nearest one-tenth cent) at the rate of the butter price times 0.120 and rounded to the nearest cent.

§ 1030.51 Class prices.

Subject to the provisions of § 1030.52, the class prices per hundredweight for the month shall be as follows:

(a) *Class I milk price.* The Class I milk price shall be the basic formula price for the preceding month plus $1.20 August through November, $0.80 March through June and $1.00 in other months, adjusted not more than 24 cents each month by plus or minus 2.0 cents, respectively, for each full percent that the adjusted supply-demand ratio computed as follows, is above or below 72 percent:

(1) Determine the total receipts of Grade A milk from all producers (including receipts from own-farm production) for the most recent 12-month period.

(2) Determine the total pounds of Grade A milk utilized in Class I milk during the most recent 12-month period.

(3) Divide the amount obtained in subparagraph (2) of this paragraph by the amount obtained in subparagraph (1) of this paragraph and round to the

nearest full percent. The resulting percentage shall be known as the "current supply-demand ratio".

(4) If the current supply-demand ratio is greater or less than the current supply-demand ratio computed by the market administrator for the third month immediately preceding, add or subtract the difference, respectively, to or from the percentage computed pursuant to subparagraph (3) of this paragraph. The result shall be the "adjusted supply-demand ratio", and if the current supply-demand ratio does not differ from that computed for the third month preceding, the current supply-demand ratio shall be the "adjusted supply-demand ratio".

(b) *Class II milk price.* The Class II milk price shall be the basic formula price for the month.

§ 1030.52 Butterfat differentials to handlers.

For milk containing more or less than 3.5 percent butterfat, the class prices for the month pursuant to § 1030.51 shall be increased or decreased, respectively, for each one-tenth percent butterfat at a rate, rounded to the nearest one-tenth cent, determined as follows:

(a) *Class I price.* Multiply the butter price for the preceding month by 0.12.

(b) *Class II price.* Multiply the butter price for the month by 0.12.

§ 1030.53 Location adjustments to handlers.

(a) Zones and zone rates. The market administrator shall determine the zone location of each plant at which milk is to be priced under this part on the following basis and the zone rates shall be as follows:

(1) Zone 1-adjustment rate-none. Zone 1 shall consist of the territory within the marketing area.

(2) Zone 2-adjustment rate-2 cents per hundredweight of milk. Zone 2 shall consist of the territory outside of the marketing area but not to exceed 55 miles from the City Hall in Chicago.

(3) Additional zones. For plants located beyond Zone 2, the adjustment rate shall be 2 cents per hundredweight of milk for each 15 miles or fraction thereof over 55 miles. The territory beyond 55 miles, but not to exceed 70 miles, shall be Zone 3 and each successive 15-mile area shall be an additional zone.

(b) The mileages applicable pursuant to this section and § 1030.72 shall be determined by the market administrator and shall be the shorter of either the rail or highway distance, arrived at as follows:

(1) The rail distance shall be the sum of the following:

(i) The highway distance between the handler's plant or reload point and the railroad loading point (but not to exceed 25 miles);

(ii) The rail distance by the most direct single rail line between the loading point and the rail terminal in Chicago; and

(iii) The highway distance between the appropriate rail terminal and the Chicago City Hall.

(2) Mileage shall be subject to redetermination at all times. In the event a handler requests a redetermination of the mileage pertaining to any plant, the market administrator shall notify the handler of his findings within 30 days after receipt of such request. Any financial obligations resulting from a change in mileage shall not be retroactive for any period prior to the redetermination announced by the market administrator.

(c) Notification of handlers. The market administrator shall notify each handler of the zone determination.

(d) Direct disposition adjustment. With respect to milk received from producers at a pool plant beyond Zone 1 which is classified as Class I milk without movement in bulk to another pool plant, the handler of such milk shall receive a location adjustment credit at the rate(s) specified in paragraph (a) of this section.

(e) Transfer adjustments. With respect to bulk fluid milk products moved from a pool plant to another pool plant, the handler operating the transferee plant shall receive a location adjustment credit computed as follows:

(1) From the handler's total Class I skim milk and butterfat subtract the quantities of skim milk and butterfat accounted for in the following categories and multiply the remainder by 110 percent:

(i) Excess shrinkage,

(ii) Transferred in bulk to plants of other handlers,

(iii) Received in the form of packaged Class I milk products from plants of other handlers and nonhandlers, and

(iv) For which a location adjustment credit was allowed pursuant to paragraph (d) of this section.

(2) From the quantity determined pursuant to subparagraph (1) of this paragraph subtract the quantities of:

(i) Milk received from producers at the handler's pool plant(s) located in Zone 1; and

(ii) Fluid milk products received from any other plant in Zone 1.

(3) Multiply the remaining quantity, or the quantity of bulk fluid milk products received from a plant outside Zone 1, whichever is the lesser, by the rate of adjustment applicable to the zone in which such plant is located: *Provided*, If such receipts are from more than one plant located in different zones and the total of such receipts exceed the quantity ascertained pursuant to subparagraph (2) of this paragraph, the location adjustment credit shall be determined by multiplying the applicable zone rates in sequence, to the quantities from transferor plants beginning with the plant nearest to the City Hall in Chicago until the quantity of receipts given a location adjustment equals the quantity determined pursuant to subparagraph (2) of this paragraph.

§ 1030.54 Equivalent prices.

If for any reason a price quotation required by this order for computing class prices or for other purposes is not available in the manner described, the market administrator shall use a price determined by the Secretary to be equivalent to the price that is required.

§ 1030.55 Skim milk and butterfat prices.

The prices per hundredweight of skim milk and butterfat in each class shall be computed as follows:

(a) *Skim milk price.* Subtract from the applicable class price per hundredweight of milk containing 3.5 percent butterfat the result obtained from multiplying the applicable butterfat differential pursuant to § 1030.52 by 35; and

(b) *Butterfat price.* Add to the applicable class price per hundredweight of milk containing 3.5 percent butterfat the result obtained from multiplying the applicable butterfat differential pursuant to § 1030.52 by 965.

APPLICATION OF PRICES

§ 1030.60 Computation of the net pool obligation (or credit) of each handler.

The net pool obligation (or credit) of each handler, pursuant to § 1030.14 (a), (d), and (e) during each month shall be a sum of money computed as follows:

(a) Multiply the quantity of skim milk and butterfat in producer milk in each class as computed pursuant to § 1030.45 by the applicable skim milk and butterfat prices;

(b) Add the amount obtained from multiplying the overage deducted from each class pursuant to § 1030.45(a)(9) and the corresponding step of § 1030.45 (b) by the applicable skim milk and butterfat prices;

(c) Add the amount obtained from multiplying the difference between the Class II skim milk and butterfat prices for the preceding month and the Class I skim milk and butterfat prices for the current month by the hundredweight of skim milk and butterfat subtracted from Class I pursuant to § 1030.45(a)(7) and the corresponding step of § 1030.45(b);

(d) If subparagraph (1) exceeds subparagraph (2) of this paragraph, add the difference, and if subparagraph (2) exceeds subparagraph (1), subtract the difference:

(1) The value at the Class I skim milk and butterfat prices and at the Class II skim milk and butterfat prices of the pounds of skim milk and butterfat subtracted from each class pursuant to § 1030.45(a) (5) and (6) and the corresponding steps of § 1030.45(b) (less the value of any location adjustment credits computed pursuant to § 1030.53).

(2) The value at the uniform price applicable to milk received from producers, adjusted by the location adjustment rate pursuant to § 1030.72, of the pounds of skim milk and butterfat used in computing the value in subparagraph (1) of this paragraph; and

(e) Subtract an amount equal to the location adjustment credits computed pursuant to § 1030.53.

§ 1030.61 Computation of aggregate value used to determine uniform price.

For each month the market administrator shall correct for mathematical and

obvious errors the reports of handlers submitted pursuant to § 1030.30 and shall compute an aggregate value from which to determine the uniform price as follows:

(a) Combine into one total the values obtained pursuant to § 1030.60 for all handlers who reported pursuant to § 1030.30 for such month;

(b) Add or subtract for each one-tenth percent that the average butterfat content of milk represented by the values specified in paragraph (a) of this section is less or more, respectively, than 3.5 percent, the amount obtained by multiplying such difference by the butterfat differential pursuant to § 1030.71 and multiplying the result by the total hundredweight of such milk;

(c) Add an amount equal to the total value of the location differential deductions to be made pursuant to § 1030.72;

(d) Subtract an amount equal to the total value of the location differential additions to be made pursuant to § 1030.72; and

(e) Add an amount equal to one-half the unobligated cash balance in the producer-settlement fund.

§ 1030.62 Computation of uniform price.

For each month the market administrator shall compute a uniform price as follows:

(a) Divide the aggregate value computed pursuant to § 1030.61 by the total hundredweight of producer milk; and

(b) Subtract not less than 4 nor more than 5 cents from the price computed pursuant to paragraph (a) of this section.

PAYMENTS

§ 1030.70 Time and method of payment.

(a) Each handler who operates a pool plant shall pay each producer on or before the 18th day after the end of the month not less than the uniform price pursuant to § 1030.62 adjusted pursuant to §§ 1030.71, 1030.72, and 1030.77, for each hundredweight of producer milk received during such month for which payment is not made to a cooperative association pursuant to paragraph (b) of this section; and

(b) Each handler shall pay a cooperative association on or before the 15th day after the end of the month an amount equal to the sum of the individual payments pursuant to paragraph (a) of this section for producer milk which it caused to be delivered to such handler, if such cooperative association is authorized to collect such payment for its members and exercises such authority.

§ 1030.71 Butterfat differential to producers.

The uniform price pursuant to § 1030.62 shall be increased or decreased for each one-tenth percent that the butterfat content of such milk is above or below 3.5 percent, respectively, at the rate (rounded to the nearest one-tenth cent) determined by multiplying the butter price for the month by 0.12.

§ 1030.72 Location differentials to producers and on nonpool milk.

The uniform price pursuant to § 1030.62 shall be adjusted as follows:

(a) For producer milk received at a pool plant outside the marketing area and within 55 miles of the Chicago City Hall deduct 2 cents per hundredweight.

(b) For producer milk received at a plant which is 55 miles or more from the Chicago City Hall, deduct 4 cents per hundredweight for the first 70 miles or less and 2 cents per hundredweight for each additional 15 miles or fraction thereof that such plant is more than 70 miles from the Chicago City Hall.

(c) Add 4 cents per hundredweight for milk received from producers whose farms are located in the territory lying within the city of Kenosha, the townships of Pleasant Prairie, Bristol, and Salem in Kenosha County, all in the State of Wisconsin; the townships of Richmond, Burton, Greenwood, McHenry, Seneca, Dorr, Nunda, Coral, Grafton, and Algonquin in McHenry County, Lake County, Kane County, Cook County, Du Page County, Kendall County, Will County; the townships of Saratoga, Aux Sable, Goose Lake, and Felix in Grundy County; and the townships of Rockville, Manteno, Sumner, Yellowhead, Bourbonnais, Ganeer, and Memonce in Kankakee County, all in the State of Illinois; and Lake County, and Porter County, except Pleasant Township, all in the State of Indiana, which territory shall be known as Zone A.

(d) Add 2 cents per hundredweight for milk received from producers whose farms are located in the territory lying within the city of Racine, the townships of Raymond, Caledonia, Burlington, Dover, Yorkville, and Mount Pleasant in Racine County; the townships of Brighton, Paris, Somers, Wheatland, and Randall in Kenosha County; the townships of Lyons, Linn, and Bloomfield, of Walworth County, all in the State of Wisconsin; the townships of Chemung, Alden, Hebron, Dunham, Hartland, Marengo, and Riley in McHenry County; the townships of Boone, Bonus, and Spring in Boone County; DeKalb County; the townships of Earl, Adams, Northville, Serena, Mission, Dayton, Rutland, Miller, and Manlius, in Lasalle County; the townships of Nettle Creek, Erienna, Norman, Morris, Wauponsee, Vienna, Mazon, Maine, Braceville, Good Farm, Garfield, and Greenfield in Grundy County; the townships of Essex, Salina, Limestone, Kankakee, Norton, Pilot, Otto, Aroma, St. Anne, and Pembroke, in Kankakee County; the townships of Chebanse, Papineau, and Beaverville, in Iroquois County, all in the State of Illinois; the townships of Lake, Lincoln, McClellan, Colfax, Beaver, and Jackson in Newton County; the townships of Keener, Union, Wheatfield, Walker, and Kankakee in Jasper County; Pleasant Township in Porter County; the townships of Dewey, Prairie, Cass, Hanna, Clinton, Noble, New Durham, Scipio, Coolspring, Center, Kankakee, Michigan, Springfield, and Galena in LaPorte County, all in the State of Indiana; and the townships of New Buffalo, Three Oaks, and Chikaming in Berrien County in the State of Michigan, which territory shall be known as Zone B.

§ 1030.73 Producer-settlement fund.

The market administrator shall maintain a separate fund known as the "producer-settlement fund" into which he shall deposit all payments into such fund and out of which he shall make all payments from such fund pursuant to §§ 1030.74, 10.30.75, and 1030.76: *Provided,* That the market administrator shall offset the payment due to a handler against payments due from such handler.

§ 1030.74 Payments to the producer-settlement fund.

On or before the 16th day day after the end of the month each handler shall pay to the market administrator the amount, if any, by which the net pool obligation computed pursuant to § 1030.60 for such handler exceeds the value of such handler's producer milk at the applicable uniform price.

§ 1030.75 Payments from the producer-settlement fund.

On or before the 16th day after of each month, the market administrator shall pay to each handler the amount, if any, by which the value of such handler's producer milk at the applicable uniform price exceeds the amount computed pursuant to § 1030.60: *Provided,* That if the balance in the producer-settlement fund is insufficient to make all payments pursuant to this section, the market administrator shall reduce uniformly such payments and shall complete such payments as soon as the necessary funds become available.

§ 1030.76 Adjustment of accounts.

When verification by the market administrator of reports or payment of any handler discloses errors resulting in monies due (1) the market administrator from such handler, (2) such handler from the market administrator, or (3) any producer or cooperative association from such handler, the market administrator shall promptly notify such handler of any amount so due and payment thereof shall be made not later than the date for making payment next following such disclosure.

§ 1030.77 Marketing services.

(a) Except as set forth in paragraph (b) of this section, each handler in making payments to each producer pursuant to § 1030.70 shall deduct 3 cents per hundredweight or such lesser amount as the Secretary may prescribe with respect to producer milk received by such handler (except such handler's own farm production) during the month, and shall pay such deductions to the market administrator not later than the 18th day after the end of the month. Such monies shall be used by the market administrator to verify or establish weights, samples, and tests of producer milk and to provide producers with market in-

formation. Such services shall be performed in whole or in part by the market administrator or by an agent engaged by and responsible to him.

(b) In the case of producers for whom a cooperative association is performing, as determined by the Secretary, the services set forth in paragraph (a) of this section, each handler shall make, in lieu of the deductions specified in paragraph (a) of this section, such deductions as are authorized by such producers and, on or before the 18th day after the end of each month, pay over such deductions to the association rendering such services.

§ 1030.78 Expense of administration.

As his pro rata share of the expense of administration of the order, each handler shall pay to the market administrator on or before the 18th day after the end of each month 2 cents per hundredweight or such lesser amount as the Secretary may prescribe with respect to (a) producer milk (including such handler's own farm production) and (b) other source milk allocated to Class I pursuant to § 1030.45(a) (5) and (6) and the corresponding steps of § 1030.45(b).

§ 1030.79 Termination of obligations.

The provisions of this section shall apply to any obligation under this part for the payment of money.

(a) The obligation of any handler to pay money required to be paid under the terms of this part shall, except as provided in paragraphs (b) and (c) of this section, terminate 2 years after the last day of the calendar month during which the market administrator receives the handler's utilization report on the milk involved in such obligation unless within such 2-year period the market administrator notifies the handler in writing that such money is due and payable. Service of such notice shall be complete upon mailing to the handler's last know address and it shall contain, but need not be limited to, the following:

(1) The amount of the obligation;

(2) The months during which the milk, with respect to which the obligation exists, was received or handled; and

(3) If the obligation is payable to one or more producers or to an association of producers, the name of such producers or association of producers, or if the obligation is payable to the market administrator, the account for which it is to be paid.

(b) If a handler fails or refuses, with respect to any obligation under this part, to make available to the market administrator or his representatives all books and records required by this part to be made available, the market administrator may, within the 2-year period provided for in paragraph (a) of this section, notify the handler in writing of such failure or refusal. If the market administrator so notifies a handler, the said 2-year period, with respect to such obligation, shall not begin to run until the first day of the calendar month following the month during which all such books and records pertaining to such obligation are made available to the market administrator or his representatives.

(c) Notwithstanding the provisions of paragraphs (a) and (b) of this section, a handler's obligation under this part to pay money shall not be terminated with respect to any transaction involving fraud or willful concealment of a fact, material to the obligation, on the part of the handler against whom the obligation is sought to be imposed.

(d) Any obligation on the part of the market administrator to pay a handler any money which such handler claims to be due him under the terms of this part shall terminate 2 years after the end of the calendar month during which the milk involved in the claim was received if an underpayment is claimed, or 2 years after the end of the calendar month during which the payment (including deduction or set-off by the market administrator) was made by the handler if a refund on such payment is claimed, unless such handler, within the applicable period of time, files pursuant to section 8c(15)(A) of the Act, a petition claiming such money.

EFFECTIVE TIME, SUSPENSION OR TERMINATION

§ 1030.80 Effective time.

The provisions of this part, or any amendments to this part, shall become effective at such time as the Secretary may declare and shall continue in force until suspended or terminated.

§ 1030.81 Suspension or termination.

The Secretary shall suspend or terminate any or all of the provisions of this part whenever he finds that it obstructs or does not tend to effectuate the declared policy of the Act. This part shall, in any event, terminate whenever the provisions of the Act authorizing it cease to be in effect.

§ 1030.82 Continuing power and duty of the market administrator.

(a) If, upon the suspension or termination of any or all of the provisions of this part, there are any obligations arising hereunder, the final accrual or ascertainment of which requires further acts by any handler, by the market administrator, or by any other person, the power and duty to perform such further acts shall continue notwithstanding such suspension or termination: *Provided*, That any such acts required to be performed by the market administrator shall, if the Secretary so directs be performed by such other person, persons or agency as the Secretary may designate.

(b) The market administrator or such other person as the Secretary may designate shall (1) continue in such capacity until discharged by the Secretary; (2) from time to time account for all receipts and disbursements and deliver all funds or property on hand together with the books and records of the market administrator, or such person, to such person as the Secretary shall direct; and (3) if so directed by the Secretary, execute such assignment or other instruments necessary or appropriate to vest in such person full title to all funds, property and claims vested in the market administrator or such person pursuant thereto.

§ 1030.83 Liquidation after suspension or termination.

Upon the suspension or termination of any or all provisions of this part the market administrator, or such person as the Secretary may designate shall, if so directed by the Secretary, liquidate the business of the market administrator's office and dispose of all funds and property then in his possession or under his control together with claims for any funds which are unpaid or owing at the time of such suspension or termination. Any funds collected pursuant to the provisions of this part, over and above the amounts necessary to meet outstanding obligations and the expenses necessarily incurred by the market administrator or such person in liquidating such funds shall be distributed to the contributing handlers and producers in an equitable manner.

MISCELLANEOUS PROVISIONS

§ 1030.90 Separability of provisions.

If any provision of this part, or its application to any person or circumstances, is held invalid, the application of such provision, and of the remaining provisions of this part, to other persons or circumstances shall not be affected thereby.

§ 1030.91 Agents.

The Secretary may, by designation in writing, name any officer or employee of the United States to act as his agent or representative in connection with any of the provisions of this part.

Signed at Washington, D.C., on May 26, 1964.

CLARENCE H. GIRARD,
Deputy Administrator,
Agricultural Marketing Service.

[F.R. Doc. 64-5399; Filed, May 28, 1964; 8:48 a.m.]

[7 CFR Parts 1030, 1031]

[Docket Nos. AO-101-A28, AO-170-A15]

MILK IN CHICAGO, ILL., AND SOUTH BEND-LA PORTE-ELKHART, IND., MARKETING AREAS

Notice of Recommended Decision and Opportunity To File Written Exceptions on Proposed Amendments to Tentative Marketing Agreement and to Order

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601 et seq.) and the applicable rules of practice and procedure governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), notice is hereby given of the filing with the Hearing Clerk of this recommended decision with respect to proposed amendments to the tentative marketing agreement and order regulating the handling of milk in the South Bend-La Porte-Elkhart, Indiana marketing area. Interested parties may file written exceptions to this decision with the Hearing Clerk, U.S. Department of Agriculture, Washington 25, D.C., not later than the close of business the 10th

day after publication of this decision in the FEDERAL REGISTER. The exceptions should be filed in quadruplicate.

Preliminary statement. The hearing on the record of which the proposed amendments, as hereinafter set forth, to the tentative marketing agreement and to the order as amended, were formulated, was conducted at South Bend, Indiana, on May 7–8, 1963, pursuant to notice thereof which was issued April 15, 1963 (28 F.R. 3872). A separate decision to amend the Chicago order recommends removing from the marketing area defined therein territory added to the South Bend-La Porte-Elkhart marketing area by this decision.

The material issues on the record of the hearing relate to:

1. Expansion of the marketing area.
2. The supply-demand adjustment applicable to the Class I price.
3. Class II and III milk; classification and pricing.
4. Revision of location differential adjustments.
5. Reduction of butterfat differential rates.
6. Discontinuing the base-excess plan in paying producers.
7. Increasing the marketing service assessment.
8. Conforming changes.

Findings and conclusions on issue 6 were included in an earlier decision on this record issued July 29, 1963 (28 F.R. 7845). Following approval by producers, the order was amended August 8, 1963, to discontinue the base and excess plan. Findings and conclusions on all issues on this record except issue 6 are contained in this decision.

Findings and conclusions. The following findings and conclusions on the material issues are based on evidence presented at the hearing and the record thereof:

1. The South Bend-La Porte-Elkhart marketing area should be redesignated the Northwestern Indiana marketing area and should include the eight Indiana counties of Elkhart, Kosciusko, Lake, La Porte, Marshall, Porter, St. Joseph and Starke. The presently designated marketing area is limited to Elkhart, La Porte and St. Joseph Counties.

The proposal to enlarge the marketing area was made by Pure Milk Association, which represents about 75 percent of the approximately 1,500 dairy farmers supplying 26 handlers who would be regulated by the recommended order. Of the 26 handlers, 17 are now under the South Bend-La Porte-Elkhart order, 5 are under the Chicago order and 4 are unregulated. In addition to the above, a plant that is now regulated by the Indianapolis order might become subject instead to the recommended Northwestern Indiana order.

The 1960 census population of the South Bend-La Porte-Elkhart marketing area was 440,000 and of the recommended marketing area 1.1 million. The population of Gary, the largest city in the proposed marketing area, was 178,000. The population of the next largest cities, South Bend, Hammond, East Chicago, Elkhart and Michigan City, ranged from 133,000 to 37,000. Because a substantial part of the fluid milk sales of handlers are in rural communities and because much of the population immediately surrounds the cities and towns, the marketing area should be defined on the basis of county lines.

Lake County (1960 population 513,000) is the most heavily populated county in the marketing area. The Lake County townships of Calumet, Hobart and North, known as the Calumet area, are now within the Chicago milk marketing area. A separate decision to amend the Chicago order recommends removing these townships from the Chicago marketing area.

The handlers who would be regulated by the proposed order are the principal distributors in Lake County. Estimates of their total distribution in Lake County, as presented at the hearing, ranged from 58 to 75 percent. The remaining Class I distribution in the county is primarily from plants in the city of Chicago.

The Calumet area handlers are associated more intimately in their competition for Class I sales with handlers who would be regulated by the recommended order than with Chicago order handlers. There is substantial distribution by these Calumet handlers throughout each of the eight counties in the proposed marketing area. These same Calumet handlers are not approved for and do not have any Class I business in the city of Chicago. The Chicago based handlers who distribute in the Calumet area have relatively little distribution in Indiana outside of Lake County, and their distribution there represents a small proportion of their total distribution.

Producers supplying Calumet area handlers are located in the milkshed overlapping the South Bend-La Porte-Elkhart milkshed. The different prices and utilizations of the Chicago and South Bend-La Porte-Elkhart orders have made it difficult for the Calumet area handlers to obtain adequate supplies in the local procurement area. The Chicago order uniform price applicable at plants in the Calumet area averaged $3.55 in 1962. Under the South Bend-La Porte-Elkhart order, the average uniform price of $3.85 for the same period was 30 cents higher. Calumet handlers, with relatively high Class I utilization, have had to pay more than the minimum prices prescribed by the Chicago order to obtain milk from local producers sufficient for their Class I sales plus a necessary reserve. This has placed Calumet area handlers at a disadvantage in competing with handlers able to buy supplies at the class prices under the South Bend-La Porte-Elkhart and other nearby orders.

Inclusion of Kosciusko, Marshall, Porter and Starke Counties in the recommended marketing area would result in bringing under regulation four handlers who are not now subject to regulation under a Federal order. Each of these four counties is contiguous to the present marketing area and the Class I distribution in this four-county area is by a wide majority from presently regulated handlers. Of the total Class I distribution in these counties 72 percent in Kosciusko, 63 percent in Marshall, 56 percent in Starke and 54 percent in Porter is from the plants of these regulated handlers.

The four presently unregulated handlers who would be regulated by the recommended order pay the approximately 25 dairy farmers supplying them a price based on and comparable to the South Bend-La Porte-Elkhart or Indianapolis order uniform price. They have a high proportion of fluid milk sales to receipts, ranging generally from 80 to 100 percent Class I utilization. Handlers now regulated by the order are at a price disadvantage in competing with unregulated handlers for Class I sales in the proposed marketing area because they are required to pay the higher Class I order price to which their competitors are not subject.

Benton, Carroll, Cass, Fulton, Jasper, Miami, Newton, Pulaski, and White Counties were also proposed to be added to the marketing area. The several South Bend-La Porte-Elkhart order handlers who currently have some Class I distribution in these nine counties are not the principal distributors in these counties and their distribution in them is not a substantial portion of their Class I business. The majority of the Class I distribution in this nine-county area is not by handlers now subject to the order. In some of the counties such as Cass, Carroll and Miami, the estimated distribution by handlers presently regulated by the order is less than 20 percent. Moreover, no evidence was submitted to show that the marketing conditions in this nine-county area are such as to show that presently regulated handlers are disadvantaged in competing with the several unregulated handlers operating in these counties.

The unregulated handler with the greatest distribution in the nine-county area receives milk from about 40 dairy farmers at his plant in Logansport in Cass County. From this plant he has Class I distribution in Cass, Carroll, Fulton, Miami, Pulaski, White, and Marshall Counties. Of these latter counties only Marshall is recommended for inclusion in the marketing area. However, this handler's Class I sales in Marshall County are limited to only a small area in the county and represent a small portion of his total Class I disposition. It is not expected that he would be subject to regulation because of this distribution.

A cooperative under the Chicago order opposed a shift of the Calumet area to the South Bend-La Porte-Elkhart marketing area. It claimed that the removal of Calumet area Class I sales from the Chicago pool would reduce the Chicago blend price 1 cent per hundredweight. However, the cooperative did not present testimony that would substantiate its position that operations of the Calumet area handlers in both distribution and procurement are more intimately associated with those of Chicago order handlers than with handlers regulated by the South Bend-La Porte-Elkhart order.

The marketing area expansion herein recommended would promote orderly marketing by assuring Northwestern Indiana handlers that their competitors in the marketing area would be required

to pay for milk at prices based on the minimums prescribed by the order.

The recommended Northwestern Indiana marketing area represents an area of uniform minimum health standards for Grade A milk products sold for fluid consumption. Fluid milk products sold under a Grade A label must be approved by local and State health ordinances, practices and procedures patterned after the U.S. Public Health Ordinance and Code. Shipments of Grade A milk, in bulk and packaged form, between various localities in the marketing area are through reciprocal approval of the responsible health authorities.

Territory within the boundaries of the designated marketing area which is occupied by government (municipal, State or Federal) reservations, installations, institutions or other similar establishments should be considered to be within the marketing area. Exemption of sales by a handler in any such territory could place regulated handlers at a disadvantage. So there will be no doubt as to the intent of the application of the marketing area definition, the order should clearly specify that all premises within the marketing area, as described above, will be included as part of the marketing area.

2. The Class I price supply-demand adjustment should be replaced with that used in the Chicago order.

The order presently provides a Class I price calculated by adding a differential to the Minnesota-Wisconsin price series basic formula with a supply-demand adjustment based on local sales and receipts data. This formula has reflected the relationship of supplies and demand in the present marketing area.

The South Bend-La Porte-Elkhart Class I price is established at a level 20 cents above the Chicago order Class I price at the 55–70 mile zone prior to adjustment by the supply-demand factor in each market. For 1961 and 1962 the South Bend-La Porte-Elkhart Class I price averaged 39 and 37 cents, respectively, higher than the Chicago order Class I price, primarily because of the difference supply-demand adjustors in the respective orders. The present supply-demand adjustor has provided a realistic measure of the local supplies and sales relationship in the present area as it differs from that of the Chicago order market.

Class I prices under the Northwestern Indiana order must recognize that the Chicago order prices are an important factor in pricing milk in the region. Because of the proximity of the sales and procurement areas of Northwestern Indiana and Chicago order handlers, a close alignment of Class I prices is essential for orderly marketing conditions and to minimize uneconomic shifts of producers and plants between the markets. With the expansion of the marketing area to include Lake County and the consequent regulation under this order of several former Chicago handlers who compete for sales with handlers who will remain under Chicago regulation, the use of the current supply-demand adjustor would not be warranted under the close pricing relationship that is necessary between this and the Chicago market.

The annual average Class I differential over the basic formula of $1.10 should not be changed. Although a proposal was made to increase the Class I price differential over the basic formula, there is no indication that the supply of producer milk is becoming inadequate for the market's requirements. During 1961 and 1962, producer milk classified in the reserve classifications under the South Bend-La Porte-Elkhart order was 27 and 28 percent, respectively. The present differential together with the Chicago order supply-demand adjustment and the location differential adjustments recommended herein will provide alignment with the Chicago order prices.

3. The utilizations now designated as Class II and Class III should be included in one class (Class II) and priced at the average price per hundredweight for manufacturing grade milk, f.o.b. plants in Wisconsin and Minnesota as reported by the United States Department of Agriculture.

Under the present order provisions, Class II includes all skim milk and butterfat used to produce cottage cheese. Class III is all skim milk and butterfat used in condensed milk and skim milk, ice cream and frozen desserts and mixes, evaporated milk, butter, cheese, nonfat dry milk and other manufactured products.

The present Class II price is the higher of the Midwest Condensery price series or a butter-powder formula. The Class III price is the Midewst Condensery price. For the 12 months ending May 1963, the Class II price averaged $3.12 and the Class III price $2.98. During the same period the Class II price herein recommended averaged $3.07.

It is not practicable to retain a separate classification and pricing structure for milk used for cottage cheese. There is no uniform requirement throughout the expanded marketing area that cottage cheese must be made from Grade A milk. Moreover, cottage cheese made from ungraded milk can be distributed in most of the marketing area in competition with cottage cheese made from Grade A supplies.

Classification and pricing of skim milk and butterfat used to produce cottage cheese in the same class as all other manufactured products will assist in maintaining an important outlet for producer milk by assuring continued use of producer milk in the production of cottage cheese. Such classification and pricing is consistent with that recommended for cottage cheese in the Chicago order and will assure handlers under this order of prices for cottage cheese which are aligned with such prices in other nearby markets functioning as alternative supply sources for cottage cheese sold in this market.

Elsewhere in this decision, the need for maintaining alignment of the Class I price with the Chicago order is emphasized. Alignment of reserve milk prices between the orders is no less necessary. The Class II price herein recommended is the same as for reserve milk under the Chicago order and approximates the Class II price of the Fort Wayne and Indianapolis orders. In effect, the Class II price recommended herein will return producers a value for their milk consistent with the value of milk used in manufactured products in the nearby markets.

The recommended classification and pricing of reserve milk recognizes that prices for manufacturing grade milk tend to be reasonably uniform regardless of the use made of the milk and reflects the competitive value of reserve milk used for manufacturing purposes.

4. The Class I and uniform prices should be reduced 10 cents for the first 70 miles and 1.6 cents for each additional 10 miles or fraction thereof for milk received at plants not less than 60 miles from the nearest of the City Hall, Gary, Indiana; St. Joseph County Court House, South Bend, Indiana; or White County Court House, Monticello, Indiana. These cities are so located with respect to the overall sales area of regulated handlers that basing mileage zones from them will be equitable to all handlers and producers. The present order location differential at the same rate (10 cents plus 1.6 cents each additional 10 miles) is first applicable at pool plants between 55 and 60 miles from South Bend.

Practically all handlers obtain their milk supplies by direct delivery from farms in this nearby area. The value of milk to the market for fluid purposes is greater at the location of a plant in the marketing area than at a plant from which milk must be moved to the marketing area for Class I uses. Beyond 60 miles from the nearest of the basing points milk has a lower value because of location with respect to the major consuming centers in the marketing area and the added cost of transportation.

These location adjustment rates and mileage zones are consistent with those used under nearby orders and are representative of the cost of transporting milk to the market by efficient means.

5. The butterfat differentials used to adjust the class prices should be reduced to more appropriately reflect the relative value of butterfat under current marketing conditions. The value resulting from multiplying the Chicago butter price by 0.120 for Class I milk and by 0.113 for Class II milk will provide appropriate means for adjusting the prices in the expanded marketing area for each one-tenth percent variation in the butterfat content of milk used in various products.

These butterfat differentials, which were proposed by both handlers and producers at the hearing, are the same as those used to adjust Class I and Class II prices in the Indianapolis order.

The present Class II (milk used to make cottage cheese) butterfat differential is 0.113 times the Chicago 92-score butter price. Class I and Class III butterfat differentials are 0.130 and 0.120 times such butter price.

The higher butterfat differential applicable to Class I milk allocates more value to the butterfat in the milk. A number of fluid milk products on the market are made up of a proportionately high percentage of solids not fat (e.g.

fortified or modified skim milk). With too high a butterfat differential, producers do not receive their appropriate share of the Class I sales value represented by the solids not fat portion of fluid milk products. A high butterfat differential has the effect of pricing cream for Class I uses at a high level. On the other hand, the butterfat differential herein recommended will encourage increased disposition of butterfat in Class I outlets.

A Class II butterfat differential of 11.3 percent of the Chicago butter price will facilitate the movement of butterfat in the reserve supply of milk to manufacturing outlets. This would result in a lower price for butterfat in manufacturing uses than the Class II butterfat differential recommended for the Chicago order of 12 percent of the butter price. However, in this market there are no large scale manufacturing facilities at pool plants and excess milk must be collected in small lots for disposition to nonpool manufacturing outlets.

A handler testified that he had been unable to dispose of the butterfat in excess milk at the order prices and had incurred a loss of five cents per pound of butterfat in the first four months of 1963. In view of the pricing in nearby orders in Indiana and Michigan which provide for 11.3 to 11.5 percent of the butter price for reserve milk butterfat differentials, a Class II butterfat differential of 11.3 percent of the Chicago butter price is appropriate for this order.

The butterfat differential to producers should be revised to reflect the Class I and Class II butterfat differentials weighted by the proportion of butterfat in producer milk classified in each class during the month. Thus, returns to producers will reflect the value of butterfat at the class prices provided by the order. This method also will tend to reduce the incentive to produce milk of a high butterfat test which has been provided by the relatively high butterfat differentials for Class I and Class III milk now in the order.

7. No increase in the marketing service assessment rate should be made at this time.

It was proposed that the rate be increased from four cents to six cents because of possible increased costs in providing services to nonmember producers by expansion of the marketing area. Comparison of the expected number of producers, the estimated quantity of milk produced for the expanded area, and the rates applicable in markets of comparable size indicates that the present maximum rate of four cents per hundredweight of producer milk is reasonable and should continue to provide the funds necessary to conduct the program.

8. Conforming and clarifying changes necessary to effectuate and facilitate application of the revised classification, pricing, pooling and other provisions recommended should be incorporated in the order. These changes, none of which is substantive in nature, include the following:

(a) "Fluid milk product" would be defined to mean milk, skim milk, buttermilk, flavored milk, flavored milk drinks, sour cream and sour cream products labeled Grade A, cream or any mixture in fluid form of cream and milk or skim milk. These products are the same as those whose disposition is designated as Class I milk. Manufactured milk products such as eggnog, ice cream mix, frozen dessert mix, aerated cream products, evaporated and condensed milk or skim milk and sterilized products in hermetically sealed metal containers would be excluded from the fluid milk product definition. Inclusion of the fluid milk product definition in the order will provide a convenient reference for a category that is used several times in order provisions.

(b) A "butter price" would be defined as the simple average as computed by the market administrator of the daily wholesale selling prices per pound of Grade A (92-score) bulk creamery butter at Chicago as reported during the month by the Department. This butter price is used in various pricing sections of the order and its specific definition will facilitate order references.

Rulings on proposed findings and conclusions. Briefs and proposed findings and conclusions were filed on behalf of certain interested parties. These briefs, proposed findings and conclusions and the evidence in the record were considered in making the findings and conclusions set forth above. To the extent that the suggested findings and conclusions filed by interested parties are inconsistent with the findings and conclusions set forth herein, the requests to make such findings or reach such conclusions are denied for the reasons previously stated in this decision.

General findings. The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order and of the previously issued amendments thereto; and all of said previous findings and determinations are hereby ratified and affirmed, except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) The tentative marketing agreement and the order, as hereby proposed to be amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the Act;

(b) The parity prices of milk as determined pursuant to section 2 of the Act are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply and demand for milk in the marketing area, and the minimum prices specified in the proposed marketing agreement and the order, as hereby proposed to be amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest; and

(c) The tentative marketing agreement and the order, as hereby proposed to be amended, will regulate the handling of milk in the same manner as, and will be applicable only to persons in the respective classes of industrial and commercial activity specified in a marketing agreement upon which a hearing has been held.

Recommended marketing agreement and order amending the order. The following order amending the order as amended regulating the handling of milk in the Northwestern Indiana marketing area is recommended as the detailed and appropriate means by which the foregoing conclusions may be carried out. The recommended marketing agreement is not included in this decision because the regulatory provisions thereof would be the same as those contained in the order, as hereby proposed to be amended:

1. Section 1031.6 is revised to read as follows:

§ 1031.6 Northwestern Indiana marketing area.

"Northwestern Indiana marketing area", hereinafter called the "marketing area" means all the territory within the boundaries of the counties of Elkhart, Kosciusko, Lake, La Porte, Marshall, Porter, St. Joseph and Starke, all in the State of Indiana, including all territory within such boundaries occupied by government (municipal, State or Federal) reservations, installations, institutions or other similar establishments.

2. A new § 1031.18 is added to read as follows:

§ 1031.18 Fluid milk product.

"Fluid milk product" means milk, skim milk, buttermilk, flavored milk, flavored milk drinks, sour cream and sour cream products labeled Grade A, cream or any mixture in fluid form of cream and milk or skim milk: *Provided*, That eggnog, ice cream mix, frozen dessert mix, aerated cream products, evaporated and condensed milk or skim milk and sterilized products in hermetically sealed metal containers shall not be fluid milk products pursuant to this section.

3. A new § 1031.19 is added to read as follows:

§ 1031.19 Butter price.

"Butter price" means the simple average as computed by the market administrator of the daily wholesale selling prices (using the midpoint of any price range as one price) per pound of Grade A (92-score) bulk creamery butter at Chicago as reported during the month by the Department.

4. Section 1031.22(i) is revised to read as follows:

(i) Publicly announce by posting in a conspicuous place in his office and by such other means as he deems appropriate on or before:

(1) The 7th day of each month the Class I milk price pursuant to § 1031.51 (a) and the Class I butterfat differential pursuant to § 1031.52(a), both for the current month, and the Class II milk price pursuant to § 1031.51(b) and the Class II butterfat differential pursuant to § 1031.52(b) both for the preceding month; and

(2) The 14th day after the end of each month the uniform price computed pursuant to § 1031.71 and the butterfat and location differentials pursuant to § 10.31.81.

5. In § 1031.30(a), "Class III milk" is deleted and "Class II milk" is substituted therefor and § 10.31.30(a)(5) is redesignated § 1031.30(a)(4).

6. Section 1031.41 is revised to read as follows:

§ 1031.41 Classes of utilization.

Subject to the conditions of § 1031.44, the classes of utilization shall be as follows:

(a) *Class I milk.* Class I milk shall be all skim milk and butterfat:

(1) Disposed of as a fluid milk product (except as provided in paragraph (b)(2), (3) and (4) of this section); and

(2) Not accounted for as Class II milk.

(b) *Class II milk.* Class II milk shall be:

(1) Skim milk and butterfat used to produce any product other than a fluid milk product;

(2) Skim milk and butterfat in fluid milk products delivered in bulk form to and used at commercial food establishments devoted exclusively to the manufacture of bakery products, candy or processed foods in hermetically sealed containers;

(3) Skim milk in fluid milk products disposed of for livestock feed or dumped if the market administrator has been notified in advance and afforded the opportunity to verify such dumping;

(4) Skim milk represented by the nonfat milk solids added to a fluid milk product which is in excess of the weight of an equivalent volume of the fluid milk product prior to such addition;

(5) Skim milk and butterfat in monthly inventory variations;

(6) Skim milk and butterfat, respectively, (except in milk diverted to a nonpool plant) in shrinkage but not in excess of 2.0 percent of producer milk; and

(7) Skim milk and butterfat in shrinkage of other source milk computed pursuant to § 1031.42.

7. The introductory text of § 1031.44 is revised to read as follows:

§ 1031.44 Transfers.

Skim milk or butterfat in the form of a fluid milk product shall be classified:

8. In § 1031.46(b) the reference to "§ 1031.41(c)(7) in series beginning with Class III milk" is deleted and "§ 1031.41(b)(6), in series beginning with Class II milk" is substituted therefor.

9. In § 1031.46(d), "Class III milk" is deleted and "Class II milk" is substituted therefor.

10. Sections 1031.50 through 1031.59 under the centerheading "MINIMUM PRICES" are rearranged and renumbered by deleting §§ 1031.50 through 1031.59 and substituting §§ 1031.50 through 1031.55 in lieu thereof. Sections 1031.50 through 1031.55 now read as follows:

MINIMUM PRICES

The basic formula price shall be the average price per hundredweight for manufacturing grade milk, f.o.b. plants in Wisconsin and Minnesota, as reported by the Department for the month. Such price shall be adjusted to a 3.5 percent butterfat basis by a butterfat differential (rounded to the nearest one-tenth cent) computed at 0.12 times the butter price and rounded to the nearest cent.

§ 1031.51 Class prices.

Subject to the provisions of §§ 1031.52 and 1031.53, the class prices per hundredweight for the month shall be as follows:

(a) *Class I milk price.* The price for Class I milk shall be the basic formula price for the preceding month plus $1.30 August through November, $0.90 March through June and $1.10 in other months: *Provided,* That such Class I price shall be increased or decreased, respectively, 2 cents for each full percent that the adjusted supply-demand ratio computed pursuant to Part 1030 (Chicago) of this Chapter is greater or less than 72 percent, but shall not be increased or decreased more than 24 cents because of such adjusted supply-demand ratio;

(b) *Class II milk price.* The Class II milk price shall be the basic formula price for the month.

§ 1031.52 Butterfat differentials to handlers.

For milk containing more or less than 3.5 percent butterfat, the class prices for the month pursuant to § 1031.51 shall be increased or decreased, respectively, for each one-tenth percent butterfat at a rate, rounded to the nearest one-tenth cent, determined as follows:

(a) *Class I price.* Multiply the butter price for the preceding month by 0.120.

(b) *Class II price.* Multiply the butter price for the month by 0.113.

§ 1031.53 Location differentials to handlers.

(a) The Class I price for milk received at a plant or reload point located 60 miles or more by the shortest hard-surfaced highway distance as determined by the market administrator from the nearest of the City Hall, Gary, Indiana; St. Joseph County Court House, South Bend, Indiana; and White County Court House, Monticello, Indiana; shall be reduced 10 cents for the first 70 miles or less and 1.6 cents for each additional 10 miles or fraction thereof that such plant or reload point is from the nearest of such places;

(b) For the purpose of calculating location differentials pursuant to paragraph (a) of this section, receipts of bulk fluid milk products from a pool plant pursuant to § 1031.10(b) at a pool plant pursuant to § 1031.10(a) shall be assigned any remainder of Class I milk at the transferee plant that is in excess of receipts from producers at such plant. Such assignment shall be made in sequence according to the location differential applicable at each plant beginning with the plant at which the lowest location differential is applicable.

§ 1031.54 Computation of prices of skim milk and butterfat.

The prices per hundredweight of skim milk and butterfat to be paid by each handler for milk in each class shall be computed as follows: For each class, respectively, the price per hundredweight of skim milk shall be the applicable class price for the month less the result of multiplying the applicable class butter fat differential for the month by 35. For each class, respectively, the price per hundredweight of butterfat shall be the applicable class price for the month plus the result of multiplying the applicable class butterfat differential for the month by 965.

If for any reason a price quotation required by this order for computing class prices or for other purposes is not available in the manner described, the market administrator shall use a price determined by the Secretary to be equivalent to the price that is required.

11. In § 1031.60, the reference to "South Bend-La Porte-Elkhart" is deleted and "Northwestern Indiana" is substituted therefor.

12. In § 1031.61, the reference "1031.50 to 1031.58, 1031.70 to 1031.72" is deleted and "1031.50 to 1031.54, 1031.70 and 1031.71" is substituted therefor.

13. Section 1031.70 is revised to read as follows:

§ 1031.70 Computation of the value of milk.

For each month the total value of milk received by each handler from producers or associations of producers (including any such milk caused to be delivered to such handler from the farms of producers for the account of a cooperative association) during such month shall be a sum of money computed by the market administrator by multiplying the pounds of skim milk and butterfat in each class by the applicable class prices pursuant to § 1031.54, adding together the resulting amounts, adding the result of multiplying the pounds of skim milk and butterfat subtracted pursuant to § 1031.46(d) by the respective applicable class prices and subtracting the total amount of any location differential computed pursuant to § 1031.53.

14. In § 1031.80(b), the reference to "Class I milk, Class II milk and Class III milk" is deleted and "Class I and Class II milk" is substituted therefor.

15. Section 1031.81 is revised to read as follows:

§ 1031.81 Producer butterfat and location differentials.

(a) The uniform price pursuant to § 1031.71 shall be increased or decreased for each one-tenth percent that the butterfat content of such milk is above or below 3.5 percent, respectively, at the rate determined by multiplying the pounds of butterfat allocated to Class I and Class II milk pursuant to § 1031.46 by the respective butterfat differential for each class, dividing the sum of such values by the total pounds of butterfat, and rounding the resulting figure to the nearest one-tenth cent.

(b) The uniform price pursuant to § 1031.71 for milk received at a plant shall be reduced according to the location of the plant at the rates set forth in § 1031.53.

16. In § 1031.83(a), the (a) is deleted and the reference "§ 1031.70(a)" is deleted and "§ 1031.70" is substituted therefor.

17. Section 1031.83(b) is revoked.

Signed at Washington, D.C., on May 26, 1964.

CLARENCE H. GIRARD,
Deputy Administrator,
Agricultural Marketing Service.

[F.R. Doc. 64-5400; Filed, May 28, 1964; 8:48 a.m.]

Agricultural Research Service

[9 CFR Parts 1, 9, 11, 18]

MEAT INSPECTION

Biological Residues in Meat

Notice is hereby given in accordance with section 4(a) of the Administrative Procedure Act (5 U.S.C. 1003(a)) that the Department of Agriculture is considering amending Parts 1, 9, 11, and 18 of the Federal Meat Inspection Regulations (9 CFR Parts 1, 9, 11, and 18) pursuant to the authority conferred by the Meat Inspection Act, as amended and extended (21 U.S.C. 71–96), and sections 306 (b) and (c) of the Tariff Act of 1930, as amended (19 U.S.C. 1306 (b) and (c)), as indicated below:

1. A new § 1.1 (cc) would be added to read:

(cc) *Biological residue.* Any substance, including metabolites, remaining in the animal at time of slaughter or in any of its tissues after slaughter, as the result of treatment or exposure of the animal to a pesticide, metallic or other inorganic compound, hormone, hormone-like substance, growth promoter, antibiotic, anthelmintic, tranquilizer, or other therapeutic or prophylactic agent.

2. A new § 9.19 would be added to read:

§ 9.19 Animals suspected of having biological residues.

Animals suspected of having been treated with or exposed to any substance in a manner that may impart a biological residue that may make the edible tissues of the animals unwholesome or otherwise unfit for human food shall be marked "U. S. Suspect". The animals shall be held under the custody of a Division employee or other responsible official until it has been determined by such employee or other official that metabolic processes have reduced the residue sufficiently to make the tissues of the animals fit for human food.

3. A new § 11.42 would be added to read:

§ 11.42 Biological residues: disposition.

Carcasses, organs or other parts of animals shall be condemned if they are determined to be unwholesome or otherwise unfit for human food because of the presence of any biological residue. The Director of Division shall issue to the inspectors instructions specifying the standards and procedures which must be complied with when making this determination. Copies of such instructions will be made available to interested persons upon request.

4. A new § 18.18 would be added to read:

§ 18.18 Pesticide residues and other biological residues in meat food products.

(a) *Nonmeat ingredients:* Residues of pesticides in or on ingredients other than meat used in the formulation of meat food products shall not be such as to make the meat food products unwholesome or otherwise unfit for human food, and shall not exceed levels permitted under Federal law applicable to such ingredients.

(b) *Meat food products:* Finished meat food products shall not bear or contain residues of pesticides or other biological residues that make the products unfit for human food.

(c) Standards and procedures for determining when ingredients or finished meat food products are in compliance with this section shall be issued to the inspectors by the Director of Division. Copies of such standards and procedures will be made available to interested persons upon request.

The foregoing amendments of the Meat Inspection Regulations formalize general policies and provide for standards and procedures which are intended to assure that meat and meat food products prepared under Federal meat inspection are wholesome and otherwise fit for human food. They make no substantive change in present operating requirements.

Any interested persons who wish to submit written data, views, or arguments on the proposed amendments may do so by filing them with the Director, Meat Inspection Division, Agricultural Research Service, U.S. Department of Agriculture, Washington, D.C., 20250, within 60 days after publication hereof in the FEDERAL REGISTER.

Done at Washington, D.C., this 25th day of May 1964.

M. R. CLARKSON,
Acting Administrator,
Agricultural Research Service.

[F.R. Doc. 64-5378; Filed, May 28, 1964; 8:45 a.m.]

[9 CFR Part 92]

ANIMAL SEMEN

Importation From Countries Where Rinderpest or Foot-and-Mouth Disease Exists

Notice is hereby given in accordance with section 4(a) of the Administrative Procedure Act (5 U.S.C. 1003(a)) that, pursuant to the provisions of sections 6, 7, 8, and 10 of the Act of August 30, 1890, as amended (21 U.S.C. 102–105), section 2 of the Act of February 2, 1903, as amended (21 U.S.C. 111), section 306 of the Act of June 17, 1930, as amended (19 U.S.C. 1306), and the Act of July 2, 1962 (21 U.S.C. 134 et seq.), the Department of Agriculture proposes to amend Part 92, Subchapter D, Chapter I, Title 9, Code of Federal Regulations, as amended, in the following respects:

1. Section 92.4 of Part 92 would be amended by adding at the end of subparagraph (a)(2), the phrase "except as provided in paragraph (d) of this section."

2. A new paragraph (d) would be added to § 92.4 to read as follows:

(d) *Animal semen from countries where rinderpest or foot-and-mouth disease exists.* Importation of semen of ruminants or swine, originating in any country designated in paragraph (a) of section 94.1 of this subchapter as a country where rinderpest or foot-and-mouth disease is determined to exist, is prohibited, except that semen from ruminants or swine originating in such a country may be offered for entry into the United States at the port of New York and later released from such port provided the following conditions have been fulfilled:

(1) The importer has applied for and obtained an import permit for the semen in accordance with the provisions of this section, which permit is in effect at the time of importation, and has deposited with the Department at the time of issuance of the permit sufficient funds so as to be available for defraying all expenses to be incurred in connection with the assignment of a veterinarian of the Department to the country of origin of the semen, the testing of blood samples from the donor animal, and the transportation, storage, and testing of the semen as hereafter prescribed. Such an import permit may be denied for the reasons specified in subparagraph (3) of this paragraph. Furthermore, an import permit will be revoked unless the following conditions have been complied with:

(i) The donor animal shall have been inspected on the farm of origin by a veterinarian of the United States Department of Agriculture who, in cooperation with the veterinary service of the country of origin of the donor animal, shall have determined, insofar as possible, that the donor animal was never infected with rinderpest or foot-and-mouth disease; that the donor animal was never on a farm or other premise where rinderpest or foot-and-mouth disease then existed; that no animal on the farm of origin which was susceptible to the virus of rinderpest or foot-and-mouth disease was exposed to either disease during the 12 months immediately prior to the date of inspection of the donor animal; that the donor animal had never been vaccinated against rinderpest or foot-and-mouth disease; and that the donor animal was free from evidence of other communicable disease;

(ii) Blood samples from the donor animal for virus neutralization and fluorescent antibody tests or other tests shall have been collected by a veterinarian of the United States Department of Agriculture and transported by air to the Plum Island Animal Disease Laboratory of the United States Department of Agriculture in containers approved by a veterinarian of this Department, sealed in the country of origin by a veterinarian of this Department; and pending the results

of the tests, the donor animal shall have been kept in isolation on the farm of origin or other acceptable location under the supervision of a veterinarian of this Department, and during such isolation period no animal susceptible to rinderpest or foot-and-mouth disease shall have been permitted to enter such farm or location and no other source of exposure to rinderpest or foot-and-mouth disease shall have been present;

(iii) The blood samples from the donor animal shall have been negative to the virus neutralization and fluorescent antibody tests made at the Plum Island Animal Disease Laboratory of the United States Department of Agriculture and to any other test for rinderpest, foot-and-mouth disease or other communicable disease prescribed by the Director of Division;

(iv) Following isolation, preliminary veterinary inspection, and testing while the donor animal was on the farm of origin, the donor animal shall have been transported, under such conditions as the Department veterinarian prescribed to prevent exposure of the animal to the virus of rinderpest or foot-and-mouth disease, to an isolation facility properly equipped for the necessary care and maintenance of the donor animal and for the proper collection and handling of semen, approved by a veterinarian of this Department and under the direct supervision of such veterinarian;

(v) The semen of the donor animal shall have been collected at the approved isolation facility under the direct supervision of a veterinarian of this Department; all handling procedures, such as examination, dilution, refrigeration, and preparation of the semen for shipment, shall have been under the direct supervision of a veterinarian of this Department; and the semen collected at such facility shall have been at all times prior to the issuance of the import permit in the custody of a veterinarian of this Department.

(2) The semen for which an import permit has been issued shall remain in the custody of a veterinarian of this Department at all times prior to the transportation of the semen to the United States.

(3) The semen for which an import permit has been issued shall be transported by air to the port of New York in liquid nitrogen containers approved by a veterinarian of this Department; sealed in the country of origin by a veterinarian of this Department; and accompanied by a statement by such veterinarian showing the identification of the donor animal and the dates the semen was collected, along with a certificate regarding the health status of the donor animal as of the date of shipment of the semen to the port of New York. All semen received at the port of New York shall be held under quarantine in liquid nitrogen storage at such port in the custody of the Animal Inspection and Quarantine Division until released or otherwise disposed of as provided in this section. Quarantine of the semen at the port of New York shall be for a minimum period of 60 days in facilities and under conditions prescribed by the Director of Division, during which time additional tests shall be conducted as provided in subparagraphs (4) and (5) of this paragraph.

(4) The donor animal shall be retained at the approved isolation facility in the country of origin where the semen was collected for at least 60 days after such collection; and after such 60-day retention period, blood samples shall be collected from the donor animal by a veterinarian of this Department for virus neutralization and fluorescent antibody tests or other tests at the Plum Island Animal Disease Laboratory of the United States Department of Agriculture.

(5) While the imported semen is in storage under quarantine at the port of New York each lot of semen collected from the donor animal shall be tested at the Plum Island Laboratory. Such test shall consist of injecting not less than 10 percent of the volume of each lot of semen into test animals which are susceptible to rinderpest and foot-and-mouth disease. The Director of Division may also require such other tests as he deems necessary to determine whether the semen harbors the virus of rinderpest or foot-and-mouth disease, or any other communicable disease.

(6) The importer shall furnish the Director of Division with a complete list of the names and addresses of all breeders to whom shipments of the semen will be consigned in the United States.

(7) If it is determined that the requirements set forth in this paragraph have been complied with and that there are no indications that the semen harbors the virus of rinderpest or foot-and-mouth disease or any other communicable disease, the semen shall be released for shipment to the consignees listed by the importer pursuant to subparagraph (6) of this paragraph; otherwise the semen shall be destroyed or disposed of as the Director of Division may direct.

The purpose of these amendments is to provide for procedures whereby the semen of ruminants or swine from certain countries where rinderpest or foot-and-mouth disease exists may be imported under conditions which appear to be adequate for the prevention of the introduction of these diseases and other communicable diseases, in order that new blood lines may be established for herd improvements.

Any person who wishes to submit written data, views, or arguments concerning the proposed amendments may do so by filing them with the Director, Animal Inspection and Quarantine Division, Agricultural Research Service, United States Department of Agriculture, Washington, D.C., 20250, within 60 days after publication hereof in the FEDERAL REGISTER.

Done at Washington, D.C., this 18th day of May 1964.

M. R. CLARKSON,
Acting Administrator,
Agricultural Research Service.

[F.R. Doc. 64-5401; Filed, May 28, 1964; 8:49 a.m.]

FEDERAL HOME LOAN BANK BOARD

[12 CFR Part 561]

[No. FSLIC-1,822]

FEDERAL SAVINGS AND LOAN INSURANCE CORPORATION

Definition of Cash

MAY 26, 1964.

Resolved that, pursuant to Part 508 of the General Regulations of the Federal Home Loan Bank Board (12 CFR Part 508) and § 567.1 of the rules and regulations for Insurance of Accounts (12 CFR 567.1), it is hereby proposed that § 561.18 of the rules and regulations for Insurance of Accounts (12 CFR 561.18) be amended by an amendment the substance of which is as follows:

Amend § 561.18 of the rules and regulations for Insurance of Accounts to read as follows:

§ 561.18 Cash.

The term "cash" means cash on hand and cash on deposit in banks, including Federal Home Loan Banks.

(Secs. 402, 403, 48 Stat. 1256, 1257, as amended; 12 U.S.C. 1725, 1726. Reorg. Plan No. 3 of 1947, 12 F.R. 4981, 3 CFR, 1947 Supp.)

Resolved further that all interested persons are hereby given the opportunity to submit written data, views, or arguments on the following subjects and issues: (1) Whether said proposed amendment should be adopted as proposed; (2) whether said proposed amendment should be modified and adopted as modified; (3) whether said proposed amendment should be rejected. All such written data, views, or arguments must be received through the mail or otherwise at the Office of the Secretary, Federal Home Loan Bank Board, Federal Home Loan Bank Board Building, 101 Indiana Avenue NW., Washington, D.C., 20552, not later than June 29, 1964, to be entitled to be considered, but any received later may be considered in the discretion of the Federal Home Loan Bank Board.

By the Federal Home Loan Bank Board.

[SEAL] HARRY W. CAULSEN,
Secretary.

[F.R. Doc. 64-5405; Filed, May 28, 1964; 8:50 a.m.]

Notices

ATOMIC ENERGY COMMISSION

STATE OF NORTH CAROLINA

Proposed Agreement for Assumption of Certain AEC Regulatory Authority

Notice is hereby given that the U.S. Atomic Energy Commission is publishing for public comment, prior to action thereon, a proposed agreement received from the Governor of the State of North Carolina for the assumption of certain of the Commission's regulatory authority pursuant to section 274 of the Atomic Energy Act of 1954, as amended.

A résumé, prepared by the State of North Carolina and summarizing the State's proposed program, was also submitted to the Commission and is set forth below as an appendix to this notice. Appendixes referenced in the appendix are included in the complete text of the program. A copy of the program, including proposed North Carolina regulations, is available for public inspection in the Commission's Public Document Room, 1717 H Street NW., Washington, D.C., or may be obtained by writing to the Director, Division of State & Licensee Relations, United States Atomic Energy Commission, Washington 25, D.C. All interested persons desiring to submit comments and suggestions for the consideration of the Commission in connection with the proposed agreement should send them, in triplicate, to the Secretary, U.S. Atomic Energy Commission, Washington 25, D.C., within 30 days after initial publication in the FEDERAL REGISTER.

Exemptions from the Commission's regulatory authority which would implement this proposed agreement, as well as other agreements which may be entered into under section 274 of the Atomic Energy Act, as amended, were published as Part 150 of the Commission's regulations in FEDERAL REGISTER issuance of February 14, 1962; 27 F.R. 1351. In reviewing this proposed agreement, interested persons should also consider the aforementioned exemptions.

Dated at Washington, D.C., this 20th day of May 1964.

For the Atomic Energy Commission.

WOODFORD B. MCCOOL,
Secretary to the Commission.

Proposed Agreement Between The United States Atomic Energy Commission and the State of North Carolina for Discontinuance of Certain Commission Regulatory Authority and Responsibility Within the State Pursuant to Section 274 of the Atomic Energy Act of 1954, as Amended

Whereas, The United States Atomic Energy Commission (hereinafter referred to as the Commission) is authorized under section 274 of the Atomic Energy Act of 1954, as amended (hereinafter referred to as the Act) to enter into agreements with the Governor of any State providing for discontinuance of the regulatory authority of the Commission within the State under Chapters 6, 7, and 8 and section 161 of the Act with respect to byproduct materials, source materials, and special nuclear materials in quantities not sufficient to form a critical mass; and

Whereas, The Governor of the State of North Carolina is authorized under North Carolina General Statutes (G.S. 104C–5; 1963, c. 1211) to enter into this Agreement with the Commission; and

Whereas, The Governor of the State of North Carolina certified on _____ that the State of North Carolina (hereinafter referred to as the State) has a program for the control of radiation hazards adequate to protect the public health and safety with respect to the materials within the State covered by this Agreement, and that the State desires to assume regulatory responsibility for such materials; and

Whereas, The Commission found on _____ that the program of the State for the regulation of the materials covered by this Agreement is compatible with the Commission's program for the regulation of such materials and is adequate to protect the public health and safety; and

Whereas, The State recognizes the desirability and importance of maintaining continuing compatibility between its program and the program of the Commission for the control of radiation hazards in the interest of public health and safety; and

Whereas, The Commission and the State recognize the desirability of reciprocal recognition of licenses and exemption from licensing of those materials subject to this Agreement; and

Whereas, This Agreement is entered into pursuant to the provisions of the Atomic Energy Act of 1954, as amended;

Now, Therefore, It is hereby agreed between the Commission and the Governor of the State, acting in behalf of the State, as follows:

Article I. Subject to the exceptions provided in Articles II, III, and IV, the Commission shall discontinue, as of the effective date of this Agreement, the regulatory authority of the Commission in the State under Chapters 6, 7, and 8, and section 161 of the Act with respect to the following materials:

A. Byproduct materials;

B. Source materials; and

C. Special nuclear materials in quantities not sufficient to form a critical mass.

Article II. This Agreement does not provide for discontinuance of any authority and the Commission shall retain authority and responsibility with respect to regulation of:

A. The construction and operation of any production or utilization facility;

B. The export from or import into the United States of byproduct, source, or special nuclear material, or of any production or utilization facility;

C. The disposal into the ocean or sea of byproduct, source, or special nuclear waste materials as defined in regulations or orders of the Commission;

D. The disposal of such other byproduct, source, or special nuclear material as the Commission from time to time determines by regulation or order should, because of the hazards or potential hazards thereof, not be so disposed of without a license from the Commission.

Article III. Notwithstanding this Agreement, the Commission may from time to time by rule, regulation, or order, require that the manufacturer, processor, or producer of any equipment, device, commodity, or other product containing source, byproduct, or special nuclear material shall not transfer possession or control of such product except pursuant to a license or an exemption from licensing issued by the Commission.

Article IV. This Agreement shall not affect the authority of the Commission under subsection 161 b. or i. of the Act to issue rules, regulations, or orders to protect the common defense and security, to protect restricted data or to guard against the loss or diversion of special nuclear material.

Article V. The Commission will use its best efforts to cooperate with the State and other agreement states in the formulation of standards and regulatory programs of the State and the Commission for protection against hazards of radiation and to assure that State and Commission programs for protection against hazards of radiation will be coordinated and compatible. The State will use its best efforts to cooperate with the Commisison and other agreement states in the formulation of standards and regulatory programs of the State and the Commission for protection against hazards of radiation and to assure that the State's program will continue to be compatible with the program of the Commission for the regulation of like materials. The State and the Commission will use their best efforts to keep each other informed of proposed changes in their respective rules and regulations and licensing, inspection and enforcement policies and criteria, and to obtain the comments and assistance of the other party thereon.

Article VI. The Commission and the State agree that it is desirable to provide for reciprocal recognition of licenses for the materials listed in Article I licensed by the other party or by any agreement State. Accordingly, the Commission and the State agree to use their best efforts to develop appropriate rules, regulations, and procedures by which such reciprocity will be accorded.

Article VII. The Commission, upon its own initiative after reasonable notice and opportunity for hearing to the State, or upon request of the Governor of the State, may terminate or suspend this Agreement and reassert the licensing and regulatory authority vested in it under the Act if the Commission finds that such termination or suspension is required to protect the public health and safety.

Article VIII. This agreement shall become effective on _____, and shall remain in effect unless, and until such time as it is terminated pursuant to Article VII.

Policies and Procedures Applicable to North Carolina Regulations for Protection Against Radiation

Foreword. Section 274 of the Atomic Energy Act of 1954, as amended, authorizes the United States Atomic Energy Commission to enter into an agreement with the Governor of a State to transfer to the State certain licensing and control of byproduct, source, and special nuclear materials in quantities not sufficient to form a critical mass. The North Carolina State Board of Health (hereafter referred to as "the Agency") has been designated by the North Carolina General Assembly and is prepared to accept this responsibility. To that end the Agency hereby presents a narrative description of its proposed program for the control of sources of ionizing radiation, including naturally occurring isotopes and certain radiation producing machines.

The regulatory program for control of sources of ionizing radiation in North Carolina, presented here in some detail, will be conducted in such a manner as to protect effectively the public health and safety, and to further the economic growth of the State by encouraging the safe and proper utilization of radiation for peaceful purposes. The program is compatible with the regulatory program of the United States Atomic Energy Commission and will be maintained so as to ensure this compatibility. Uniformity with the regulatory programs of other agreement States will be maintained so far as possible.

The Agency places primary and specific responsibilities for radiation protection upon those persons licensed or registered for sources of radiation, and upon those furnishing designated equipment servicing and services. The Agency has adequate authority and capability to assure compliance with the North Carolina Regulations for Protection Against Radiation.

Statutory Authority. In 1959 the North Carolina General Assembly enacted authority to the Agency (G.S. 104C) to adopt reasonable rules and regulations to provide protection against hazard from radioactivity and ionizing radiation; to require registration of persons possessing or using specified sources of radiation; to enter premises to determine whether applicable laws and regulations are being properly observed; to provide an inspection service and to make surveys (Appendix I). A 1963 amendment to G.S. 104C designated the North Carolina State Board of Health as the Agency which shall provide by rule or regulation for licensing of byproduct, source, special nuclear materials, or devices or equipment utilizing such materials, and for amendment, suspension or revocation of licensees; grants specific authority to the Agency for related protective activities; authorizes the Agency to provide for recognition of other State and Federal licenses as it may deem desirable; authorizes the Governor "to enter into agreements with the Federal Government providing for discontinuance of certain of the Federal Government's responsibilities with respect to sources of ionizing radiation and the assumption thereof by this State" (Appendix II).

The Agency has multiple other general and specific statutory authorities and responsibilities related to the 1959 Act and its 1963 amendment (copies available upon request to the Agency).

History. The North Carolina program for protection against radiation has developed progressively. A committee, advisory to the State Board of Health, on radiation protection was established early in 1958. During the same year this Agency began organizing a State Radiological Emergency Team, which became functional in September 1961. A voluntary State committee, advisory to the Governor on nuclear energy, was also established in 1958. These related actions are reflected in the 1959 North Carolina Atomic Energy, Radioactivity and Ionizing Radiation Law (Appendix I).

This Act established the State policy to promote sound and healthy programs for progressive use of atomic energy in the State, while protecting the public's interests and insuring public health and safety. The Act established the North Carolina Atomic Energy Advisory Committee with six subcommittees on agriculture, education and research, industry and labor, medicine and public health, power, and radiation standards (lists of the Committee and Subcommittee memberships are available upon request to the Agency). The Act assigned specific authority and duties to the State Board of Health.

The State Health Director in 1960 initiated the organization, assured interim staffing, and assigned developmental responsibilities for the State Radiological Health Program. All have been brought up to date recently.

Previous independent activities have included: The establishment in 1952 at North Carolina State College in Raleigh for educational and research purposes the first reactor not owned by the Federal Government; voluntary registration of radiation sources; setting up of patterns for occupational surveillance; actively developed environmental surveillance; readiness to meet reported radiation accidents and emergencies; providing the laboratory services required to support each of these. An orderly equipment procurement program has been implemented to make essential equipment available as staffing progressed.

One of the earliest acts of the North Carolina Atomic Energy Advisory Committee was giving support to the State Health Director's proposal in June, 1960 as he sought United States Public Health Service funds, which resulted in the establishment of a five-year graduate program in Radiological Health (Master's Degree) at the University of North Carolina, School of Public Health, administered entirely by that school. Another early Committee activity was support of the State Health Director in his request to the United States Atomic Energy Commission, which resulted in a contract to establish the North Carolina Institute in Fundamentals of Radiation and Radiological Protection at North Carolina State College and the School of Public Health, 1962–1963. Forty-eight State and local agency personnel were enrolled in the five courses. The Committee has reviewed the many studies, proposals, and recommendations of the State Board of Health in development of the State's radiation protection program. Its subcommittees have been, and will continue, available to the Agency at all times in furnishing advisory and co-ordinating assistance.

In late 1960 a program jointly developed by the State Board of Health with the State's medical, dental, hospital, and veterinary medical associations permitted the voluntary registration of radiation sources in the State before mid-1961. Supplemented by a detailed study of copies of licenses issued by the United States Atomic Energy Commission, and by a Statewide voluntary survey of dental X-ray machines (Surpak), more than three-fourths of all radiation sources in North Carolina have been identified, a bulletin was published in November 1963 listing the known sources so that health, civil defense, law enforcement, and fire prevention and fire fighting services as well as professional, safety, insurance, labor, compensation, and other related personnel can be informed of the nature and extent of most of the existing potential radiation hazards in each community. The Radiological Defense Service of the State Civil Defense Agency, although independent in authority and responsibility, is directed by the same personnel who direct the continuing day-to-day Radiological Health Programs. Both programs are closely co-ordinated and reviewed periodically with the State's law enforcement authorities.

An Agency environmental radiation surveillance program, begun in 1958, checks water supplies for 120 communities periodically, establishing factually the existing background radioactivity in the waters. This program has been evaluated and detailed results published annually, so that the current and future surveillance is on a more practical and authoritative (technical) basis. (Copies of pertinent reports are available upon request to the Agency). Concurrently, the State has long participated with the United States Public Health Service in nationwide, air, milk, and water surveillance network programs. Within the past year the State's independent program has expanded in the realms of air, water, milk surveillance, and food sampling.

In the realm of occupational surveillance, up to now, there has been no compulsory licensing, registration, or inspection. In 1949, shoe-fitting fluoroscopes throughout the State were inspected and their hazards reported to owners who removed them. By 1951, X-ray facilities of several local health departments were inspected and surveyed wherever requested. In 1961–1962, all X-ray facilities of the 100 local health departments in the State were surveyed, demonstrating widespread need for attention to personnel monitoring, proper collimation and filtration, operator shielding, and room shielding. During 1962–1963, with United States Public Health Service support, a Statewide Surpak survey of dental X-ray machines achieved voluntary participation by ninety percent of the 1,462 known dentists; only 20 percent revealed no apparent need for correction. Almost all deficiencies were readily corrected by the dentists' use of fittings furnished to them free. Later, jointly with the North Carolina State Veterinary Medical Association, voluntary survey of Veterinarians' X-ray facilities was undertaken. This has resulted in widespread improvement of personnel monitoring, and correction of improper collimation and filtration.

Occupational surveillance over radioactive materials by the Agency's personnel has involved accompanying Atomic Energy Commission inspectors on essentially all inspections during the past four years. These same State personnel will inspect for the State under this program. In addition all Civil Defense Radiological Defense Service Cobalt 60 source sets have been independently inspected and leak-tested by these State personnel.

The State Radiological Emergency Team has been continuously available since September 1961 when the first issue of the team's procedural guide was published. The team's handbook is revised periodically, the last time, September 1963 (a copy is available upon request to the Agency). Thus, the professionally competent technical guidance by team members has been planned from the start, and continues co-ordinated, with State law enforcement and transportation authorities. Nine American Board certified medical radiologists are available to the team at all times as consultants in any medical care required for victims of radiation accidents.

To support the expanding activities the Agency's Laboratory Division has installed effective equipment, and the increased staff is kept currently abreast of new developments.

The radiation protection program has continued towards State participation under section 274 of the Atomic Energy Act of 1954, as amended. Timely changes have been made in priorities for various program activities in order to meet changing circumstances. For example, environmental surveillance could be and was expedited due to atmospheric testing fallout. Nevertheless, the whole program has been functional since March 5, 1963.

The biennial program to June 30, 1965, is published and is revised annually. It will provide surveillance over environmental and occupational radiation sources, readiness for handling the effects of predictable accident/incident, and laboratory supports to all of these activities.

North Carolina Regulations for Protection Against Radiation, compatible with section 274 and the recommendations of the United States Atomic Energy Commission, United States Public Health Service, and the Council of State Governments, have been approved by the North Carolina Atomic Energy Advisory Committee, the State Board of Health, and the Governor of North Carolina (appendix III). Interested parties have had the opportunity to participate in public hearings on licensing and regulatory activities of the Agency, and have suggested or commented upon the Agency's proposed regulations.

Standards. The standards prescribed by the Agency are included in North Carolina

Regulations for Protection Against Radiation (Appendix III). These standards are equivalent to and compatible with current United States Atomic Energy Commission standards and those of the current agreement states. The standards pertaining to transportation are consistent with rules and regulations of the Interstate Commerce Commission, Federal Aviation Agency, United States Coast Guard, and Post Office Department; the standards pertaining to intrastate transportation are consistent with the same rules and regulations, and with State laws and regulations coming under statutory jurisdiction of all North Carolina agencies. All regulatory requirements are reviewed by the North Carolina Atomic Energy Advisory Committee prior to submission to the Governor for the approval required by statute.

Operating Procedures. The Agency's program for meeting statutory responsibilities is outlined hereafter:

(a) *Licensing.* Licenses will be required for all persons who possess or use in North Carolina radioactive materials in excess of exempt quantities and concentrations. Both general and specific licenses will be issued by the Agency and the criteria for the issuance and renewal of licenses will be the same as used by the United States Atomic Energy Commission. Provisions have been made in the regulations for exemption of certain quantities, concentrations, and devices; e.g., any person may receive, possess, or use products or materials containing radioisotopes in amounts or concentrations not in excess of those listed in the published exempt schedule.

The Agency will issue general licenses under specified circumstances where more stringent control by specific licenses is found to be unnecessary to protect the public health and safety. General licenses will be effective without either the filing of applications with the Agency or the issuance of documents by the Agency to a specific person. In addition to the generally licensed or exempt quantities, certain devices containing radioactive materials which have a built-in high safety factor, and will be safe for use by persons not trained in radiation protection, will be generally licensed.

Specific licensing procedures will involve both the evaluation of the possible radiation hazards and the determination of the adequacy of the radiation controls specifically proposed for application by the license applicants. The required controls will vary with the type of radioactive material(s) under consideration and the proposed use(s). Standards and licensing guides compatible with those used by the United States Atomic Energy Commission will be applied in making these evaluations. No standards more restrictive than those established by the Atomic Energy Act of 1954, and amendments, will be imposed by the Agency.

The Agency's regulations require the following for the issuance of a specific license:

1. The applicant shall be qualified by training and experience to possess and use the material safely and for the proposed purpose.

2. Facilities and equipment of the applicant shall be adequate to protect.

3. The location of the proposed activity shall be suitable for the purpose.

The Agency will require sufficient information submitted by an applicant to provide full knowledge of the proposed program, and this will be used as the basis to determine whether the applicant will be able to comply with the radiation safety regulations. A license will be issued only if the training and experience, facilities and equipment, and proposed operating procedures appear to be adequate for radiation protection, considering the type of material, levels of activity, and the proposed use.

A visit will be made prior to the issuance of a license when this is deemed necessary to make an on-the-spot evaluation of facilities and equipment and of the proposed radiation protection program.

License conditions or requirements will be included in a specific license to cover significant matters or special needs not expressly defined in the pertinent sections of the regulations. The regulations provide the bases for modification, revocation, and termination of licenses.

An Agency Health Physicist will make the initial review and evaluate each application for license. Applications involving significant environmental hazards may be referred to the Sanitary Engineering Division, those involving significant occupational or in-plant hazards to employees may be referred to the Occupational Health Section, for review, comment, and recommendation prior to issuance of a license.

Where indicated, applications involving human use will be referred to the Agency's Medical Isotopes Advisory Group for evaluation, comment, and recommendation. For example, such instances may include: *1.* Circumstances in which the licensing staff has no established precedent for the usage, dosage, or procedure proposed by the applicant; *2.* Where an applicant proposes selection of unusual isotope(s), or excessive or unusual dosage or administration, or procedure, according to known previous experience; *3.* Where the applicant appears to have insufficient training and/or no prior experience in handling isotopes for human usage; *4.* Where currently available information reveals little or no such human use up to now. Under other unusual circumstances, advisory assistance is available and will be sought from qualified consultants.

(b) *Registration.* The Agency is authorized to require the registration of radiation machines (Appendix I) except some 700 X-ray machines (hospital) subject to the provisions of G.S. 131–126.3 (1963, c. 66). Most sources of radiation, including the hospital X-ray facilities and materials which will be licensed by the Agency, have already been voluntarily registered with the Agency. Every person who furnishes or offers to furnish in North Carolina any service or equipment servicing to Agency licensees or registrants will be required to register with the Agency.

(c) *Inspections*—(1) *Licensees.* There will be five types of physical inspections made of radioisotope licensees or license applicants, designated according to their primary purposes. Each of the following types of inspection will be undertaken to the extent the existing circumstances dictate:

1. Prelicensing inspection. At the time of the review of an applicant's proposed program, it will be determined whether or not the quantities and forms of the materials to be used and the scope of the proposed program will justify a prelicensing inspection. This type of inspection will be made to determine if the applicant is capable of conducting his program safely and to obtain additional information needed or desired by those responsible for approving the applicant for license.

2. Initial inspections. After a new license to possess and use material has been granted, the inspection staff will arrange with management for an initial inspection. This type of inspection normally will be announced so that the inspectors will be assured that the authorized radioactive materials will have been obtained, and a use program is in progress.

3. Reinspection. Reinspections will be made of continuing programs subsequent to a previous inspection and may be announced or unannounced. A program is considered continuous even though a new license number may have been assigned.

4. Followup inspections. When items of noncompliance noted on previous inspections justify, followup inspections will be made in addition to others routinely scheduled, to determine the status of corrective action taken by the licensee. This type of inspection will be justified and scheduled only when the items of noncompliance present a potentially significant hazard to the licensee, his employees, or the public, or when management has demonstrated that it may not intend to, or may be unable to, take the corrective actions necessary.

5. Request inspections. The inspection staff will respond to requests by management, a local health director, or other responsible person, for inspection of facilities when the advisory assistance requested cannot be satisfactorily given by means of regular communication. Request inspections may also serve as reinspections if the time of inspection is compatible with the priority schedule established for the licensee. Inspections will also be made on the request of State or local authorities having legitimate cause.

(2) *Registants of X-ray equipment.* There will be four types of physical inspection made of the facilities of registrants of X-ray equipment, utilizing instrumentation:

1. Initial inspections. This type of Agency-initiated inspection normally will be announced so that the registrant can cooperate with the inspector conveniently and beneficially to himself.

2. Reinspections. This type of inspection normally will be announced, as with initial inspections, and usually because of a change of significant nature in the X-ray facility, equipment, or procedures.

3. Followup inspections. This type of inspection will be justified and scheduled only when items of noncompliance, if uncorrected, can create a real and unauthorized radiation exposure of the facility's personnel or the public.

4. Request inspections. This type of inspection, with or without prior announcement, usually will respond to requests by owners, users, local health and other authorities, or other responsible persons, when the advisory assistance requested concerning significant problems cannot be given satisfactorily by means of regular communications.

(3) *Schedule of inspections and surveys.* All types of inspections may be made unannounced if the purpose of the inspection can be served and all desired observations can be made satisfactorily. When advisable to conserve travel time and expense of inspecting personnel or to facilitate normal activities of X-ray equipment registrants, the management or user of a facility may be notified of an impending inspection and an appointment made.

1. Inspection schedule for licensees. The schedule for initial inspection and reinspections of licensees will be determined by priorities established for each license at the time the license is granted. Priorities will be assigned according to the category of use and the scope of the program. Priorities assigned prior to initial inspection will be considered tentative until confirmed after inspection. Priorities may be changed by amendments of license during the course of a program when such changes seem advisable after receipt of notice of a change in the scope of the program or of a change in the category of use. If more than one category is involved, priority will be based on the more restrictive category.

Initial inspection and reinspection schedules will be determined by priorities. Priorities will be determined by the degree of hazard involved with the use of materials in each case.

2. Inspection schedule for registrants of X-ray equipment. Allowing for economy, efficiency, and flexible adjustment to unpredictable circumstances, priorities of inspection of X-ray registrants will be given to the following order:

Priority I: Request inspections.

Priority II: Followup inspections.

Priority III: Initial inspections, undertaken geographically to conserve expense and personnel effort.

Priority IV: Reinspections.

(4) *Designated agency representatives.* Onsite initial inspections of programs and facilities of licensees, license applicants, and registrants always will be made by an Agency Health Physicist, or by designated authorized representatives of the Agency's Occupational Health Section who are qualified by experience and training in radiological health. Later inspections normally will be made by the same personnel. In addition, after approval by the State Board of Health in each instance, the Director, State Radiation Protection Program may designate in writing for a specified period of time a named public employee, e.g., of a State or local governmental agency, when qualified, as authorized representative of the agency, in accordance with section A.11(b), North Carolina Regulations for Protection Against Radiation. Prior to authorization by the Agency the individual qualifications for the designated purpose will be reviewed and proven at least equal to those of Agency incumbent personnel. Conduct of all inspections and the resulting reports will be subject to Agency supervision and to review by the Public Health Physicist and the Director of the State Radiation Protection Program. The Agency's Public Health Physicist will act as consultant and render technical advice to all authorized representatives of the Agency.

(5) *Conduct of inspections.* The Agency authorized representative making an inspection will interview the licensee, management, or registrant, and discuss the complete program in considerable detail.

The Agency authorized representative will be prepared with proper instrumentation to make all necessary radiation measurements in work areas and at the completion of the physical and records survey, the inspector will discuss his findings with the licensee or registrant and point out any items of noncompliance noted. He will assist the licensee or registrant by explaining the corrections the inspector has observed to be needed in the program.

(6) *Inspection reports.* A summary report of every inspection will be prepared to include a description of the program, records, violations, and other pertinent remarks, a copy of which will be furnished the licensee or registrant, and a copy filed by the Agency.

(d) *Accidents and incidents.* Investigation at the site of a radiological accident or incident will be made promptly in detail to determine the cause of the incident, in accordance with the provisions contained in the Handbook, North Carolina State Radiological Emergency Team (copy available upon request to the Agency). Agency authorized representatives will discuss with those persons responsible, measures to prevent additional incidents. The Agency has statutory authority to control effectively any incident and to protect adequately the public health and safety. Investigation of an incident should reveal whether or not any Agency action with or against the licensee is indicated.

(e) *Enforcement.* Status of compliance with the Agency's regulations will be determined by evaluation of reports of inspections of licensees' and registrants' activities.

If no items of noncompliance are observed at the time of an inspection, each licensee or registrant will be so informed. If only minor items of noncompliance are observed and the licensee or registrant agrees, at the time of the inspection to correct these, the licensee or registrant will be informed by letter of the items of noncompliance and that the effectiveness of corrective actions undertaken will be reviewed at the time of the next inspection.

If the inspection report shows noncompliance of potentially significant nature, the licensee or registrant will be required to notify the Agency promptly in writing as to every corrective action taken and the date completed. Thereafter, a prompt followup inspection may be made to insure that the necessary corrective action has been accomplished. If the written notification to the Agency does not explain satisfactorily a licensee's noncompliance, and also assure that further predictable violations will be prevented, the Agency may issue an order to show cause why the license should not be terminated or otherwise modified. If conditions observed during an inspection create a serious potential or actual hazard, the inspector will report immediately to the Agency by telephone. Enforcement action, such as an order by the Agency to the licensee or registrant to take immediate corrective action, may then be taken without delay. The Agency is authorized to impound sources of ionizing radiation under specified circumstances.

Willful noncompliance, or a need for extensive Agency action to correct or control deficiencies or acts of noncompliance, are expected to be unusual or of rare occurrence. Every effort by the Agency will be extended towards securing voluntary co-operation and compliance, and thereby creating little demand for legal enforcement.

A hearing may be held upon the request of any person whose interest may be affected by enforcement proceedings.

Delegation of Authority—(a) *Chain of command.* As approved by the State Board of Health, the State Health Director has authority to delegate the pertinent responsibilities. He has done this by delegation of administrative direction to specified staff members, and to certain personnel devoting full time and part time for implementing the program. The Director of the State's Radiation Protection Program directs the planning and implementation of the entire program, coordinated between the division directors concerned. Implementation of the respective responsibilities is undertaken by the Chief, Radiation Protection Section for Public Health Physics guidance and activities; by the Director, Sanitary Engineering Division for environmental radiation surveillance; by the Chief, Occupational Health Section for occupational radiation surveillance; by the Chief, State Radiological Emergency Team for response to and control of accidents; and by the Director, Laboratory Division for all laboratory services required to support these operational segments of the program. Hence, the chain of command proceeds directly: from the State Board of Health to the State Health Director, to the program Director, to the Director, Sanitary Engineering Division, and to the Director, Laboratory Division. The program director administers directly the activities of the Radiation Protection Section, the Occupational Health Section, and the State Radiological Emergency Team.

(b) *Delegation of authority.* The authority and responsibility for administering North Carolina Regulations for Protection Against Radiation, covering the statutory licensing of byproduct, source, special nuclear materials, or devices or equipment utilizing such materials, has been assigned to the Director, State Radiation Protection Program. As he directs, applications for licenses will be approved or disapproved. He will issue denials for cause, or denials without prejudice. He may terminate a license, after opportunity is offered the licensee for a hearing, due to failure to correct items of noncompliance, or for other justified cause, after specific approval by the State Health Director in each instance. Under his administrative control the Health Physicist will provide technical assistance and consultation, to him and to all other Agency personnel administering and implementing the State Radiation Protection Program and the North Carolina Regulations for Protection Against Radiation.

Personnel and staffing. Sufficient and qualified Agency staff and consultants are available:

(a) *Agency staff.* Individual staff qualifications reflect the necessary education, training, and experience to ensure competent administration and implementation of the program (Appendix IV). All future replacements of incumbents, or employment to fill new vacant positions, will follow close scrutiny to ensure qualifications at least equal to those of incumbents.

(b) *Consultants.* The Agency and its State Radiological Emergency Team can call upon 20 qualified consultants voluntarily available within the State to advise upon and assist in the handling of any unusual or complex problem or serious hazard related to this program:

(1) Six general program consultants include a Board-Certified Industrial Hygiene Engineer specializing in radiological health; an experienced chemist (Ph. D.) specializing in nuclear, tracer, and radiation chemistry; a Fellow of the American Academy of Oral Roentgenology; a physicist (Ph. D.) experienced in laboratory equipment design and applications to nuclear science and engineering and directing a recognized research laboratory; two experienced radiological safety officers of two recognized graduate educational and research institutions

(2) Nine Board Certified Medical Radiologists, all recognized in the diagnostic and therapeutic aspects of X-ray, radium and medical isotopes involving human use

(3) Six members of the Agency's Medical Isotopes Advisory Group, including three Board-Certified Radiologists experienced with medical isotopes; two Board-Certified Health Physicists experienced in educational, research, and medical radiation protection and safety programs; a radiation biologist (has just completed Ph. D. requirements) experienced in and chief of medical physics at a third recognized North Carolina graduate educational and research institution.

Regulations. The Agency has statutory authority to administer the applicable regulations (Appendix III), which will become effective upon the effective date of the agreement between the Governor of North Carolina and the United States Atomic Energy Commission. Interested parties have timely opportunity to participate in public hearings on licensing and regulatory activities of the Agency.

Budget. The biennial budget for fiscal years 1964 and 1965 as originally approved provides sufficiently for a sound program. Minor salary increases for clerical personnel have been provided by administrative action. The actual expenditures during fiscal year 1963 approximated those occurring during 1964 (a budget summary is available upon request submitted to the Agency).

Funds are sufficient through fiscal year 1965 for 14 full-time personnel, 12 currently employed. Nine other professional personnel devote up to 50 percent part time to this program. New position vacancies will permit timely employment of two full-time inspecting personnel for radioactive materials. This will provide staff equivalent to four full-time radiation inspectors. Although currently qualified, the existing staff regularly will attend appropriate professional, conference, seminar, and short-course training to maintain and improve administrative and technical competence. Their necessary travel for training and daily duties is assured. Up-to-date survey and laboratory equipment has been procured. An equipped instrument maintenance shop is manned by a well-qualified employee. A high-level survey instrument calibration facility will be functional July 1, 1964.

Equipment. All necessary equipment has been procured and is functional (Appendix V). In addition, laboratory facilities at Duke University, North Carolina State College, University of North Carolina School of Public Health, and North Carolina Research Triangle Institute Isotopes Development Laboratory, are available to the Agency for limited supplementary counting and analyses under unusual demands. The program director keeps himself informed of the locations of all State Civil Defense Agency instruments and 39 Cobalt 60 source sets, as Chief, Radiological Defense Service.

The Agency is licensed for and has a Radiac Calibrator (120-curie Cs-137) for use in an established high-level survey instrument calibration facility. A suitable X-ray facility is planned, for variable-level calibration of the Agency's X-ray survey instruments. Both calibration facilities will be utilized also in special studies contributing to the program. The Agency has a well-equipped electronics maintenance shop administered by a qualified electronics specialist. All Agency equipment is thoroughly inspected and tested, repaired when necessary, and calibrated periodically.

Sample Forms. In addition to notice to employees and occupational exposure record forms, found at the end of Part C of the Agency's draft regulations (Appendix III), sample forms have been drafted for applications, licenses, and registration (Appendix VI).

[F.R. Doc. 64-5171; Filed, May 22, 1964; 8:47 a.m.]

DEPARTMENT OF AGRICULTURE

Agricultural Marketing Service

PERRY COUNTY STOCK YARD ET AL.

Notice of Changes in Names of Posted Stockyards

It has been ascertained, and notice is hereby given, that the names of the livestock markets referred to herein, which were posted on the respective dates specified below as being subject to the provisions of the Packers and Stockyards Act, 1921, as amended (7 U.S.C. 181 et seq.), have been changed as indicated below.

Original name of stockyard, location, and date of posting	*Current name of stockyard and date of change in name*
ALABAMA	
Perry County Stock Yard, Marion, Mar. 29, 1960	Adams and Eagle, Inc., Mar. 16, 1964.
ARIZONA	
Lueck Dairy Auction, Tempe, Nov. 7, 1959	Phoenix Livestock Auction Co., Inc., May 6, 1964.
ARKANSAS	
Lafayette County Livestock Auction, Lewisville, Oct. 2, 1959.	Lafayette County Livestock Auction Co., Jan. 2, 1964.
GEORGIA	
Hudson-Holmes Auctions, Inc., Fitzgerald, May 15, 1959.	Fitzgerald Farmers Auctions, Inc., Nov. 1, 1963.
ILLINOIS	
Canton Livestock, Inc., Canton, Apr. 27, 1960	Fulton County Auction Co., Apr. 11, 1963.
IOWA	
Northeast Iowa Sales Commission, Decorah, June 6, 1959.	Decorah Sales Commission, May 15, 1964.
MISSISSIPPI	
Hinds County Livestock Auction, Edwards, Feb. 16, 1959.	Mississippi Livestock Producers Association, Feb. 1, 1964.
Oxford Livestock Commission Co., Oxford, Sept. 13, 1961.	Oxford Livestock Commission Co., May 13, 1964.
NEW MEXICO	
New Mexico Livestock Exchange, Albuquerque, Dec. 30, 1939.	Owen Livestock Auction Co., Jan. 14, 1964.
NEW YORK	
H. L. Neverett and Sons, Malone, Dec. 7, 1960	Lawrence's Livestock Commission Sales, Nov. 1, 1962.
TENNESSEE	
Sam O'Neil Livestock Commission Co., Chattanooga, May 5, 1959.	Sam O'Neil Livestock Commission Co., Apr. 1, 1964.
VIRGINIA	
Honeycutt Sales Barn, Suffolk, Aug. 7, 1961	Suffolk Livestock Market, Apr. 1, 1964.
WASHINGTON	
Lateral A Community Sale, Wapato, Mar. 20, 1960	Lateral "A" Community Sale, Mar. 1, 1964.

Done at Washington, D.C., this 26th day of May 1964.

H. L. JONES,
Chief, Rates and Registrations Branch, Packers and Stockyards Division, Agricultural Marketing Service.

[F.R. Doc. 64-5403; Filed, May 28, 1964; 8:50 a.m.]

Office of the Secretary

AGENCY HEADS ET AL.

Delegation of Authority and Assignment of Functions; Amendment

Pursuant to the authority contained in R.S. 161 (5 U.S.C. 22), and Reorganization Plan No. 2 of 1953, the Secretary's Order dated December 24, 1953 (19 F.R. 74), as amended, is further amended as follows:

Section 102 is amended to read as follows:

SEC. 102. *Relation to Office of the Secretary.* No delegation or authorization prescribed in this document shall preclude the Secretary from exercising any of the powers or functions or from performing any of the duties conferred herein and any such delegation or authorization is subject at all times to withdrawal or amendment by the Secretary. No delegation or authorization prescribed in this document shall preclude the exercise of any delegation or authorization otherwise provided to the Under Secretary, Assistant Secretaries, Administrative Assistant Secretary, Director of Agricultural Economics, Director of Science and Education, or to the Staff agencies as provided in Section 112 hereof.

Section 109 is amended to read as follows:

SEC. 109. *Service agencies.* The Service agencies of the Department of Agriculture are grouped as follows:

a. *Reporting to the Under Secretary.*

Agricultural Stabilization and Conservation Service (including Commodity Credit Corporation functions assigned in accordance with Commodity Credit Corporation bylaws).
Federal Crop Insurance Corporation.

b. *Reporting to the Assistant Secretary for International Affairs.*

Foreign Agricultural Service.
International Agricultural Development Service.

c. *Reporting to the Assistant Secretary for Marketing and Consumer Services.*

Agricultural Marketing Service.
Commodity Exchange Authority.

d. *Reporting to the Assistant Secretary for Rural Development and Conservation.*

Office of Rural Areas Development.
Farmer Cooperative Service.
Farmers Home Administration.
Forest Service.
Rural Electrification Administration.
Soil Conservation Service.

e. *Reporting to the Director of Agricultural Economics.*

Economic Research Service.
Statistical Reporting Service.

f. *Reporting to the Director of Science and Education.*

Agricultural Research Service.
Cooperative State Research Service.
Federal Extension Service.
National Agricultural Library.

Section 110 is amended to read as follows:

SEC. 110. *Staff Agencies.* The Staff agencies of the Department of Agriculture are grouped as follows:

a. *Reporting to the Secretary.*

Office of the General Counsel.
Office of the Inspector General.

b. *Reporting to the Administrative Assistant Secretary.*

Office of Budget and Finance.
Office of Hearing Examiners.
Office of Information.
Office of Management Appraisal and Systems Development.
Office of Personnel.
Office of Plant and Operations.
Office of Management Services.

The first sentence of section 116 is amended to read as follows: "The head of each agency shall, under the general direction and supervision of the Secretary of Agriculture and the Under Secretary and the Assistant Secretary, the Administrative Assistant Secretary, or the Director of Agricultural Economics and the Director of Science and Education to whom is assigned the general direction and supervision of his agency, direct and supervise the activities of the employees of his agency."

Done at Washington, D.C., this May 25, 1964.

JOSEPH M. ROBERTSON,
Administrative Assistant Secretary.

[F.R. Doc. 64-5380; Filed, May 28, 1964; 8:46 a.m.]

DEPARTMENT OF COMMERCE

Office of the Secretary

WILLIAM E. VAUGHN

Statement of Changes in Financial Interests

In accordance with the requirements of section 710(b)(6) of the Defense Production Act of 1950, as amended, and Executive Order 10647 of November 28, 1955, the following changes have taken place in my financial interests as reported in the FEDERAL REGISTER during the past six months:

A. Deletions: No change.
B. Additions: No change.

This statement is made as of May 18, 1964.

WILLIAM E. VAUGHN.

MAY 18, 1964.

[F.R. Doc. 64-5384; Filed, May 28, 1964; 8:46 a.m.]

DEPARTMENT OF HEALTH, EDUCATION, AND WELFARE

Office of the Secretary

STATEMENT OF ORGANIZATION AND DELEGATION OF AUTHORITY

Vocational Rehabilitation Administration; Amendment

Part 12 of the Statement of Organization and Delegation of Authority of the Department (22 F.R. 1045, 1052) as amended (28 F.R. 1512) is further amended by adding a new section 12.00, *Mission*, and by amending section 12.10, *Organization*, to reflect the current organization of the Vocational Rehabilitation Administration as approved by the Secretary of Health, Education, and Welfare on April 14, 1964, and to add subsection B, indicating the line of succession for the Vocational Rehabilitation Administration as follows:

PART 12—VOCATIONAL REHABILITATION ADMINISTRATION

SEC. 12.00 *Mission.* The Vocational Rehabilitation Administration is the focal point in the Department of Health, Education, and Welfare for the administration of programs to increase the vocational rehabilitation of disabled persons and their greater utilization in gainful and suitable employment. The Vocational Rehabilitation Administration administers a program of grants to States, which provides a wide range of services to disabled persons and a program licensing blind persons to operate vending stands on Federal or other property.

The Vocational Rehabilitation Administration also cooperates with the Social Security Administration in disability determinations under the Social Security Act and in providing rehabilitation services to disabled beneficiaries; with the Bureau of Employees' Compensation, Department of Labor, in providing rehabilitation services for disabled Federal employees; and, with the Public Health Service in the administration of grants for rehabilitation facilities under the Medical Facilities Survey and Construction Act.

The Vocational Rehabilitation Administration administers research and training programs to improve rehabilitation techniques and to increase the supply of professionally trained rehabilitation personnel. It also carries responsibility for research, research training and the interchange of rehabilitation experts, and other special rehabilitation activities overseas.

SEC. 12.10 *Organization.* A. The Vocational Rehabilitation Administration, which is under the supervision and direction of the Commissioner of Vocational Rehabilitation, consists of:

Office of the Commissioner
  Deputy Commissioner
  Planning Staff
Assistant Commissioner, Research and Training
  Division of Research Grants and Demonstrations
  Division of Training
  Division of International Activities
Assistant Commissioner, Program Services
  Division of State Program Administration
  Division of Disability Services
  Division of Services to the Blind
  Division of Rehabilitation Facilities
Assistant Commissioner, Legislation and Public Affairs
  Publications and Reports Staff
  Legislative Services Staff
Assistant Commissioner, Regional Operations
  Regional Representatives
Assistant Commissioner, Health and Medical Affairs
Assistant Commissioner, Management Services
  Division of Budget and Fiscal Operations
  Division of Personnel and Administrative Services
  Division of Statistics and Studies

B. Order of succession: In the absence of the Commissioner of Vocational Rehabilitation, the Deputy Commissioner acts for the Commissioner.

Dated: May 22, 1964.

[SEAL] ANTHONY J. CELEBREZZE,
Secretary.

[F.R. Doc. 64-5387; Filed, May 28, 1964; 8:47 a.m.]

CIVIL AERONAUTICS BOARD

[Docket 14945; Order E-20851]

INTERNATIONAL AIR TRANSPORT ASSOCIATION

Agreement Relating to Specific Commodity Rates

Adopted by the Civil Aeronautics Board at its office in Washington, D.C. on the 25th day of May 1964.

There has been filed with the Board, pursuant to section 412(a) of the Federal Aviation Act of 1958 (the Act) and Part 261 of the Board's Economic Regulations, an agreement between various air carriers, foreign air carriers, and other carriers, embodied in the resolutions of Joint Conference 1-2 of the International Air Transport Association (IATA), and adopted pursuant to the provisions of Resolution 590 (Commodity Rates Board).

The agreement, adopted pursuant to unprotested notice to the carriers and promulgated in an IATA memorandum, names an additional specific commodity rate as set forth below.

Agreement C.A.B. 17633	IATA memorandum	Commodity item	Rate
R-10...	JT12/Rates 3039.	2196	72 cents per kilogram; minimum weight 45 kilograms; from Belfast to New York.

The Board, acting pursuant to sections 102, 204(a), and 412 of the Act, does not find the subject agreement to be adverse to the public interest or in violation of the Act, provided that approval thereof is conditioned as hereinafter ordered.

Accordingly, it is ordered, That Agreement C.A.B. 17633, R-10, be and hereby is approved, provided that such approval shall not constitute approval of the specific commodity description contained therein for purposes of tariff publication.

Any air carrier party to the agreement, or any interested person, may, within 15 days from the date of service of this order, submit statements in writing containing reasons deemed appropriate, together with supporting data, in support of or in opposition to the Board's action herein. An original and

nineteen copies of the statements should be filed with the Board's Docket Section. The Board may, upon consideration of any such statements filed, modify or rescind its action herein by subsequent order.

This order will be published in the FEDERAL REGISTER.

By the Civil Aeronautics Board.

[SEAL] HAROLD R. SANDERSON,
Secretary.

[F.R. Doc. 64-5404; Filed, May 28, 1964; 8:50 a.m.]

FEDERAL AVIATION AGENCY

[OE Docket 63-SO-15]

WDEF BROADCASTING CO.

Notice of Hearing

Pursuant to Part 77 of the Federal Aviation Regulations, the WDEF Broadcasting Company, Chattanooga, Tennessee, has petitioned for a public hearing with respect to the determination of Hazard to Air Navigation issued by this Agency's Obstruction Evaluation Branch under this Docket Number on September 30, 1963, published in the FEDERAL REGISTER on October 4, 1963 (28 F.R. 9286), for the proposed construction of an antenna structure and a hearing has been granted.

Notice is hereby given that a prehearing conference will be held at 10:00 a.m., June 9, 1964, and a public hearing will be held at 2:00 p.m., June 9, 1964, both at The Read House, West 9th Street, Chattanooga, Tennessee, before the undersigned Presiding Officer.

The following are designated as Parties to the hearing:

1. WDEF Broadcasting Company, Inc.
2. Aircraft Owners and Pilots Association.
3. Airport Manager, Lovell Field.
4. National Business Aircraft Association.
5. Tennessee Aeronautics Commission.

Any person not herein designated who believes his activities would be substantially affected by the proposed construction may request designation as a Party to the hearing from the undersigned Presiding Officer.

Issued in Washington, D.C., on May 22, 1964.

HAROLD B. HELSTROM,
Presiding Officer.

[F.R. Doc. 64-5374; Filed, May 28, 1964; 8:45 a.m.]

FEDERAL COMMUNICATIONS COMMISSION

[Docket No. 14730; FCC 64M-459]

KIMBLE COMMUNICATIONS

Order Scheduling Hearing Conference

In re application of W. A. Henley d/b as Kimble Communications, Docket No. 14730, File Nos. 2397/2398-C1-P-62, for construction permits to establish stations in the Point-to-Point Microwave Radio Service near Kerrville, and at Midway, Texas.

Further proceedings herein having been held in abeyance by order of the Hearing Examiner released April 21, 1964, pending disposition by the Commission of a petition for reconsideration filed by the applicant;

It appearing, that the said petition for reconsideration was denied by order of the Commission released May 22, 1964;

It further appearing, that a hearing conference will be necessary in order to resolve the questions stated by the Hearing Examiner's order released herein on April 7, 1964;

It is ordered, This 25th day of May 1964, that a hearing conference will be held on June 2, 1964, commencing at 9:00 a.m. in the offices of the Commission at Washington, D.C.

Released: May 26, 1964.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 64-5389; Filed, May 28, 1964; 8:47 a.m.]

[Docket No. 15484; FCC 64-467]

NORBERTINE FATHERS

Order Designating Application for Hearing on Stated Issues

In re application of Norbertine Fathers, Appleton, Wis., Docket No. 15484, File No. BPH-4340, requests: 99.3 mc; No. 257A; 3 kw; 227.1 feet, for construction permit.

At a session of the Federal Communications Commission held at its offices in Washington, D.C., on the 20th day of May 1964;

The Commission having under consideration the above-captioned and described applications;

It appearing, that, except as indicated by the issues specified below, the applicant is legally, technically, financially, and otherwise qualified to construct and operate as proposed; and

It further appearing, that the following matters are to be considered in connection with the aforementioned issues specified below:

1. The applicant is also the licensee of Station WBAY-FM, Green Bay, Wis.

2. If the application is granted, the 1 mv/m contour of Station WBAY-FM will entirely encompass the 1 mv/m contour of the proposed operation, as a result of which 100 percent of the population within the service area of the proposal will also receive service from Station WBAY-FM.

3. Thus, a substantial question exists with respect to compliance with § 73.240 (a) of the Commission's rules. In considering this proposal in the light of § 73.240(a) of the rules, it appears appropriate to consider the size, extent, and location of the areas served and to be served; the extent of the overlap involved; the number of persons residing within the overlap area; the classes of stations involved; the extent of other competitive service to the areas in question; the extent to which the stations will rely on the same revenue and program sources; the nature of the programing that the stations will present with particular reference to the needs of the communities they are designed to serve; the advertising practices of the stations; the source of program material and talent for each station; and such other factors as will tend to demonstrate that the overlap of service areas involved will or will not be in contravention of § 73.240(a) of the Commission's rules.

It further appearing, that, in view of the foregoing, the Commission is unable to make the statutory finding that a grant of the subject application would serve the public interest, convenience, and necessity, and is of the opinion that the application must be designated for hearing on the issues set forth below:

It is ordered, That, pursuant to section 309(e) of the Communications Act of 1934, as amended, the application is designated for hearing, at a time and place to be specified in a subsequent Order, upon the following issues:

1. To determine the areas and populations within the proposed 1 mv/m contour and the availability of other FM service (at least 1 mv/m) to such areas and populations.

2. To determine whether a grant of this proposal would be in contravention of the provisions of § 73.240(a) of the Commission rules with respect to multiple ownership of FM broadcast stations.

3. To determine, in the light of the evidence adduced pursuant to the foregoing issues, whether a grant of the application would serve the public interest, convenience and necessity.

It is further ordered, That, to avail itself of the opportunity to be heard, the applicant herein, pursuant to § 1.221(c) of the Commission rules, in person or by attorney, shall, within 20 days of the mailing of this Order, file with the Commission in triplicate, a written appearance stating an intention to appear on the date fixed for the hearing and present evidence on the issues specified in this Order.

It is further ordered, That the applicant herein shall, pursuant to section 311 (a)(2) of the Communications Act of 1934, as amended, and § 1.594 of the Commission's rules, give notice of the hearing, within the time and in the manner prescribed in such rule, and shall advise the Commission of the publication of such notice as required by § 1.594(g) of the rules.

Released: May 25, 1964.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 64-5390; Filed, May 28, 1964; 8:47 a.m.]

[Docket No. 14974; FCC 64-458]

SALEM BROADCASTING CO.

Order Continuing Hearing

In regard to application of Salem Broadcasting Company, Salem, Ohio, Docket No. 14974, File No. BP-13950, for construction permit.

It is ordered, This 25th day of May 1964, that the hearing scheduled to commence May 27, 1964, in the above-entitled proceeding, is continued to a date to be specified by the presiding Hearing Examiner.

Released: May 25, 1964.

FEDERAL COMMUNICATIONS COMMISSION,
BEN F. WAPLE,
Secretary.

[F.R. Doc. 64-5391; Filed, May 28, 1964; 8:47 a.m.]

[Docket Nos. 15436, 15437; FCC 64M-441]

SKYLARK BROADCASTING CORP. AND KINGSTON BROADCASTERS, INC.

Order Continuing Prehearing Conference

In regard applications of Skylark Corporation, Kingston, New York, Docket No. 15436, File No. BPH-4256; Kingston Broadcasters, Inc., Kingston, New York, Docket No. 15437, File No. BPH-4357; for construction permits.

It is ordered, This 19th day of May 1964, on the Hearing Examiner's own motion, that the prehearing conference scheduled to commence at 9:00 a.m., June 4, 1964, is continued to 9:00 a.m., June 11, 1964.

Released: May 20, 1964.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 64-5392; Filed, May 28, 1964; 8:47 a.m.]

[Docket No. 15326-15328; FCC 64M-6455]

SPRINGFIELD TELEVISION BROADCASTING CORP. ET AL.

Order Continuing Hearing

In regard to applications of Springfield Television Broadcasting Corporation, Toledo, Ohio, Docket No. 15326, File No. BPCT-3157; D. H. Overmyer, Toledo, Ohio, Docket No. 15327, File No. BPCT-3173; Producers, Inc., Toledo, Ohio, Docket No. 15328, File No. BPCT-3178; for construction permits for new television broadcast stations.

The Hearing Examiner having under consideration the informal request for continuance of procedural dates filed in the above-entitled proceeding on May 19, 1964 by Springfield Television Broadcasting Corporation;

It appearing, that all parties have consented to immediate consideration and grant of the said request and that good cause is shown therefor in that negotiations are now presently in progress looking toward possible simplification of the hearing through dismissal of one or more of the above-entitled applications;

It is ordered, This 21st day of May 1964 that the said request is granted, that the date for exchange of exhibits is continued from May 18, 1964 to May 22, 1964 and the date for commencement of the hearing proceeding is continued from May 25, 1964 to June 1, 1964, commencing at 10:00 a.m. in the offices of the Commission at Washington, D.C.

Released: May 25, 1964.

FEDERAL COMMUNICATIONS COMMISSION,
[SEAL] BEN F. WAPLE,
Secretary.

[F.R. Doc. 64-5393; Filed, May 28, 1964; 8:47 a.m.]

FEDERAL RESERVE SYSTEM

ATLANTIC NATIONAL BANK OF JACKSONVILLE AND ATLANTIC TRUST CO.

Order Extending Period of Time Within Which Bank Is To Be Opened for Business

In the matter of the applications of The Atlantic National Bank of Jacksonville and Atlantic Trust Company for approval of the acquisition of voting shares of Daytona Atlantic Bank, Daytona Beach, Florida.

By order dated December 19, 1963, the Board of Governors, pursuant to section 3(a)(2) of the Bank Holding Company Act of 1956 (12 U.S.C. 1842 (a)(2)) and § 222.4(a)(2) of Federal Reserve Regulation Y (12 CFR 222.4(a)(2)), granted the applications of The Atlantic National Bank of Jacksonville and Atlantic Trust Company for approval of the acquisition of 35,000 of the 36,000 voting shares of Daytona Atlantic Bank, Daytona Beach, Florida, a proposed new bank. Pursuant to § 262.2(f)(5) of the Board's rules of procedure (12 CFR 262.2(f)(5)), the Board's action in granting the applications was subject to a requirement that Daytona Atlantic Bank, the name of which was changed to Westside Atlantic Bank of Daytona Beach, be opened for business within six months of the date of the Board's Order; that is, on or before June 19, 1964.

Applicants have applied to the Board for an extension of the date by which Westside Atlantic Bank of Daytona Beach is to be opened for business, and it appears to the Board that good cause has been shown for the requested extension of time, and that such extension would not be inconsistent with the public interest.

Accordingly, it is hereby ordered, That the time within which applicants may open Westside Atlantic Bank of Daytona Beach be and hereby is extended to no later than September 15, 1964.

Dated at Washington, D.C., this 22d day of May 1964.

By order of the Board of Governors.

[SEAL] MERRITT SHERMAN,
Secretary.

[F.R. Doc. 64-5375; Filed, May 28, 1964; 8:45 a.m.]

FEDERAL TRADE COMMISSION

INCANDESCENT ELECTRIC LIGHT BULBS

Notice of Rule Making Proceeding Concerning the Feasibility of the Establishment of a Trade Regulation Rule

Notice is hereby given that the Federal Trade Commission, pursuant to the Federal Trade Commission Act, as amended, 15 U.S.C. 41 et seq., and the provisions of subpart F of Part 1 of the Commission's procedures and rules of practice, 28 F.R. 7083-84 (July 11, 1963), has initiated a Trade Regulation Rule proceeding relating to certain practices in the marketing of "long life," "extended service" and "standard" incandescent electric light bulbs.

Information received during a preliminary study indicates that some incandescent electric light bulbs of a stated wattage emit substantially less light than other bulbs of the same specified wattage and that in the absence of disclosure of the lumens which light bulbs emit consumer purchasers may be confused and misled. Information received further indicates that some light bulbs are claimed to have considerably more hours of use than other light bulbs and that the hours of use may vary considerably with bulbs of different design, composition and construction. Some light bulbs are marked and described in terms of actual hours of use, while the public is not informed as to the hours of use of other light bulbs. The failure to make such disclosure may have the capacity and tendency to mislead consumer purchasers as to the life of such bulbs. It further appears from information received that manufacturers, by claims in advertising and labeling, represent or imply that by the use of certain long lasting light bulbs the overall cost of obtaining equivalent light is considerably less than by use of other bulbs whereas such savings may not be realized in many instances.

The failure to disclose the lumen or light output, the wattage, the hours of useful life of incandescent light bulbs and the employment of deceptive claims of savings through the use of certain light bulbs, may constitute unfair methods of competition and unfair or deceptive acts or practices in violation of section 5 of the Federal Trade Commission Act. It is therefore proposed that inquiry be made into the subjects of the marking, labeling and advertising of light bulbs for the purpose of resolving these issues.

The Commission, being desirous of obtaining further information on the subjects and issues involved and having all

affected and interested parties present their views for its consideration in connection with this inquiry, has scheduled a hearing to be held at 10 a.m. e.d.t., on June 30, 1964, in Room 332 of the Federal Trade Commission Building. All interested parties are urged to attend this hearing and submit any data, views or arguments concerning the matter.

Interested persons may also file written data, views or arguments in the matter with the Chief, Division of Trade Regulation Rules, Bureau of Industry Guidance, Federal Trade Commission, Pennsylvania Avenue at Sixth Street, NW., Washington, D.C., 20580, not later than July 14, 1964. Such written submissions should be filed in duplicate.

The data, views or arguments received in this proceeding whether presented orally or in writing, will be available for examination by interested parties at the Office of the Federal Trade Commission, Washington, D.C., and will be considered by the Commission.

Issued: May 28, 1964.

By the Commission.

JOSEPH W. SHEA,
Secretary.

[F.R. Doc. 64-5279; Filed, May 28, 1964; 8:45 a.m.]

HOUSING AND HOME FINANCE AGENCY

Office of the Administrator

REGIONAL DIRECTOR OF COMMUNITY FACILITIES, REGION I (NEW YORK)

Redelegation of Authority With Respect to Advances for Public Works Planning (Third Advance Planning Program)

The Regional Director of Community Facilities, Region I (New York), with respect to the program of advances for public works planning under subsections 702 (a), (c), and (g), of the Housing Act of 1954, as amended (40 U.S.C. 462 (a), (c), and (g), is hereby authorized to take the following action within such Region:

1. To execute offers to public agencies, involving advances to aid in planning proposed public works.

2. To determine the amount of partial repayment due pursuant to subsection 702(c) of the Act if the public agency undertakes construction of only a portion of the planned public work.

3. To determine the amount of the advance which the public agency is relieved of liability to repay pursuant to subsection 702(g) of the Act if construction of the planned public works project or a portion thereof is initiated as a result of a grant under the Public Works Acceleration Act.

This redelegation supersedes the redelegation effective November 20, 1962 (28 F.R. 381, Jan. 30, 1963).

(62 Stat. 1283 (1948), as amended by 64 Stat. 80 (1950), 12 U.S.C. 1701c; Housing and Home Finance Administrator's delegation effective June 4, 1963 (28 F.R. 5486, June 4, 1963)).

Effective as of the 20th day of June 1963.

[SEAL] LESTER EISNER, JR.,
Regional Administrator, Region I.

[F.R. Doc. 64-5388; Filed, May 28, 1964; 8:47 a.m.]

SECURITIES AND EXCHANGE COMMISSION

[File No. 24 SF-3195]

CERAMICS COMPANY OF AMERICA

Order Temporarily Suspending Exemption, Statement of Reasons Therefor, and Notice of Opportunity for Hearing

MAY 25, 1964.

I. Ceramics Corporation of America (issuer), 109 South Third Street, Las Vegas, Nevada, a Nevada corporation, filed with the Commission on March 25, 1964, a notification on Form 1-A and an offering circular relating to an offering of 300,000 shares of its $1.00 par value common capital stock at $1.00 per share for an aggregate amount of $300,000, for the purpose of obtaining an exemption from the registration requirements of the Securities Act of 1933, as amended, pursuant to the provisions of section 3(b) thereof and Regulation A promulgated thereunder.

II. The Commission has reasonable cause to believe that issuer has failed to comply with the terms and conditions of Regulation A in that:

A. The offering circular omits to name Gilbert Monk as a promoter.

B. The offering would be made in violation of section 17 of the Securities Act of 1933 since the offering circular contains a materially misleading presentation of facts, contains untrue statements of material facts and omits to state material facts necessary in order to make the statements made, in the light of the circumstances under which they are made, not misleading in that:

1. The offering circular contains inaccurate and misleading material misrepresentations with respect to:

(a) The extent of the development and testing of issuer's process and its readiness for commercial exploitation on a competitive basis.

(b) The existence of an adequate ready market for issuer's product.

(c) The adequacy of the development and testing of issuer's process and its economics and market testing to warrant the expenditure of $150,000 to erect a plant, $50,000 to acquire and improve additional property and $100,000 for working capital, all to be provided by the public.

(d) The existence of 1 million tons of proven ore and several million tons of probable ore on issuer's property.

(e) The historical information concerning the properties, including that relative to the present stockpile and to prior efforts to exploit this and other properties on the same geological deposit.

(f) The reference to the deposit as "well known and is reported by the California Division of Mines Bulletin 172 . . ." and the failure to provide material information therefrom.

III. It appearing to the Commission that it is in the public interest and for the protection of investors that the exemption of the issuer under Regulation A be temporarily suspended,

It is ordered, Pursuant to Rule 261(a) of the general rules and regulations under the Securities Act of 1933, as amended, that the exemption under Regulation A be, and it hereby is, temporarily suspended.

Notice is hereby given that any person having any interest in the matter may file with the Secretary of the Commission a written request for hearing within thirty days after the entry of this order; that within twenty days after receipt of such request the Commission will, or at any time upon its own motion may, set the matter down for hearing at a place to be designated by the Commission for the purpose of determining whether this order of suspension should be vacated or made permanent, without prejudice, however, to the consideration and presentation of additional matters at the hearing; that if no hearing is requested and none is ordered by the Commission, this order shall become permanent on the thirtieth day after its entry and shall remain in effect unless or until it is modified or vacated by the Commission; and that notice of the time and place for any hearing will be promptly given by the Commission.

By the Commission.

[SEAL] ORVAL L. DUBOIS,
Secretary.

[F.R. Doc. 64-5377; Filed, May 28, 1964; 8:45 a.m.]

INTERSTATE COMMERCE COMMISSION

FOURTH SECTION APPLICATIONS FOR RELIEF

MAY 26, 1964.

Protests to the granting of an application must be prepared in accordance with Rule 1.40 of the general rules of practice (49 CFR 1.40) and filed within 15 days from the date of publication of this notice in the FEDERAL REGISTER.

LONG-AND-SHORT HAUL

FSA No. 39048: *Returned shipments of brick from and to points in Illinois territory.* Filed by Illinois Freight Association, agent (No. 244), for interested rail

carriers. Rates on brick, refractories and clay, in carloads, returned from original destination to original point of shipment, between points in Illinois Freight Association territory; also between points in Illinois Freight Association territory, on the one hand, and points in southern territory, on the other.

Grounds for relief: Carrier competition.

FSA No. 39049: *Cement and related articles from Selma, Mo.* Filed by Southwestern Freight Bureau, agent (No. B–8548), for interested rail carriers. Rates on cement and related articles, in carloads, from Selma, Mo., to points in southwestern territory, also Colorado, Illinois, Kansas, and Nebraska.

Grounds for relief: Market competition.

Tariff: Supplement 147 to Southwestern Freight Bureau agent, tariff I.C.C. 4325.

By the Commission.

[SEAL] HAROLD D. McCOY, *Secretary.*

[F.R. Doc. 64–5383; Filed, May 28, 1964; 8:46 a.m.]

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